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BEFORE THE

FEDERAL MARITIME COMMISSION

SANTA FE DISCOUNT CRUISE PARKING, INC.
d/b/a EZ CRUISE PARKING; LIGHTHOUSE
PARKING, INC.; and SYLVIA ROBLEDO d/b/a
81st DOLPHIN PARKING

Complainants

vs.

THE BOARD OF TRUSTEES OF THE GALVESTON
WHARVES AND THE GALVESTON PORT
FACILITIES CORPORATION

Respondents

FMC Docket No. 14-06



VERIFIED COMPLAINT

COME NOW Santa Fe Discount Cruise Parking, Inc. d/b/a EZ Cruise Parking; Lighthouse Parking, Inc.; and Sylvia Robledo d/b/a 81st Dolphin Parking (collectively “Complainants”), by and through the undersigned, and hereby file this Verified Complaint against the Board of Trustees of the Galveston Wharves and the Galveston Port Facilities Corporation (collectively “Respondents”), pursuant to 46 U.S.C. § 41301(a), alleging violations of the Shipping Act of 1984, as amended (46 U.S.C. § 40101 et seq.) (the “Shipping Act”).

Complainants have been charged “Access Fees” under Respondents’ Tariff that are excessive and not reasonably related to the value of services rendered to Complainants. Through application of such charges, Complainants have been forced to subsidize Respondents’ costs associated with services provided to other users of port facilities. Such other users therefore receive greater levels of service and benefit from the Respondents’ services at a lower cost. Respondents have refused to negotiate any modification of its Access Fees charged to Off-Port Parking Users that were increased more than three-fold on May 19, 2014.

Complainants therefore seek a cease and desist order and reparations for injuries and damages caused to them by the Respondents' violations of the Shipping Act, 46 U.S.C. §§ 41102(c), 41106(2) and (3), including (a) subjecting Complainants to an undue or unreasonable prejudice or disadvantage; (b) granting an undue preference or advantage with respect to other users of its facilities; (c) failing to establish, observe, and enforce just and reasonable regulations and practices relating to or connected with the receiving, handling, storing or delivering of property; and (d) unreasonably refusing to deal or negotiate with Complainants regarding modification of the unreasonable rates and charges.

I. Complainants

A. Complainant Santa Fe Discount Cruise Parking, Inc. d/b/a EZ Cruise Parking ("EZ Cruise") is a for-profit corporation organized and existing under the laws of the State of Texas, incorporated on December 2, 2003. EZ Cruise owns and operates a private parking lot facility located at 2727 Santa Fe Pl., Galveston, TX 77550, approximately five (5) blocks from the Port of Galveston Cruise Terminal. At maximum capacity, EZ Cruise's lot can accommodate approximately 413 vehicles. EZ Cruise's business model is principally focused upon providing cruise passengers with convenient and secure surface lot storage for their vehicles while they are away. EZ Cruise also owns and operates (with commercially certified drivers where necessary) eight (8) shuttle buses to transport passengers with their luggage directly to and from the terminal, allowing them to stay with their luggage, keep their families together, and avoid traffic at the port facility entrance otherwise associated with unloading baggage from their cars themselves prior to parking.

B. Complainant Lighthouse Parking, Inc. ("Lighthouse"), is a for-profit corporation organized and existing under the laws of the State of Texas, incorporated on May 27, 2005.

Lighthouse owns and operates a private fully covered parking lot facility located at 309 29th St, Galveston, TX. 77550, approximately seven (7) blocks from the Port of Galveston Cruise Terminal. At maximum capacity, Lighthouse's lot can accommodate approximately 230 vehicles. Lighthouse's business model is principally focused upon providing cruise passengers with convenient, secure, and covered storage for their vehicles while they are away. Lighthouse also owns and operates (with commercially certified drivers where necessary) four (4) shuttle buses to transport passengers with their luggage directly to and from the terminal, allowing them to stay with their luggage, keep their families together, and avoid traffic at the port facility entrance otherwise associated with unloading baggage from their cars themselves prior to parking.

C. Sylvia Robledo d/b/a 81st Dolphin Parking ("81st Dolphin"), is a natural person who is a citizen and resident of the State of Texas. 81st Dolphin commenced doing business in May 2009. In doing business as 81st Dolphin, Ms. Robledo individually leases and operates a private parking lot facility located at 2801 Market St. Galveston, TX 77550, approximately six (6) blocks from the Port of Galveston Cruise Terminal. At maximum capacity, 81st Dolphin's lot can accommodate approximately 135 vehicles. 81st Dolphin's business model is principally focused upon providing cruise passengers with convenient and secure surface lot storage for their vehicles while they are away. 81st Dolphin also leases and operates (with commercially certified drivers where necessary) three (3) shuttle buses to transport passengers with their luggage directly to and from the terminal, allowing them to stay with their luggage, keep their families together, and avoid traffic at the port facility entrance otherwise associated with unloading baggage from their cars themselves prior to parking.

II. Respondents

A. The Board of Trustees of the Galveston Wharves (the “Wharves Board”) have been authorized by the City of Galveston to manage and control the Port of Galveston’s wharf and terminal facilities. GALVESTON, TEX., CHARTER, art. XII, §§ 1-2 (designating Galveston Wharves as a “separate utility” of the City of Galveston to be managed by the Board of Trustees of the Galveston Wharves). The City of Galveston is a municipality that owns and operates a port, and therefore, the State has accorded the Board of Trustees with the power to “construct, acquire, lease, improve, enlarge, extend, repair, maintain, replace, develop, or operate a port improvement or facility.” TEX. TRANSP. CODE § 54.003(a). In furtherance thereof, the Wharves Board publishes rules, regulations, and tariffs for the Port of Galveston.

B. The Galveston Port Facilities Corporation (“GPFC”) is a nonprofit corporation organized and existing under the laws of the State of Texas, incorporated on June 17, 2002. GPFC is a “local government corporation” charged with assisting the Board of Trustees with its governmental functions. *See* TEX. TRANSP. CODE § 431.101(a). According to its Articles of Incorporation, GPFC is organized and will be operated exclusively for one or more charitable purposes, within the meaning of Section 501(c)(3) of the U.S. Internal Revenue Code of 1986, as amended. Upon information and belief, GPFC is primarily utilized by the Wharves Board for purposes of operating the Texas Cruise Ship Terminal at Piers 25 & 27 (the “Cruise Terminal”), and Cruise Terminal’s parking lots “A” Lot “A” (located off Old Port Industrial Road behind the entrance at 33rd Street) and Lot “B” (located off 33rd Street across Harborside) in order to keep associated revenues and expenses separate from those related to other services provided by the Port of Galveston.

C. GPFC, through development of real property held by the Port of Galveston (i.e., Lot "A") and purchase of privately owned and operated parking lots virtually identical to those operated by Complainants (i.e., Lot "B"), owns and operates their own parking lot facilities in direct competition with Complainants. In total, Respondents parking lots reportedly have an approximate 2,567 vehicle capacity. Respondents' registered address is 123 Rosenberg Avenue, 8th Floor, Galveston, Texas 77550. The Wharves Board and GPFC, individually and/or collectively, constitute marine terminal operators that control and/or furnish wharf, dock, and other marine terminal facilities and services at the Port of Galveston, in connection with common carriers engaged in U.S. coastwise and foreign commerce.

III. Jurisdiction

A. This action is brought pursuant to the Shipping Act of 1984, as amended, 46 U.S.C. § 40101 *et seq.* This Honorable Commission has jurisdiction over this Complaint because the Respondents are marine terminal operators within the meaning of the Shipping Act, 46 U.S.C. § 40102(14) and the actions of Respondents, which are the subject of this Complaint, constitute violations of the Shipping Act. The Complainants respectfully request from the Federal Maritime Commission ("FMC") reparations for injuries caused by Respondents' violations of Sections 41102(c) and 41106(2) and (3) of the Shipping Act of 1984, for their unreasonable tariffs, unjust practices, undue prejudice and otherwise unreasonable refusal to negotiate with respect to the Complainants.

B. Complainants also seek an order from the Commission directing Respondents to cease and desist from future violations of the Shipping Act of 1984. Respondents' rates, tariffs and practices are irrational, discriminatory, confiscatory, and neither reasonable nor rationally related to the services or benefits provided.

IV. Factual Background

Complainants' operation in the Port of Galveston

A. In September 2000, Carnival Cruise Lines' made its inaugural voyage from the Texas Cruise Ship Terminal at Pier 25 in the Port of Galveston. By 2004, Royal Caribbean Cruise Lines' and Celebrity Cruise Lines' were also making regular sailings from the Port of Galveston, and a second terminal was added at Pier 27 to accommodate same (Piers 25 and 27 collectively referred to as the "Cruise Terminal"). In May 2004, the Port of Galveston marked its one millionth passenger to sail from the Cruise Terminal since the beginning of year-round operations in September 2000.

B. Since that time period, Complainants have operated private parking lot businesses from properties in close proximity to the Cruise Terminal,¹ providing cruise passengers with a more economic and convenient alternative to parking within the Port of Galveston facility owned and operated by Respondents. However, one crucial aspect of Complainants' business is their ability to transport cruise passengers and their luggage to and from the Cruise Terminal in shuttle buses, which Complainants own and/or operate themselves. Through complementary transportation service and personnel assisting with luggage, cruise passengers are able to safely park and be dropped off within the Cruise Terminal – and *vice versa* – without encountering traffic associated with accessing the Cruise Terminal's lots through the main entrance.

C. Specifically, to access the Cruise Terminal's parking lots, cruise passengers are required to drive their vehicles through the main entrance at 22nd Street and Harborside, drop off their luggage themselves, then proceed in their vehicle to one of the parking lots (either Lot "A" off Old Port Industrial Road behind the entrance at 33rd Street, or Lot "B" located off 33rd Street

¹ Complainants Lighthouse and EZ Cruise commenced operations in 2005, while 81st Dolphin opened for business in 2006 and transferred to its current location in May 2009.

across Harborside), and be shuttled back individually. The Port of Galveston offers a limited number of covered parking spaces (approximately 115), which are on a first come basis.

D. Complainants' shuttle buses are required to enter with all other traffic through the main entrance at 22nd Street and Harborside, drop off their customers and luggage at an assigned area on the lower deck, and then proceed out of the facility through either: the gate on 25th Street (if leaving from Terminal 1); the gate on 28th Street (if leaving from Terminal 2); or, the gate on 33rd Street (if 28th Street gate is closed). Importantly, Respondents do not permit Complainants' shuttle buses to enter through the "back" gate at the intersection of 33rd Street and Old Port Industrial Road as they do their own.

Wharves Board's Tariff for Off-Port Parking User Access Fees established in 2006.

E. In August of 2006, the Wharves Board promulgated Tariff Circular No. 6 (Item No. 111 – "Other Licenses and Permits") (hereinafter the "Tariff"), which sets forth fees the Wharves Board charges operators of private parking lots and other companies that drop off and pick up customers at the Cruise Terminal. Essentially, the Tariff sets forth guidelines for "Port Use Permits" for entities like Complainants that desire to use, or have their vehicles and operators enter on, Cruise Terminal property for commercial purposes. To receive a permit, the applicant is required to pay an Application Fee, comply with certain liability and other insurance requirements (including, for example, naming the City of Galveston and Wharves Board as Additional Insureds), pay a Decal Fee, and pay an Access Fee that is either imposed on a per trip basis, or – for operators of off-port parking lots like Complainants – assessed on a per-parking-space, per-month basis predicated upon the number of potential revenue spaces in their respective lot(s) regardless of whether spaces are used for employee parking, bus storage, or business ventures not associated with the Cruise Terminal.

F. The following is a summary of the Tariff relating to Decal and Access Fees that were put in place at that time:

Category	Decal Fee	Access Fee
Charter Buses, and Commercial passenger vehicles (except buses) with seating capacity of 15 or more persons	\$10.00/ per-decal-per-year	\$50.00/per trip
Commercial passenger vehicles (except buses) with seating capacity of 15 persons or more	\$10.00/ per-decal-per-year	\$20.00/per trip
Commercial passenger vehicles (except buses) with seating capacity of less than 15 persons	\$10.00/ per-decal-per-year	\$10.00/per trip
Limousines with seating capacity of not more than 8 persons	\$10.00/ per-decal-per-year	-
Taxicabs with City of Galveston permits	\$7.50/ per-decal-per-year	-
Off Port Parking Users (i.e., private parking lots)	\$10.00/ per-decal-per-year	\$8.00/per-parking-space-per-month

(Ex. A, Tariff Circular No. 6, Item 111 (5th Rev. of pp. 3-F and 3-G), Notes C and D).

G. Specifically, for “Off-Port Parking Users,” the Tariff provided as follows:

Those Off-Port Parking Users, . . . in operation and accessing the Texas Cruise Ship Terminal on Galveston Island®, or the Texas Cruise Ship Terminal at Pier 27, collectively the Cruise Ship Terminal Complex, as of August 15, 2006 shall in lieu of the Access/Trip fee, be subject to a monthly Access Fee equal to the initial amount of \$8.00 per parking space located in the Off-Port Parking User’s parking facility, with number of billable parking spaces to be confirmed periodically by the Galveston Wharves. . . . Commencing on August 15, 2011, the monthly Access Fee will be adjusted on that date and on each anniversary of such date . . . to reflect increases in the Consumer Price Index for All Urban Consumers for Houston-Galveston-Brazoria, Texas . . . published by the Bureau of Labor Statistics of the United States Department of Labor. . . .

See id., Note D (emphasis added).

H. Despite expressly providing the methodology for determining annual increases to monthly Access Fees charged to Off-Port Parking Users based on consumer price index (C.P.I.) growth, the Wharves Board failed to implement same in 2011, 2012, or 2013.

Interim Report from Access Fee Study Team on April 22, 2013

I. On April 22, 2013, the Wharves Board considered an interim report from an internal study team – made up entirely of in-house personnel – assembled to conduct research on how other ports, including local area airports, handle the issue of assessing access fees to offsite operators, specifically in regard to the Port of Galveston’s Access Fees that were (or were not) being charged to different private parking lot owners, hotels, and shuttle buses who enter into the Cruise Terminal. (Ex. B, Minutes of Regular Monthly Meeting, April 22, 2013, pp. 7-8). In the meeting, Respondents’ own internal team informed them that, although there was a policy for access fees in place (contained in the Tariff), *procedures still needed to be implemented for purposes of its enforcement*. *Id.*, at pg. 7 (emphasis added). Further, it was also noted that “[t]he scope isn’t really just for those who operate parking interests, but also those who operate limousines, buses, taxis and other shuttle services.” *Id.* (emphasis added).

J. Further, the interim report indicated that other ports and the airports in the area charge offsite operators a registration fee consisting of a fee per vehicle (comparable to the Port’s “Decal Fee”) and also impose a fee as a percentage of what someone pays to park at an outside location, which is usually collected as a percentage of gross revenue earned by offsite operators (including limousines, buses, and shuttle services as well as offsite parking). *Id.* It was further discussed that the airports in Houston require an annual audit of each of the licensees, where companies with gross revenue below a certain threshold conduct a self-audit, and those that are above made subject to an audit on a periodic basis. *Id.*

Wharves Board Amends Tariff on November 21, 2013, to impose the 15% increase in Off-Port Parking User Access Fees.

K. In accordance with the foregoing, on November 21, 2013, the Wharves Board amended the Tariff, increasing Decal and Access Fees as follows:

Category	Decal Fee	Access Fee
Charter Buses, and Commercial passenger vehicles (except buses) with seating capacity of 15 or more persons	\$10.00/ per-decal-per-year	\$60.00/per trip
Commercial passenger vehicles (except buses) with seating capacity of 15 persons or more	\$25.00/ per-decal-per-year	\$22.86/per trip
Commercial passenger vehicles (except buses) and Limousines with seating capacity of less than 15 persons	\$15.00/ per-decal-per-year	\$11.43/per trip
Taxicabs with City of Galveston permits	\$7.50/ per-decal-per-year	-
Off Port Parking Users (i.e., private parking lots)	Dependent on seating capacity	\$9.14/per-parking-space-per-month

(Ex. C, Tariff Circular No. 6, Item 111 (6th Rev. of pp. 3-F and 3-G), Notes C and D).

L. Specifically, for “Off-Port Parking Users,” the Tariff was amended as follows:

Those Off-Port Parking Users, . . . in operation and accessing the Texas Cruise Ship Terminal on Galveston Island®, or the Texas Cruise Ship Terminal at Pier 27, collectively the Cruise Ship Terminal Complex, as of August 15, 2006 ***shall***, in lieu of the Access/Trip fee, be subject to a monthly Access Fee equal to the initial amount of \$8.00 per parking space located in the Off-Port Parking User’s parking facility, with number of billable parking spaces to be confirmed periodically by the Galveston Wharves. . . . ***(For Calendar Year 2014, the Access Fee will be \$9.14.) . . .***

Id., Note D (emphasis added).

M. However, despite the Wharves Board’s incorporation of this increase at end of the 2013 calendar year – and despite same being published as part of the 2014 Tariff – for reasons unknown, the above increases were never implemented or enforced. Instead, the Wharves Board apparently decided to reconvene on the issue of Access Fees for Off-Port Parking Users less than six (6) months later.

Special Finance Committee's Proposed 261% increase in Off-Port Parking User Access Fees.

N. During their meeting on May 12, 2014, the Special Finance Committee for the Wharves Board again met and deliberated upon issues relating to cruise terminal parking, and placed two items on the agenda: (1) Parking Access Fees, and (2) Amendment to the Tariff.² According to the Committee, the total annual cost borne by GPFC for the Cruise Terminal is approximately \$7,228,158,³ which – the Committee contends – generates a \$1,486,925 loss experienced by the Port of Galveston Cruise Terminal because it only collects \$5,741,233.00 in total annual revenues. (Ex. D, Port of Galveston Analysis of Access Fees.)

O. However, upon information and belief, the Cruise Terminal is not operating at a loss; it collects approximately ***\$9,894,883 in total annual revenues.*** *Id.* In presenting their analysis in support of the subject increase, the Committee left out the Cruise Terminal's budgeted revenue from parking lots "A" and "B" in the amount of \$4,153,650. *Id.* Upon information and belief, when the additional revenue is included, and percentage of Port of Galveston's overhead costs reallocated back based upon same,⁴ ***the Cruise Terminal is actually operating at a profit in excess of \$1.5 million dollars.***

P. Notwithstanding this omission, the Committee and Chairman of the Board nevertheless represented that the "shortfall" had to be paid from revenue generated from parking and by increasing Access and Registration Fees, which – they contend – are the only other

² See Notes from the 5/12/14 Meeting.

³ Inclusive of operating expenses, administrative overhead, debt service, depreciation, and R&R expense; exclusive of Ship Services.

⁴ In its analysis, the Committee only allocated 21% of the Port of Galveston's total overhead costs based upon Cruise Terminal revenue without Cruise Terminal parking revenue. As indicated in the Committee's analysis, the Cruise Terminal's revenue with parking included accounts for 37% of total revenue. Accordingly, the total overhead costs need to be adjusted to allocate 37% of same to the Cruise Terminal.

revenue stream available to cover the “loss.” (Ex. E, Audio Transcription of 5/12/14 Wharves Board Special Finance Meeting, at pg. 12; Ex. D, Port of Galveston Analysis of Access Fees.)

Q. To accomplish this, the Committee proposed a substantial departure from the \$8.00 per-space Access Fee and increased same to \$28.88 per-space charged to Off-Port Parking Users to pay down the Cruise Terminal’s alleged \$1.5M deficit. (*Id.*, at pg. 12; Ex. D, Port of Galveston Analysis of Access Fees.) From a policy standpoint, their report essentially reflected that a 261% increase is justified in order to ensure “. . . the private parking lots [like Complainants’] pay a more fair share of the [\$1.5M] in expenses.” (Ex. F, Audio Transcription of Mierzwa Interview on 5/19/14, at pg. 6.) Further, the Committee rationalized the increase is both fair and equitable to Complainants, because the Wharves Board is going to “pay the same” Access Fee for its parking spaces too. This, they posit, will provide the Cruise Terminal with enough revenue to offset its Cruise Terminal costs in the amount of \$7,228,158 as follows:

	Access Fee	Annual Revenue
Cruise Passenger Revenue		\$5,741,233
Cruise Terminal Access Registration and Renewals		\$27,180
Charter Buses	\$60 per-trip	\$45,000
Airport Shuttles	\$15 per-trip	\$12,375
Per trip Access Fees	\$15 per trip	\$100,125
Per Month Access Fee—Private Lots 1,191 parking spaces ⁵	\$28.88 per- parking-space	\$412,713
Per Month Access Fees—Port Lots 2,567 parking spaces	\$28.88 per- parking-space	\$889,533
Total		\$7,228,158

(Ex. D, Port of Galveston Analysis of Access Fees.)

⁵ Importantly, the Committee’s figures only accounted for revenue from 1,191 private parking spaces held by Complainants, Discount, Park and Walk, and V.I.P. Parking, in arriving at the \$28.88 figure. As discussed in further detail in the next section at pg. 12, *infra*, the Committee failed to consider numerous hotels that also constitute “Off-Port Parking Users” for purposes of its calculation.

R. In conducting their analysis of the proposed impact of the increase on Complainants' business model, the Committee simply "assumed" that Complainants have an annual occupancy between eighty and ninety percent. The Committee never asked to review Complainants' gross receipts to verify what their actual occupancy historically has been; they apparently just utilized a range that would support their determination. However, as indicated herein, Claimants have never experienced annual occupancy in this range. Nevertheless, the committee used such figures and erroneously concluded the impact of the proposed Access Fees increase would account for between 13.19% and 14.83% of Complainants' gross revenue, as opposed to roughly 4% prior thereto. *Id.*

S. Finally, the Committee and Chairman of the Board made the following comments with regard to increasing Access Fees charged to Off-Port Parking Users:⁶

- That approximately 600,000 cruise passengers come through Galveston annually, why not charge \$2.00 per cruise passenger to make up the shortfall. The charge could be assessed when the passenger crosses a walkway or a charge to keep the passenger out of a dangerous intersection (Ex. F, Audio Transcription of Special Finance Meeting on 5/12/14, at pp. 15-16);
- That the Port of Galveston needs passengers to park in its lots, and there needs to be a charge that makes sure the private parking lots pay something towards the industry creating a job for them (*Id.* at pg. 16);
- That nobody ever verified whether hotels were charging passengers for cruise parking, and that hotels are no different than the private parking lots – the hotels are pulling passengers away from Port parking lots and the fees for hotels need to be appropriate (*Id.* at pg. 19);
- That hotels are obviously offering parking and a shuttle service to the cruise terminal (*Id.* at 21);

⁶ Upon information and belief, the only "Off-Port Parking Users" that have been assessed Access Fees by the Wharves Board in the past are Complainants (i.e., Lighthouse, EZ Cruise, and 81st Dolphin) and Discount Parking, which reportedly has the capacity to park 148 vehicles.

- That hotels are maximizing their revenue for offering parking and shuttle services at the detriment to the Port, but unlike the private parking lots, hotels add value, and the Wharves Board does not need the private parking lots as the Cruise Terminal can facilitate all parking for passengers (*Id.* at pp. 22-23);
- That hotels that allow parking for cruise passengers are in direct competition with the Port of Galveston (*Id.* at pg. 24);
- That, if access fees must be raised, they must raise it equally on everybody – that is the only way that the increase can be defended and the Wharves Board must be careful to raise fees equitably for all parties concerned (*Id.* at pg. 25);
- That there was no feedback from hotels regarding whether they were charging additional money for people to park, but the hotel internet sites indicate they provide parking for cruise passengers (*Id.* at pp. 26-27);
- That the Port of Galveston is in direct competition with the private parking lots and they are taking business away from the Port (*Id.* at pp. 31-32);
- That the 261% increase is necessary for the Port to be competitive; the private parking lots will have to raise their price and figure out a different way to manage their businesses, including cutting staff, because the Port needs to increase its market share of parking (*Id.* at pg. 32);
- That the \$8.00 per parking space fee established in 2006 was never increased like the Tariff provided for, and that is why the Port is in the position it is in today (*Id.* at pg. 37);
- That the private parking lots are making a profit and the Port is not putting any money in its pocket. The Port is trying to find a number that pays the expenses and would have to increase its parking fees to earn a profit, but the Port wants the private parking lots to help pay for the facilities and terminal (*Id.* at pg. 39);
- That the proposed access fee would require private parking lots to increase their parking rates to come more in line with what the Port charges for cruise parking at the terminal (*Id.* at pg. 42);
- That the proposed access fee for private parking lots would force them to raise their rates and put them on an even playing field with the Port (*Id.* at pg. 43);

- That the private lots should worry about whether they are going to stay in business—whether they can make a buck or not—they chose to compete with the Port. Private lots make money on the Port's back; the Port has to pay for the cruise terminal facility and the private lots need to pay for it if they choose to stay in the parking business. **If the private parking lots cannot stay in business with the tariff increase, then fine – the Port has sufficient parking for all the cruise passengers (*Id.* at pg. 44).**

Wharves Board Amends Tariff to impose the 261% increase in Off-Port Parking User Access Fees.

T. A week later, on May 19, 2014, the Wharves Board approved the Committee's proposed 261% increase in Off-Port Parking User Access Fees, which becomes effective July 1, 2014 ("2014 Tariff"). The following table summarizes the Wharves Boards' increases in Access Fees under the 2014 Tariff:

Category	Access Fee Charges		Increase
	Tariff	2014 Tariff	
Charter Buses	\$50.00/per trip	\$60.00/per trip	20%
Commercial passenger vehicles (except buses) with seating capacity of 15 or more persons	\$20.00/per trip	\$30.00/per trip	50%
Commercial passenger vehicles (except buses) with seating capacity of less than 15 persons	\$10.00/per trip	\$20.00/per trip	100%
Taxicabs with City of Galveston permits	-	-	0%
Off Port Parking Users (i.e., private parking lots)	\$8.00/per-parking-space-per-month	\$28.88/per-parking-space-per-month	261%

(Ex. G, Port of Galveston Request for Discussion and Trustees Action, Bus. Item E-2, May 19, 2014; Ex. H, Tariff Circular No. 6, Item 111 (7th Rev. of pp. 3-F and 3-G), Notes C and D.) Accordingly, despite increasing Access Fees for Off-Port Parking Users by three and one-half times, the Wharves Board disproportionately raised what is charged to vehicles on a per-trip basis and continued to exempt taxicabs from any charge whatsoever. As such, the increase is unjust and discriminatory, because the Wharves Board only desires to impose same on

Complainants and Discount Parking.⁷ Further, said increase is not rationally related to any marine terminal services or benefits, because the more than three-fold increase comes with absolutely no increase or change in services provided by Respondents.

U. With respect to the Wharves Board's basis for 2014 Tariff, the Port Director, Michael J. Mierzwa, indicated during his audio taped interview that the Wharves Board had provided specific direction on how they wanted the Committee to approach the Access Fees issue, wherein he stated as follows:

"About 5.7 million of the 7.2 million of our expenses is paid from fees that we collect from the cruise lines to bring passengers into Galveston. . . . [T]he remainder of that total, which is about one and a half million dollars, is paid by funds or revenue that the we generate, the Port of Galveston generates, for parking and then also the access fees that we charge these other entities bringing passengers into the cruise terminal along with some registration fees for annual decals and things of that nature.

The feeling of the [Wharves Board] was they wanted to see the private parking lots and the other entities that are accessing the cruise terminal with these cruise passengers to pay a more fair share of these [1.5M] expenses which the Port of Galveston has been paying . . .

. . . Although, that is a three and a half times the rate of what they are paying now, what it really means is to these different private parking lots is that for – in order for them to maintain, we'll say the gross profit margin that they have now, for a four-date cruise, they would have to raise their price, approximately, \$2.80. For a five-day cruise, would be \$3.50 cents; and for a seven-day cruise, \$4.90. ***If they raise their prices, their affect on revenues would be a wash.***

. . . I also have to pay – I pay Carnival a market incentive fee that they get a certain percentage of my parking revenue to help us market our Port of Galveston parking lot. . . . [W]e'll probably pay in excess of \$200,000.00 for their assistance in marketing the terminals – excuse me – in monitoring the port's parking. . . . Carnival is wanting a piece of the parking action in exchange for marketing . . ."

(Ex. F, Audio Transcription of Mierzwa Interview on 5/19/14, at pp. 5-7, and 12-14.)

⁷ See discussion in sections e. at pg. 16, and f. at pg. 20.

V. The problem with the Port Director's conclusion regarding the effect on revenues is that same is based on a presumed annual occupancy rate between eighty and ninety percent that Complainants' historically *never* have experienced. Further, he irrationally assumes that Complainants charging higher prices will not have any effect on demand. Upon information and belief, Respondents failed to conduct any market impact study or analysis to consider the effect said price increase would have on demand (i.e., Complainant's occupancy). Indeed, the logical conclusion is that an increase in Complainants' prices will result in reduced demand and, therefore, reduced occupancy. Clearly, reduced occupancy translates into reduced revenue for Complainants, which loss will certainly be exacerbated by the Wharves Board's "tax" on every parking space regardless of whether or not same generate revenue. Based upon the foregoing, the Port Director failed to provide any reasonable or rational basis for the unjustifiable and unsubstantiated 261% increase.

W. Further, during the hearing on revising the Tariff for "Off-Port Parking Users," some of Complainants' representatives pointed out that \$8.00 per-parking-space, per-month was previously deemed equitable by the Wharves Board, and that the Tariff provided for the rate to be increased in proportion to the consumer price index. Based upon the foregoing, Complainants inquired as to whether the Wharves Board's financial position had changed, and whether Wharves Board sustained itself differently now for some reason. In response, the Chairman of the Board indicated as follows:

We got potential customers that want to come. We need to build another terminal. We don't have the money to build it. We got to do that. That's going to increase traffic to you, for us, for everybody else; but it's got to be built. Somebody's got to pay for it. All right. So we got to generate revenue to pay for it. . . .

That's what we are trying to do If you look at what we are talking about, we are doing it fairly and what you have to realize you are talking about what we charge, but y'all don't charge anything near that. *If you charged the same thing we did, then it couldn't cost you a penny more. But the problem is is you want to take cargo away – parking away from the port which we need to pay for the cruise lines*"

(Ex. J, Audio Transcription of Hearing on Parking Fees on 5/19/14.)

X. Based upon the foregoing, Respondents appear to be engaged in nothing more than rank price fixing – and the costs that the Wharves Board seek to impose on Complainants clearly are not reasonably related to services rendered by Respondents. To the contrary, the charges are undoubtedly being levied to place Complainants at a disadvantage with respect to the Cruise Terminal's parking lots—which Carnival Cruise Line also appears to have a vested interest in. By imposing an arbitrary and irrational increase on Complainants under such dubious pretenses, Respondents as marine terminal operators, failed to establish, observe, and enforce just and reasonable regulations and practices relating to or connected with receiving, handling, storing, or delivering property; and unreasonably discriminate, prejudice, and place the Complainants at a disadvantage.

Y. Finally, at the Hearing on May 19, 2014, some of Complainants' representatives expressed their concerns with regard to: the Wharves Board's preferential treatment of numerous local hotels which provide cruise parking for passengers' vehicles and transportation to and from the Cruise Terminal; and the fact that – besides Complainants and Discount Parking – there are two other private parking lots located at 25th Street and Harborside Drive, Galveston Park and Cruise and V.I.P. Parking, which have an estimated 280 parking spaces and pay nothing – *zero* – to the Port of Galveston in the form of Access Fees, because passengers are allowed to walk with their luggage across Harborside Drive through the 25th Street gate into the Cruise Terminal.

Preferential treatment of local hotels in competition with Complainants.

Z. Despite the express applicability of the 2006 and 2014 Tariff to local hotels who also provide off-port parking to passengers as part of their business model, the Chairman of the Wharves Board, Benjamin Holland Jr., informed Complainants' representatives that "[hotels] help the [Port of Galveston] attract passengers [and he does] not want to charge them like parking lots." (Ex. I, Notes from the 5/12/14 Meeting.)

AA. This is an obvious example of discrimination; the Galveston Wharves' "selective enforcement" of its Tariff provides an undue and unreasonable preference and advantage to the local hotels, and unlawfully subjects Complainants to unreasonable prejudice and disadvantage. From the time the Tariff became effective, certain local hotels have historically provided off-port parking to passengers away on their cruises. Indeed, these hotels typically own and/or operate "Courtesy Vehicles"⁸ or arrange for "Commercial Passenger Vehicles"⁹ to pick up or drop off

⁸ In pertinent part, "Courtesy Vehicle" is defined in Items 111(7) in the Tariff, and 111(8) in the 2014 Tariff as a commercial passenger vehicle . . . operated on property owned, leased or controlled by the Galveston Wharves [that is]:

- (A) . . . owned or provided by one or more commercial business entities that: (i) arrange for the vehicle to provide transportation only incidentally to the commercial business entities primary businesses or activities, which may, for example, be off-port car rental user, off-port parking user, lodging, air transportation, special events or medical care; (ii) provide the vehicle, by purchase or lease or by contracting with another party . . .; and (iii) all sign the application for the Port Use License and/or Port Use Permit for the Vehicle, as applicants or co-applicants[;]
- (B) . . . provided for the exclusive use of officers, agents, employees, customers or invitees of any of the commercial business entities[; and]
- (C) [t]here is no fare, charge or thing of value paid, demanded or expected from the people transported, directly or indirectly, for transportation, and this is effectively communicated to the traveling public. (Example: An increase in the charge for lodging or for an event could be an indirect charge, if related to transportation.)

⁹ "Commercial Passenger Vehicle" is defined in Items 111(6) in the Tariff, and 111(7) in the 2014 Tariff, as . . . a vehicle not otherwise defined in this Tariff while it is used or offered (orally or in a writing or sign) to be used, to transport one or more people to, on land, either:

passengers within the Cruise Terminal complex in connection with their operations outside the boundaries of property owned, operated, or controlled by the Wharves Board. "Off-Port Parking Users is defined in Items 111(10) in the Tariff, and 111(11) in the 2014 Tariff, as:

. . . a commercial business entity which provides or arranges for one or more commercial passenger vehicles, courtesy vehicles, buses or shuttles, however owned or operated, to pick up or drop off passengers with a terminal complex of the Galveston Wharves in connection with the operations of a business of the user involving the parking of motor vehicles . . . at a facility located outside of the boundaries of property owned, operated or controlled by the Galveston Wharves.

BB. In direct competition with Complainants and the Wharves Board, numerous local hotels in Galveston are providing cruise parking for passengers' vehicles, and providing or arranging for transportation to the Cruise Terminal, including, without limitation:

Hampton Inn & Suites 6431 Central City Blvd. Galveston, TX 77551 (409) 744-5600	Charges \$50.00 flat rate per vehicle for cruise parking at the hotel, and provides complimentary shuttle both to and from the Cruise Terminal to passengers with one (1) night stay.
Comfort Inn Galveston 6302 Seawall Blvd. Galveston, TX 77551 (409) 741-8888	Charges \$25.00 flat rate per vehicle for cruise parking at the hotel to passengers with one (1) night stay, and arranges for passengers to utilize Hampton Inn's shuttle to and from the Cruise Terminal for an additional \$10.00 per person.
Country Inn & Suites 2818 Avenue R ½ Galveston, TX 77550 (409) 763-5000	Cruise parking at the hotel included in hotel room rate for passengers with one (1) night stay. Hotel provides shuttle to and from the Cruise Terminal at the rate of \$7.00 per person / \$14.00 round trip.

(A) in exchange for a fare, charge, or other thing of value (paid, demanded, or expected for the transportation service, in whole or in part, directly or indirectly, by the person transported or by another person, or otherwise); or

(B) in connection with the operations of a commercial business entity, regardless of whether a fare, charge, or other thing of value is paid, demanded or expected for the transportation service.

It shall be the presumption that a vehicle bearing the name, trade name, common name, emblem, trademark or other identification of a commercial business entity and being used to transport a passenger is a commercial passenger vehicle.

Hilton Galveston 5400 Seawall Blvd. Galveston, TX 77551 (409) 744-5000	Provides free cruise parking at hotel for passengers with one (1) night stay, and complimentary shuttle both to and from the Cruise Terminal.
Holiday Inn Resort 5002 Seawall Blvd. Galveston, TX (409) 740-5300	Provides free cruise parking at hotel and complimentary shuttle both to and from the Cruise Terminal to passengers with one (1) night stay.
Hotel Galvez & Spa 2024 Seawall Blvd. Galveston, TX 77550 (409) 765-7721	Provides cruise parking in hotel garage at rate of \$18.40 per day to passengers with one (1) night stay, and complimentary shuttle both to and from the Cruise Terminal.
The Tremont House 2300 Mechanic St. Galveston, TX 77550 (409) 763-0300	Provides cruise parking in Hotel Galvez's garage at rate of \$18.40 per day to passengers with one (1) night stay, and complimentary shuttle both to and from the Cruise Terminal.
La Quinta Inn & Suites 8710 Seawall Blvd Galveston, TX (409) 740-9100	Charges \$25.00 flat rate per vehicle for cruise parking at the hotel to passengers who stay 2 or more nights, and arranges complimentary shuttle of up to 4 people to and from the Cruise Terminal.
Days Inn & Suites 8712 Seawall Blvd Galveston, TX (409) 740-3000	Charges \$25.00 flat rate per vehicle for cruise parking at the hotel to passengers who stay 2 or more nights, and arranges complimentary shuttle of up to 4 people to and from the Cruise Terminal.
Holiday Inn Express 8628 Seawall Blvd. Galveston, TX 77554 (409) 740-7900	Charges \$25.00 flat rate per vehicle for cruise parking at the hotel to passengers who stay 2 or more nights, and arranges complimentary shuttle of up to 4 people to and from the Cruise Terminal.
Moody Gardens 1 Hope Blvd. Galveston, TX 77554 (409) 744-4673	Charges \$20.00 flat rate per vehicle for cruise parking at the hotel to passengers who stay one (1) or more nights, and provides complimentary shuttle to and from the Cruise Terminal.

Howard Johnson
8216 Harborside Dr,
Galveston, TX 77554
(409) 744-1100

Provides free cruise parking at hotel to passengers with one (1) night stay, and arranges for Discount Parking Lot to shuttle both to and from the Cruise Terminal at the rate of \$10.00 per person.

San Luis Resort
5222 Seawall Blvd,
Galveston, TX 77551
(409) 744-1500

Provides free cruise parking at hotel and complimentary shuttle both to and from the Cruise Terminal to passengers with one (1) night stay.

CC. Accordingly, these hotels constitute “Off-Port Parking Users” just like Complainants under both the 2006 and 2014 Tariff alike. Upon information and belief, the above hotels provide cruise parking to hundreds upon hundreds of vehicles weekly, and there are many others engaging in similar practices that defer parking revenue away from the Port of Galveston that Respondents collect nothing from.¹⁰ At a minimum, the above listed hotels should be required to pay Access Fees on a “per-parking-lot-space, per-month” basis just like Complainants. However, upon information and belief, the Wharves Board has not enforced or collected same from any such hotel since inception of the Tariff. By contrast, the Wharves Board has enforced and collected Access Fees from Complainants since inception of the Tariff. This, in and of itself, has created a substantial loss of revenue to the Cruise Terminal, and resulted in the situation at bar; that is, Complainants are now being asked to subsidize Respondents’ past and future failures to implement, enforce, and collect Access Fees under the Tariff from these other Off-Port Parking Users.

¹⁰ For instance, the Baymont Inn, Beachcomber Inn, Best Western, Commodore, Fourpoint Sheraton, Quality Inn, Casa del Mar, Gaidos Inn, and EconoLodge hotels all provide free cruise parking in connection with either a one or two night stay. These hotels require passengers to contact a local taxicab for transportation to and from the Cruise Terminal. This is problematic for the Port of Galveston, because, unlike Complainants, the Wharves Board does not require taxicabs to pay an Access Fee to enter the Cruise Terminal Facility and drop of passengers.

DD. Upon information and belief, Complainants and Discount Parking are the only companies that have been required to pay “Off-Port Parking User” Access Fees since the Tariff became effective. The Wharves Board’s discretionary and *de facto* exemption of local hotels from the 2006 and 2014 Tariffs is unreasonable, and creates a competitive disadvantage due to an improper allocation of the cost of the Port of Galveston’s services among recipients of those services. *See, e.g., Volkswagenwerk Aktiengesellschaft v. FMC*, 390 U.S. 261, 282 (1968).

The Tariff unreasonably favors Complainants’ competitors.

EE. As noted above, besides Complainants and Discount Parking – there are two other private parking lots located at 25th Street and Harborside Drive, Galveston Park and Cruise and V.I.P. Parking (collectively “V.I.P.”). V.I.P. have an estimated 280 parking spaces, engage in the exact same business as Complainants, and do not pay any Access Fees to the Port of Galveston, because the Wharves Board has historically allowed V.I.P.’s passengers to walk with their luggage across Harborside Drive through the 25th Street gate into the Cruise Terminal.

FF. Under the Tariff (\$8.00 per-parking-space, per month), this translates into an annual \$26,880.00 loss in revenue¹¹ to the Cruise Terminal for the entire period V.I.P. has been in business to date. Under the 2014 Tariff (\$28.88 per-parking-space, per-month), this translates into an annual \$97,036.80 loss in revenue¹² for the Cruise Terminal moving forward. However, because Off-Port Parking User Access Fees are only imposed upon “commercial business entit[ies] which provide or arrange for commercial passenger vehicles . . . to pick up or drop off passengers within a terminal complex of the Galveston Wharves . . .,” V.I.P. has been unreasonably exempted from the 2006 Tariff and all subsequent revisions thereto.

¹¹ Based upon 280 parking spaces at \$8.00 per-parking-space, per month, multiplied by 12 months.

¹² Based upon 280 parking spaces at \$28.88 per-parking-space, per month, multiplied by 12 months.

GG. However, the Tariff should also apply to V.I.P. The crux of the Wharves Board's reasoning for imposing its Tariff on Off-Port Parking Users is principally focused on the benefit they receive from the Wharves Board's generation of Cruise Line business in the Port of Galveston, which attracts passengers to park at their private facilities. This benefit is enjoyed by Complainants and V.I.P. alike, but the Tariff – as worded – favors V.I.P. by exempting same from any charges whatsoever. Accordingly, the Tariff is unreasonable and discriminatory, and creates an improper allocation of the cost of the Wharves' Board's services among the recipients of those services.

V. Violations of the Shipping Act of 1984

A. The actions of the Respondents' constitute violations of the Shipping Act of 1984, including: unjust, unreasonable and unlawful practices in violation of 46 U.S.C. § 41102(c); giving unreasonable preference or advantage, and/or imposing undue or unreasonable prejudice or disadvantage with respect to persons in violation of 46 U.S.C. § 41106(2); and, unreasonably refusing to deal or negotiate with Complainants in violation of 46 U.S.C. § 41106(3), for which the Complainants have suffered and continue to suffer substantial damages.

B. Specifically, Respondents have violated the above provisions because Complainants have been charged monthly Access Fees based upon the total number of parking spaces in their respective lots that are excessive and not reasonably related to the value of services rendered to Complainants by Respondents. Through application of such "tax," Complainants have been forced to subsidize costs associated with services provided to other users of the Cruise Terminal's facilities.

C. To the extent that GPFC's cash reserves have been, or will be used to approximate either GPFC or the Port of Galveston's total operating expenses, the charges levied against Complainants to build such revenues are not reasonably related to the operating expense associated with the Wharves Board's operations at the Cruise Terminal.

D. Despite Complainants' requests that the Wharves Board take action to remedy the unfair and prejudicial treatment of Complainants such that the Access Fees assessed to them represent a reasonable approximation of the services actually received, the Wharves Board has continued to implement the foregoing undue and unreasonable preferences in favor of Cruise Terminal parking lots, private parking lots to which its Tariff does not apply, and hotels engaged as Off-Port Parking Users under the Tariff, to the prejudice and disadvantage of Complainants.

E. Respondents have unreasonably refused to deal or negotiate with Complainants regarding their recent string of modifications to their Tariff with respect to Access Fees. As indicated above, the Respondents refusal to negotiate is based upon intentionally misleading information about the Cruise Terminal's financial condition and not any legitimate business rationale and therefore is unreasonable.

F. There is no transportation factor justifying the foregoing unjust and unreasonable practices, undue or unreasonable prejudices against Complainants, or the undue or unreasonable preferences advantaging other users of the Cruise Terminal.

G. Further, Respondents violations of the Shipping Act include, but are not limited to:

1. Unreasonably, unjustifiably, and with undue prejudice, refusing to observe, implement, enforce and collect Access Fees from all Off-Port Parking Users under the Tariff;
2. Imposing an unreasonable, unduly prejudicial, and discriminatory allocation of the Cruise Terminal's costs upon Complainants, but not all other users of the Respondent's services under Tariff Circular No. 6, Item 111 – Other Licenses and Permits;
3. Unreasonably and unjustifiably increasing the Access Fee (for the second time in six months) under the Tariff for Off Port Parking Users by 261%;
4. Unreasonably discriminating against Complainants by imposing an unfair and disproportionate increase in Access Fees for Off Port Parking Users in comparison to increases, if any, imposed on other users of Respondents' services under Tariff Circular No. 6, Item 111 – Other Licenses and Permits;
5. Unreasonably, unjustifiably, and with undue prejudice, not permitting Complainants' shuttle buses to enter the Cruise Terminal through the "back" gate at the intersection of 3rd Street and Old Industrial Road in the same manner that Respondents allow their own shuttle buses to proceed and deliver customers directly to the front door; and
6. Unreasonably, unjustifiably, and with undue prejudice, requiring Complainants to unload their customers at a lower level, several hundred feet away from where Respondents' drop off, which has no protection from inclement weather, is not in compliance with ADA standards and guidelines, necessitates customers crossing aggressive incoming traffic to enter the facility.

VI. Injury to Complainants

A. As a result of the Respondents' aforementioned violations of the Shipping Act, Complainants have sustained and/or will sustain injuries and damages, including, but not limited to higher costs, unreasonable Access Fees, decreased occupancy and revenue, loss of goodwill, and reduced and/or eliminated profit margin. Complainants' collectively estimate their damages to be in the millions of dollars if the Tariff is enforced. A more precise amount will be determined at hearing.

VII. Prayer for Relief

WHEREFORE, Complainants respectfully request from this Honorable Commission that Respondents, Board of Trustees of the Galveston Wharves and The Galveston Port Facilities Corporation, be required to answer these charges, and that after due investigation and hearing, Respondents be ordered to:

- i. Cease and desist from the above described violations of the Shipping Act of 1984;
- ii. Establish and put in force such practices as this Honorable Commission determines to be lawful and reasonable;
- iii. Award reparations to Complainants for the unlawful conduct described above, including the amount of actual injury, plus interest, costs, and attorney's fees;
- iv. Award any and all other damages that may be determined to be just and proper; and
- v. All other and such relief unto which Complainants may show themselves justly entitled.

VIII. Place of Hearing

The Complainants desire the Hearing to be held in Galveston, Texas.

IX. Alternate Dispute Resolution

The Commission's informal dispute resolution procedures have not been used prior to the filing of this Complaint. Counsel for Complainants has not had preliminary consultations with the Commission's Dispute Resolution Specialist regarding the availability of alternative dispute resolution (ADR) under the Commission's ADR program. 46 CFR § 502.62(E).

Respectfully submitted,

GILMAN *ALLISON LLP



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Facsimile (866) 543-3643

**Attorneys for Complainants Santa Fe
Discount Parking, Inc. d/b/a EZ Cruise
Parking, Lighthouse Parking, Inc., and
Sylvia Robledo d/b/a 81st Dolphin Parking**

Dated: June 13th, 2014.



ORIGINAL

RECEIVED

VERIFICATION OF COMPLAINT

2014 JUN 16 PM 3:49

OFFICE OF THE SECRETARY
FEDERAL MARITIME COMM

STATE OF TEXAS §
 §
COUNTY OF BRAZORIA §

BEFORE ME, the undersigned notary on this day, personally appeared Sylvia Robledo, who known to me and being duly sworn, declared as follows:

(1) "I am over eighteen (18) years of age and fully competent and able to make this Verification.

(2) I am owner of 81st Dolphin Parking, a sole-proprietorship and one of the Complainants in this matter.

(3) I have read the foregoing Verified Complaint and that the facts stated therein, upon information received from others, affiant believes to be true."


Sylvia Robledo

SUBSCRIBED AND SWORN TO BEFORE ME the undersigned Notary on this 1th day of June, 2014, by Sylvia Robledo, to certify which witness my hand and official seal.




Notary Public, State of Texas

VERIFICATION OF COMPLAINT

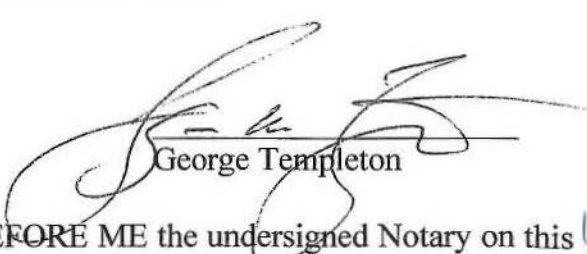
STATE OF TEXAS §
 §
COUNTY OF BRAZORIA §

BEFORE ME, the undersigned notary on this day, personally appeared George Templeton, who known to me and being duly sworn, declared as follows:

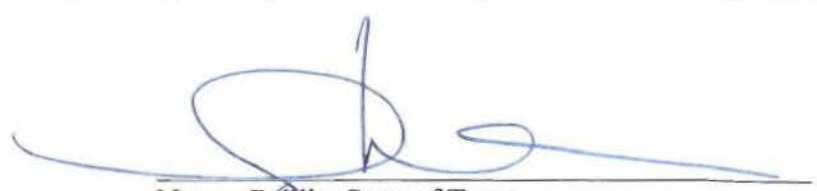
(1) "I am over eighteen (18) years of age and fully competent and able to make this Verification.

(2) I am a Principal of Lighthouse Parking, Inc., one of the Complainants in this matter.

(3) I have read the foregoing Verified Complaint and that the facts contained therein, upon information received from others, affiant believes to be true."


George Templeton

SUBSCRIBED AND SWORN TO BEFORE ME the undersigned Notary on this 11th
day of June, 2014, by George Templeton, to certify which witness my hand
and official seal.


Notary Public, State of Texas



VERIFICATION OF COMPLAINT

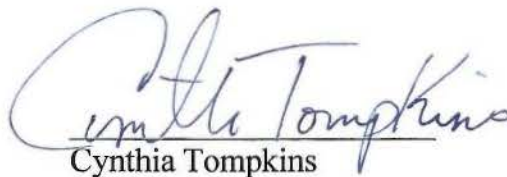
STATE OF TEXAS §
 §
COUNTY OF Brewster §

BEFORE ME, the undersigned notary on this day, personally appeared Cynthia Tompkins, who known to me and being duly sworn, declared as follows:

(1) "I am over eighteen (18) years of age and fully competent and able to make this Verification.

(2) I am a Principal of Santa Fe Discount Cruise Parking, Inc. d/b/a EZ Cruise Parking, one of the Complainants in this matter.

(3) I have read the foregoing Verified Complaint and that the facts stated therein, upon information received from others, affiant believes to be true."


Cynthia Tompkins

SUBSCRIBED AND SWORN TO BEFORE ME the undersigned Notary on this 17th day of JUNE, 2014, by Cynthia Tompkins, to certify which witness my hand and official seal.





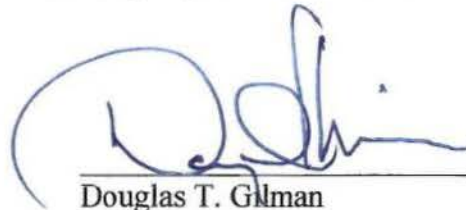
Notary Public, State of Texas

DECLARATION OF DOUGLAS T. GILMAN

1. "My name is Douglas T. Gilman. I am over eighteen (18) years of age, have not been convicted of a felony or a crime involving moral turpitude, and am otherwise capable of making this Declaration.
2. I am a Partner with the law firm of Gilman & Allison, LLP and attorney for Complainants.
3. I represent that I am admitted to practice before the Courts of the United States District Court, Southern District of Texas and in good standing.

I declare under penalty of perjury that the foregoing is true and correct pursuant to 28 U.S.C. § 1746."

Signed this 13th day of June 2014.



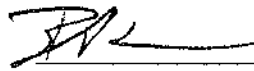
Douglas T. Gilman

DECLARATION OF BRENTON J. ALLISON

1. "My name is Brenton J. Allison. I am over eighteen (18) years of age, have not been convicted of a felony or a crime involving moral turpitude, and am otherwise capable of making this Declaration.
2. I am a Partner with the law firm of Gilman & Allison, LLP and attorney for Complainants.
3. I represent that I am admitted to practice before the Courts of the United States District Court, Southern District of Texas and in good standing.

I declare under penalty of perjury that the foregoing is true and correct pursuant to 28 U.S.C. § 1746."

Signed this 13th day of June 2014.



Brenton J. Allison

BOARD OF TRUSTEES
OF THE GALVESTON WHARVES
Tariff Circular No. 6

RECEIVED

2014 JUN 16 PM 3:49

10th Revised Page 3-C

ISSUED: DECEMBER 15, 2010

EFFECTIVE: DECEMBER 15, 2010

OFFICE OF THE SECRETARY
GENERAL MARITIME COMM

SECTION 100 - GENERAL INFORMATION, RULES AND REGULATIONS

APPLICATION	ITEM
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The request for renewal may be granted or denied, or granted with such limitations and restrictions deemed appropriate by the Board of Trustees of the Galveston Wharves. If such request for renewal and responsive information, along with the annual license fee, is not received by the deadline described above, the license will expire at midnight, December 31st. In the event of expiration or termination of a stevedore license, the Board of Trustees may, as deemed appropriate, notify all known customers of the stevedore and other users of the Port of Galveston of the respective stevedore license expiration or termination. A licensee wishing to reinstate its Stevedore License after expiration or termination must submit a new application in its entirety, accompanied by the respective application processing fee, unless the Board of Trustees of the Galveston Wharves, in its discretion, waives this requirement.

Non-Transferability of License

No license shall be transferred or assigned to or otherwise used by any person other than the named licensee without the prior written approval of the Galveston Wharves. Any person, firm, corporation or other business entity properly acquiring all or substantially all of the stevedoring business assets from a licensee hereunder may qualify for a license by conforming to the Stevedore License Application requirements of this Tariff Item.

OTHER LICENSES AND PERMITS

(C)(A)(I) 111

Port and Cruise Terminal Use and Parking Permits and Fees

Applications for Port Use Permits are to be submitted to the Galveston Wharves using Application Forms, which are available at the Offices of the Galveston Wharves. An initial fee of \$250.00, and annual renewal fee of \$50.00, is required for the following categories of business, other than marine terminal operators or stevedores as described in the above item, conducting activities on or in connection with the property of the Galveston Wharves:

1. Commercial Business Entities not operating under a Lease Agreement, Berthing Agreement, Operating Agreement, Operating or Terminal Services Agreement or Concession Agreement with the Galveston Wharves or the Galveston Port Facilities Corporation
2. Persons owning and/or operating Commercial Passenger Vehicle, Bus, , Limousine and Taxicab Service, Persons owning and/or operating Courtesy Vehicle, Shuttle or Bus Service, providing access for people to the Galveston Wharves and the Cruise Ship Terminal Complex (Not operated or controlled by or under contract for transportation services with the Galveston Wharves) (Notes A, C, D & E)
3. Mobile Food and/or Merchandise Vendors
4. Common Carriers by Water of Passengers (Water Taxi Service)
5. Persons performing Oil Waste, Bilge Water and Gray Water Removal Service
6. Persons performing Sanitary and Solid Waste Removal Services
7. Person performing the services of Line Handling for vessels.
8. Persons operating Pneumatic Trucks handling Plastic Polymer Pellets

Item No. 111 continued on the next page.

Exhibit A

BOARD OF TRUSTEES
OF THE GALVESTON WHARVES
Tariff Circular No. 6

6th Revised Page 3-D

ISSUED: DECEMBER 17, 2007	EFFECTIVE: DECEMBER 17, 2007
SECTION 100 - GENERAL INFORMATION, RULES AND REGULATIONS	

APPLICATION	ITEM
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In addition to the application and Port Use Permit fee, all applications must be accompanied by a Certificate of Insurance showing proof of insurance, not less than that required in Item 600 of this Tariff, and meeting all other requirements found in Item 600 of this Tariff, except as noted in "Note B", below. The Insured party must be the same name as the Applicant and the Taxpayer Identification registered with the Texas Secretary of State and the Texas Comptroller of Public Accounts for the named business entity. The City of Galveston and the Board of Trustees of the Galveston Wharves must also be named as "Additional Insureds" with Waiver of Subrogation.

Port Use Permits are to be issued for a period of one (1) year beginning January 1st and ending December 31st. New businesses requiring Port Use Permits within three months of the above expiration date will be issued such permits to extend the following year,

Note A. A separate Port Use Permit must be obtained for each of the business categories, named above, in which any business entity is engaged.

Note B. Initial and annual permit fee for Persons, as defined herein, who are independent owners of single taxicab vehicles, as defined herein, Mobile Food and/or Merchandise Vendors and Line Handling Companies will be \$50. Certain liability and other insurance requirements contained in Tariff Item 600 may be modified for the above users as deemed necessary based on review of the applicant and type of business. The following insurance requirements defined in the City of Galveston Ordinances, as may be amended from time to time, which are applicable to Commercial Vehicles for Hire, are incorporated into this Tariff Circular and apply to the respective types of vehicles referenced in the ordinance section heading (See also: www.cityofgalveston.org).

Sec. 35-54. Insurance-taxicabs.

Every holder of a license to operate a taxicab service pursuant to the provisions of this chapter shall maintain in full force and effect at all times a policy or policies of automobile liability and property damage insurance, with an insurance company or companies authorized to do business in Texas, covering each vehicle so used, in an amount not less than the minimum coverage required by state law. No taxicab permit shall be issued or renewed unless the applicant has obtained for the vehicle involved an automobile liability insurance policy with an insurance company or companies authorized to do business in Texas with minimum limits as prescribed pursuant to state law. The applicant prior to issuance or renewal of the permit shall furnish satisfactory proof of such coverage. Said policy shall contain a clause requiring thirty (30) days notice be given to the city prior to cancellation. If such notice of cancellation is given by the insurance company, the licensee shall obtain new insurance before meeting the requirements of this section prior to the expiration of the 30-day period; if the license fails to do so his permit shall be immediately revoked.
(Ord. No. 02-058, § 3, 6-27-02)

Item No. 111 continued on the next page.

BOARD OF TRUSTEES
OF THE GALVESTON WHARVES
Tariff Circular No. 6

4th Revised Page 3-E

ISSUED: MAY 21, 2007

EFFECTIVE: JULY 1, 2007

SECTION 100 - GENERAL INFORMATION, RULES AND REGULATIONS

APPLICATION

ITEM

Sec. 35-55. Insurance-limousines.

Every holder of a license to operate a limousine service pursuant to the provisions of this chapter shall maintain in full force and effect at all times a policy or policies of automobile liability and property damage insurance with an insurance company or companies authorized to do business in Texas, covering each vehicle so used, in an amount not less than five hundred thousand dollars (\$500,000.00) combined single limits. No limousine permit shall be issued or renewed unless the applicant has obtained for the vehicle involved an automobile liability insurance policy with an insurance company or companies authorized to do business in Texas with the required coverage. An applicant prior to the issuance or renewal of annual permit shall furnish satisfactory proof of such coverage. The holder shall furnish proof of such coverage by filing with the director a valid certificate of insurance, or in lieu thereof a true multiple original of any such policy. The policy shall contain a clause requiring thirty (30) days' notice be given to the city prior to cancellation. If the insurance company gives such notice of cancellation, the holder shall obtain new insurance before the expiration of the 30-day period; if the holder fails to do so his permit shall be immediately revoked.

(Ord. No. 02-058, § 3, 6-27-02)

Sec. 35-56. Insurance-buses and shuttles.

Every holder of a license to operate a bus or shuttle vehicle service pursuant to the provisions of this chapter shall maintain in full force and effect at all times a policy or policies of automobile liability and property damage insurance with an insurance company or companies authorized to do business in Texas, covering each vehicle so used, in an amount not less than five hundred thousand dollars (\$500,000.00) combined single limits. No bus or shuttle vehicle permit shall be issued or renewed unless the applicant has obtained for the vehicle involved an automobile liability insurance policy with an insurance company or companies authorized to do business in Texas with the required coverage. An applicant prior to the issuance or renewal of annual permit shall furnish satisfactory proof of such coverage. The holder shall furnish proof of such coverage by filing with the director a valid certificate of insurance, or in lieu thereof a true multiple original of any such policy. The policy shall contain a clause requiring thirty (30) days' notice be given to the city prior to cancellation. If the insurance company gives such notice of cancellation, the holder shall obtain new insurance before the expiration of the 30-day period; if the holder fails to do so his permit shall be immediately revoked.

(Ord. No. 02-058, § 3, 6-27-02)

Item No. 111 continued on the next page.

BOARD OF TRUSTEES
OF THE GALVESTON WHARVES
Tariff Circular No. 6

5th Revised Page 3-F

ISSUED: DECEMBER 17, 2007

EFFECTIVE: DECEMBER 17, 2007

SECTION 100 – GENERAL INFORMATION, RULES AND REGULATIONS

APPLICATION	ITEM
Note C. In addition to the annual Port Use Permit fee, ground transportation companies, as defined herein, accessing Cruise Terminal 1/ Texas Cruise Ship Terminal on Galveston Island®, or Cruise Terminal 2 / Texas Cruise Ship Terminal at Pier 27, collectively the Cruise Ship Terminal Complex, shall be subject to the following decal and/or access fees for each vehicle that shall have such access:	
<u>Type of Vehicle and Vehicle Seating Capacity:</u>	<u>Decal and Access Charge:</u>
Bus, Commercial Passenger Vehicle, or Courtesy Vehicle with Seating Capacity of greater than fifteen (15) persons (**Except as noted in Notes D & E, below)	\$10.00 per decal per vehicle, annually and \$50.00 per Access/Trip
Commercial Passenger Vehicle, Courtesy Vehicle, Shuttle or Limousine with Seating Capacity of fifteen (15) persons (**Except as noted in Notes D & E, below)	\$10.00 per decal per annually and \$20.00 per Access / Trip
Commercial Passenger Vehicle, Courtesy Vehicle or Shuttle with Seating Capacity of up to fourteen (14) persons (**Except as noted in Notes D & E, below)	\$10.00 per decal per vehicle, annually and \$10.00 per Access / Trip
Limousine or Taxi and Taxicabs with Seating Capacity of nine (9) to fourteen (14) persons (**Except as noted in Notes D & E, below)	\$10.00 per decal per vehicle, annually and \$10.00 per Access / Trip
Limousines with Seating Capacity of not more than eight (8) persons	\$10.00 per decal per vehicle, annually
Taxi and Taxicabs with Seating Capacity of not more than eight (8) persons	\$7.50 per decal per vehicle, annually
Note D. Those Off-Port Parking Users , as defined herein, in operation and accessing the Texas Cruise Ship Terminal on Galveston Island®, or the Texas Cruise Ship Terminal at Pier 27, collectively the Cruise Ship Terminal Complex, as of August 15, 2006 shall, in lieu of the Access/ Trip fee, be subject to a monthly Access Fee equal to the amount of \$8.00 per parking space located in the Off-Port Parking User's parking facility, with number of billable parking spaces to be confirmed by	

Item No. 111 continued on the next page.

BOARD OF TRUSTEES
OF THE GALVESTON WHARVES
Tariff Circular No. 6

5th Revised Page 3-F

ISSUED: DECEMBER 17, 2007

EFFECTIVE: DECEMBER 17, 2007

SECTION 100 – GENERAL INFORMATION, RULES AND REGULATIONS

APPLICATION	ITEM
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<u>Type of Vehicle and Vehicle Seating Capacity:</u>	<u>Decal and Access Charge:</u>
Bus, Commercial Passenger Vehicle, or Courtesy Vehicle with Seating Capacity of greater than fifteen (15) persons (**Except as noted in Notes D & E, below)	\$10.00 per decal per vehicle, annually and \$50.00 per Access/Trip
Commercial Passenger Vehicle, Courtesy Vehicle, Shuttle or Limousine with Seating Capacity of fifteen (15) persons (**Except as noted in Notes D & E, below)	\$10.00 per decal per annually and \$20.00 per Access / Trip
Commercial Passenger Vehicle, Courtesy Vehicle or Shuttle with Seating Capacity of up to fourteen (14) persons (**Except as noted in Notes D & E, below)	\$10.00 per decal per vehicle, annually and \$10.00 per Access / Trip
Limousine or Taxi and Taxicabs with Seating Capacity of nine (9) to fourteen (14) persons (**Except as noted in Notes D & E, below)	\$10.00 per decal per vehicle, annually and \$10.00 per Access / Trip
Limousines with Seating Capacity of not more than eight (8) persons	\$10.00 per decal per vehicle, annually
Taxi and Taxicabs with Seating Capacity of not more than eight (8) persons	\$7.50 per decal per vehicle, annually
Note D.	Those Off-Port Parking Users , as defined herein, in operation and accessing the Texas Cruise Ship Terminal on Galveston Island®, or the Texas Cruise Ship Terminal at Pier 27, collectively the Cruise Ship Terminal Complex, as of August 15, 2006 shall, in lieu of the Access/ Trip fee, be subject to a monthly Access Fee equal to the amount of \$8.00 per parking space located in the Off-Port Parking User's parking facility, with number of billable parking spaces to be confirmed by

Item No. 111 continued on the next page.

BOARD OF TRUSTEES
OF THE GALVESTON WHARVES
Tariff Circular No. 6

5th Revised Page 3-G

ISSUED: DECEMBER 17, 2007

EFFECTIVE: DECEMBER 17, 2007

SECTION 100 - GENERAL INFORMATION, RULES AND REGULATIONS

APPLICATION

ITEM

Note D.

the Galveston Wharves. The \$8.00 Access Fee will be effective on and after August 15, 2006. Commencing on August 15, 2011, the monthly Access Fee will be adjusted on that date and on each anniversary of such date (each an "Adjustment Date") to reflect increases in the Consumer Price Index for All Urban Consumers (CPI-U) for Houston-Galveston-Brazoria, Texas, All Items (1982-84 = 100) published by the Bureau of Labor Statistics of the United States Department of Labor (the "Index"). If the Index is converted to a different standard reference base or otherwise revised, the determination of the Index will be made with the use of such conversion factor, formula, or table for converting the Index as may be published by the agency or authority that establishes the Index or, if one is not published by such agency or authority, then with the use of such conversion factor, formula, or table as may be published by any nationally recognized publisher of similar statistical information. If the Index ceases to be published, then within 30 days after such Index ceases to be published the Wharves will substitute a new index of similar type to be used as the Index for determining future monthly Access Fee escalation. On each Adjustment Date, Access Fees will be recalculated to be equal to a number equal to the product of the Access Fee in effect the day before the Adjustment Date multiplied by a fraction, the numerator of which is the Index number for the last reporting period before the Adjustment Date and the denominator of which is the Index number for the last reporting period before (i) the Effective Date (with respect to the first adjustment of Access Fee) or (ii) the immediately preceding Adjustment Date (with respect to each subsequent adjustment), whichever is applicable. If the product is greater than the Access Fee in effect the day before the then current Adjustment Date, the Off-Port Parking User must pay the greater amount until the next Adjustment Date. Access Fee as calculated in this Tariff Item must never be less than the amount of the initial Access Fee set forth above. The Galveston Wharves will provide all Off-Port Parking Users to whom the Access Fee applies with notice of each adjustment to Access Fee and the calculation of the adjustment no later than 30 days prior to each Adjustment Date.

Note E.

Parking Fees - Those Charter Bus Owners and Operators, as defined herein, in operation and accessing the Texas Cruise Ship Terminal on Galveston Island®, or the Texas Cruise Ship Terminal at Pier 27, collectively the Cruise Ship Terminal Complex, as of December 17, 2007 shall, in lieu of the payment of Initial Application and Renewal Fees for Port Use Permits, Decal Fees and/or the Access/ Trip fee, be subject to a Parking Fee equal to the amount of \$50.00 per each use of any bus parking space located in the Cruise Ship Terminal Complex. Charter Bus Operators must provide sufficient advance notification to the Port, Attention of the Director of Administration, in advance of arrival at the Port to allow for review of the existence and sufficiency of the required insurance. Additionally, payment shall be made by check on arrival at the Cruise Ship Terminal Complex, unless prior acceptable payment arrangements have been made in advance with the Port.

Item No. 111 continued on the next page.

BOARD OF TRUSTEES
OF THE GALVESTON WHARVES
Tariff Circular No. 6

4th Revised Page 3-H

ISSUED: DECEMBER 17, 2007

EFFECTIVE: DECEMBER 17, 2007

SECTION 100 – GENERAL INFORMATION, RULES AND REGULATIONS

APPLICATION

ITEM

Payment of Fees:

Payment of fees for initial application for Port Use Permit and for renewal of Port Use Permits is due upon submission of the application for such permit in person or by mail at the Administrative Offices of the Port of Galveston. Extension of Credit, issuance of invoices for payment of fees and payment of all fees other than application fees due to the Galveston Wharves will be made in accordance with the provisions of Section 100 of Tariff Circular No. 6, Items No. 192, 194, 196 and 198. Decals will be mailed to Port Use Permit applicants, at the mailing address noted on the application, upon approval of the Port Use Permit application by the Galveston Wharves.

Suspension or Revocation of Port Use Permits will be in accordance with the terms of Item #112 of Tariff Circular No. 6, as it may be amended from time to time.

Definitions:

- (1) **ACCESS** means to enter upon premises owned, operated or controlled by the Board of Trustees of the Galveston Wharves.
- (2) **BUS** means a motor vehicle operated for commercial purposes that:
 - (A) has manufacturer's rated seating capacity of more than fifteen (15) passengers (including the driver); and
 - (B) is used for the transportation of people.
- (3) **BUS SERVICE** means the business of offering or providing transportation of people for hire by bus, whether the fare is paid by individuals boarding the bus or by contract with or for a specified group or people, when:
 - (A) a driver or referral to a driver is furnished as part of the service; and
 - (B) the service is offered either as a charter bus service or a special bus service.
- (4) **CHARTER BUS SERVICE** means a bus service for the transport of people belonging to a specified group that is offered only upon a prearranged basis, the prearrangement being made at least one hour in advance of the time the transportation is to begin.
- (5) **COMMERCIAL BUSINESS ENTITY** means any Person, as defined in this section, engaged in commercial, industrial or institutional operations in connection with which money or anything of value is paid, demanded or expected by passengers, customers, or other users, but does not include the federal government of the United States, the State of Texas, the City of Galveston, the Galveston Wharves or any of their departments, agencies or political subdivisions (unless they provide, as their primary function, ground transportation of passengers in exchange for fares or charges).
- (6) **COMMERCIAL PASSENGER VEHICLE** means a vehicle not otherwise defined in this Tariff while it is used, or offered (orally or in a writing or sign) to be used, to transport one or more people, on land, either:
 - (A) in exchange for a fare, charge, or other thing of value (paid, demanded, or expected for the transportation service, in whole or in part, directly or indirectly, by the person transported or by another person, or otherwise); or

Item No. 111 continued on the next page.

BOARD OF TRUSTEES
OF THE GALVESTON WHARVES
Tariff Circular No. 6

3rd Revised Page 3-1

ISSUED: DECEMBER 17, 2007

EFFECTIVE: DECEMBER 17, 2007

SECTION 100 - GENERAL INFORMATION, RULES AND REGULATIONS

APPLICATION	ITEM
(B)	in connection with the operations of a commercial business entity, regardless of whether a fare, charge, or other thing of value is paid, demanded or expected for the transportation service.

It shall be a presumption that a vehicle bearing the name, trade name, common name, emblem, trademark or other identification of a commercial business entity and being used to transport a passenger is a commercial passenger vehicle.

(7) **COURTESY VEHICLE** means a commercial passenger vehicle that meets all of the following criteria at all times when it is operated on property owned, leased or controlled by the Galveston Wharves:

(A) The vehicle is owned or provided by one or more commercial business entities that: (i) arrange for the vehicle to provide transportation only incidentally to the commercial business entities' primary businesses or activities, which may, for example, be off-port car rental user, off-port parking user, lodging, air transportation, special events or medical care; (ii) provide the vehicle, by purchase or lease or by contracting with another party (which party may or may not be primarily in the business of providing ground transportation); and (iii) all sign the application for the Port Use License and/or Port Use Permit for Vehicle, as applicants or co-applicants.

(B) The vehicle is provided for the exclusive use of officers, agents, employees, customers or invitees of any of the commercial business entities.

(C) There is no fare, charge or thing of value paid, demanded or expected from the people transported, directly or indirectly, for transportation, and this is effectively communicated to the traveling public. (Example: An increase in the charge for lodging or for an event could be an indirect charge, if related to transportation.)

(8) **GROUND TRANSPORTATION COMPANY** means any Person (other than the Galveston Wharves or any Person or entity under contract to provide transportation services for the Galveston Wharves) owning or operating the following types of vehicles as defined in this section: commercial passenger vehicle, bus, bus service, charter bus, courtesy vehicle, shuttle, limousine, taxi or taxicab service.

(9) **LIMOUSINE** means a motor vehicle operated for commercial purposes that shall not have a taximeter, which is a luxury sedan with a manufacturer's rated seating capacity of not more than fifteen (15) passengers that is used for the transportation of people.

(10) **OFF-PORT PARKING USER** means a commercial business entity which provides or arranges for one or more commercial passenger vehicles, courtesy vehicles, buses or shuttles, however owned or operated, to pick up or drop off passengers within a terminal complex of the Galveston Wharves in connection with the operations of a business of the user involving the parking of motor vehicles of any type at a facility located outside of the boundaries of property owned, operated or controlled by the Galveston Wharves.

(11) **OFF-PORT RENTAL CAR USER** means a commercial business entity which provides or arranges for one or more commercial passenger vehicles, courtesy vehicles, buses or

Item No. 111 continued on the next page.

BOARD OF TRUSTEES
OF THE GALVESTON WHARVES
Tariff Circular No. 6

1st Revised Page 3-J

ISSUED: DECEMBER 17, 2007

EFFECTIVE: DECEMBER 17, 2007

SECTION 100 - GENERAL INFORMATION, RULES AND REGULATIONS

APPLICATION	ITEM
shuttles, however owned or operated, to pick up or drop off passengers within a terminal complex of the Galveston Wharves in connection with a business of the user involving the renting of motor vehicles, all under circumstances where the user does not have a contract or lease with the Galveston Wharves for the use of counter space within the terminal complex.	
(12)	ON-PORT RENTAL CAR USER means a commercial business entity which may provide or arrange for one or more commercial passenger vehicles, courtesy vehicles, buses or shuttles, however owned or operated, to pick up or drop off passengers within a terminal complex of the Galveston Wharves in connection with a business of the user involving the renting of motor vehicles, under circumstances where the user has a contract or lease with the Galveston Wharves for counter space, kiosk or other location within the terminal complex.
(13)	OPERATE means to drive or to be in control of a taxicab, limousine, bus, courtesy vehicle, shuttle or commercial passenger vehicle.
(14)	OWNER means the person to whom state license plates for a vehicle were issued.
(15)	OPERATING AUTHORITY means written permission or licensing granted on an annual basis by the Port Director under this section.
(16)	OPERATOR means the owner of a taxicab, limousine, bus, courtesy vehicle, shuttle or commercial passenger vehicle; or the holder of a taxicab, limousine, bus, courtesy vehicle or shuttle operating authority.
(17)	PERSON means any natural person or any entity, whether organized for profit or not, that is a corporation, limited or general partnership, limited liability company, sole proprietorship, real estate investment trust, joint venture, joint stock company, cooperative, association, bank, trust, insurance company or other legal entity or combination organized pursuant to or recognized under the laws of Texas or any other state or country.
(18)	PORT USE PERMIT means a valid (not suspended or revoked) and unexpired permit issued by the Port Director pursuant to this Tariff Item. A Port Use permit contains terms and conditions as described herein, or as may be amended from time to time. A Port Use Permit grants privileges (e.g., using Galveston Wharves property for commercial purposes, supplying services at the Galveston Wharves (Port of Galveston) for which fees are imposed. Both Port Use Permits and the more specialized contracts or leases mentioned in this Tariff are types of contracts.
(19)	SHUTTLE means a van-type motor vehicle operated for commercial purposes that shall not have a taximeter, that has a manufacturer's rated seating capacity of not less than eight (8) passengers and not more than fifteen (15) passengers and is used for the transportation of people.
(20)	TAXI OR TAXICAB means a chauffeured motor vehicle, but not including limousines, that is equipped with a taximeter, and that has a typical rated passenger capacity of eight (8) passengers or less, used for the transportation of passengers for hire over the public streets of the city that typically operates on irregular routes, irregular schedules, and a call and demand

Item No. 111 continued on the next page.

BOARD OF TRUSTEES
OF THE GALVESTON WHARVES
Tariff Circular No. 6

1st Revised Page 3-K

ISSUED: DECEMBER 17, 2007

EFFECTIVE: DECEMBER 17, 2007

SECTION 100 - GENERAL INFORMATION, RULES AND REGULATIONS

APPLICATION	ITEM
basis, and irrespective of- whether or not the operations extend beyond the city limits, at rates for distance traveled, or for waiting time, or for both, or at rates per hour, per day, per week, or per month and such vehicle is routed under the direction of the passenger hiring the same. Special Note: Taxi or Taxicab with seating capacity of greater than eight (8) passengers will be assessed a trip charge as indicated in "Note C" of this Tariff Item.	

(21) **TAXICAB, LIMOUSINE, BUS OR SHUTTLE SERVICE** means a passenger transportation service operated for hire that uses any one or more of the following vehicle types: taxicabs, limousines, buses, or shuttles in the operation of the service and includes (but is not limited to) a facility from which the service is operated; taxicabs, limousines, buses, or shuttles used in the operation; and a person who owns, controls, or operates the service.

(22) **TAXIMETER** means a device that mechanically or electronically computes a fare based upon the distance traveled, the time the taxicab is engaged, and any other basis for charges which are specified in the operating authority or rate ordinance pertaining to the holder.

(23) **TERMINAL COMPLEX** means that area within the boundaries of property owned, leased or controlled by the Galveston Wharves located within 400 feet of a passenger terminal building (or any part thereof). The Port Director may promulgate a map or other description of a terminal complex, and it shall be a presumption that the boundaries of the terminal complex are as so promulgated by the Port Director.

REVOCATION OF LICENSES

112

Revocation of Stevedore Licenses and Other Licenses

The Galveston Wharves reserves the right to suspend, revoke, or deny renewal of a Stevedore License, previously granted and issued under Tariff Item No. 110 – STEVEDORE LICENSE, or of any Other License previously granted and issued to Port Users under Tariff Item No. 111 – OTHER LICENSES, upon written notice to the licensee based on any of the following:

- (1) Failure of the licensee to adhere to the terms and conditions of its license, including without limitation, violations of the Tariff, policies, rules and regulations of the Galveston Wharves (including insurance and bonding requirements), and all fire, safety, environmental or other applicable Federal, State or local laws and regulations;
- (2) Failure of licensee to discharge its financial obligations to the Galveston Wharves, which shall include failure to adhere to the terms of payment of all charges and fees due and payable in accordance with the terms of Section 100 of the Board of Trustees of the Galveston Wharves Tariff Circular No. 6, as it may from time to time be amended.
- (3) The submittal by the licensee of false or misleading information to the Galveston Wharves;
- (4) Neglect of duty, incompetence, inefficiency, or other act or acts detrimental to the interest of the Galveston Wharves or the public; or
- (5) Such other factors relating to the interests of the Galveston Wharves or the public as

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OFFICE OF THE SECRETARY
FEDERAL MARITIME COMM

**PORT OF GALVESTON
REQUEST FOR DISCUSSION AND
TRUSTEES ACTION**

**MINUTES
ITEM - B-1**

PREPARED BY: Michael J. Mierzwa Port Director May 8, 2013

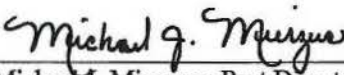
SUBJECT: Minutes – Regular Monthly Meeting of the Board of Trustees of the Galveston Wharves held April 22, 2013

BACKGROUND: Attached are the minutes from the Regular Monthly Meeting of the Board of Trustees of the Galveston Wharves held April 22, 2013.

ADDITIONAL INFORMATION ATTACHED: No _____ Yes x

RECOMMENDATIONS: Port staff respectfully requests Board approval of the minutes from the Regular Monthly Meeting of the Board of Trustees of the Galveston Wharves held April 22, 2013.

Respectfully Submitted By:


Michael J. Mierzwa, Port Director

DATE ACTION TAKEN: _____

Approved: _____
Disapproved: _____
Deferred To: _____
Incorporated into Minutes: _____

Motion By: _____
Seconded By: _____
Unanimous: Yes _____ No _____
By: _____

Exhibit B

**Minutes of the Regular Monthly Meeting of the
Board of Trustees of the Galveston Wharves
Monday, April 22, 2013**

Minutes of the Regular Monthly Meeting of the Board of Trustees of the Galveston Wharves held Monday, April 22, 2013, in the offices of the Port of Galveston on the 8th Floor of the Shearn Moody Plaza, 123 Rosenberg, Galveston, Texas.

The Secretary to the Board called roll. Chairman Bassett declared a quorum of the Board of Trustees present and called the meeting to order at 10:07 a.m., Monday, April 22, 2013.

Presiding Officer: Roland Bassett, Chairman, Board of Trustees

Present:	Chairman Roland Bassett Trustee Richard DeVries Trustee Robert Hoskins	Vice Chair Edward J. Walsh, III Trustee Benjamin F. Holland, Jr. Trustee John A. Smecca
Others:	Michael J. Mierzwa Peter Simons Bernard A. Curran Mark Murchison Diane Falcioni Angie Ramirez	Hulse Wagner John G. Peterlin, III Roger R. Quiroga Robert Pierce Cristina Galego Judy K. Sponge
Visitors:	John Manlove Dan Homan Tom Holtz Brian Jaehne Chris Raley Heather Zayas Ty Thomas Steven MonDragon News Media	Fred Bass Mark Eastham Bob Arroyave Ray Bradley Hank Hoffman Jeannine Heineman John Collins Ted O'Rourke

Chairman Bassett called for the declaration of conflicts of interest. There were no conflicts declared by the Trustees.

Chairman Bassett welcomed all to the meeting, noting that anyone who planned to address the Board of Trustees must first fill out and submit the proper form, and then at the appropriate time on the agenda the Trustees would hear their request.

Chairman Bassett called for Presentations and Announcements.

Chairman Bassett and the Port Director made a presentation to the Honorable John G. Manlove. Mr. Mierzwa read the following Resolution into the record, which will be signed by the Trustees, framed and delivered to Mr. Manlove.

Whereas, John Manlove was unanimously appointed to an unfilled position on the Board of Trustees of the Galveston Wharves and the Galveston Port Facilities Corporation on September 9, 2010 (9/09/10 – 6/30/11), was appointed by a unanimous vote of the Galveston City Council to serve his first full three-year term on the Board of Trustees and the Galveston Port Facilities Corporation on June 9, 2011, and was appointed as Vice Chairman of the Real Estate Committee of the Board of Trustees prior to serving as a respected member of the Board of Trustees Finance Committee in 2011; and

Whereas, John Manlove is recognized by the Board of Trustees for his phenomenal achievements, commendable management of the Port's assets and resources under the Board's stewardship so as to create optimum economic benefit for both the Port and City of Galveston, and in overseeing major initiatives, successful capital campaigns and significant Port projects while continually providing unshakeable guidance in proficient marketing strategies and distinguished channels of communication; and

Whereas, John Manlove is lauded by his peers for his unique master planning and expertise in business development, acclaimed repeatedly for his staunch determination, remarkable foresight, and unwavering commitment to trade development, persistently exceeding all expectations in the global market, with particular dedication to the expansion and marketing of the cruise industry in the Port of Galveston and State of Texas; and

Whereas, the Board of Trustees hereby conveys to John Manlove their deepest respect and sincere gratitude, commending him for his outstanding service as a member of the Board of Trustees and Director of the Galveston Port Facilities Corporation, and applauding his resolute allegiance to the success of the Port and City of Galveston, working diligently to provide sound leadership and legendary service to all; and

Whereas, the Board of Trustees wishes to acknowledge their profound appreciation to a professional leader and friend of the Galveston Wharves;

NOW, THEREFORE, BE IT RESOLVED that the Board of Trustees of the Galveston Wharves records in its minute book their genuine appreciation of the valued service of John Manlove, and that his outstanding contributions in all areas of port management always be remembered and respected by this Board, and that a copy of this Resolution be presented to John Manlove over signature of the Board of Trustees of the Galveston Wharves in which he is highly held by this Board.

The Chairman, on behalf of the Trustees and Port staff, presented Mr. Manlove with a token of appreciation from the Port symbolizing his significant contributions to the Galveston Wharves and the City of Galveston.

Trustee Bassett next called for the presentation from Mr. Fred Bass and Mr. Dan Homan of Frederick Bass & Co., Inc., who presented and discussed the key points of the Galveston Wharves Pension Plan Actuarial Valuation as of January 1, 2013 and the Galveston Wharves Pension Plan Pension Expense under GASB No. 68, which are made part of these minutes.

Trustee Bassett next recognized Mr. Hank Hoffman, who submitted a request to address the Trustees on behalf of Phoenix Port Partners. Mr. Hoffman briefly updated the Trustees on the progress of Phoenix Port Partners since his last report. Mr. Hoffman stated that first he would address key deliverables that are part of the Professional Services Agreement, short-term financing activities and the next steps to be undertaken by Phoenix Port Partners. Mr. Hoffman reminded the Trustees that they had previously recommended a multi-phase proposal to complete the west end combination container – roll-on/roll-off facility. The first phase is a planning phase, which they are in right now and drawing close to the close-up, followed by an engineering and design phase, followed by a construction phase and culminating in full implementation of the plan. Phoenix has made sure that they not only continue the existing business activities that take place at the west end, but also continue to look for new business on behalf of the Port of Galveston at the same time.

Beginning in February, Mr. Hoffman continued, Phoenix Port Partners began working actively under this agreement and there were five deliverables. The business case, which was completed sometime in February and returned that to Port staff. That case was followed by the development of the initial financial model – proforma financials for the projected operation, Mr. Hoffman stated. Phoenix Port Partners then completed the operational model, and have just recently completed the fourth deliverable, which is the organization model, and that is the best proposed outcomes for a public private partnership. The final deliverable is well under way, and Phoenix Port Partners will meet with Port staff later this week and provide an update to them, and that deliverable is the marketing mix – what they are calling an execution plan, Mr. Hoffman stated. That is really where the rubber meets the road.

Mr. Hoffman stated that the meetings with Port staff are key elements in development, potential financial mechanisms, and the attraction of additional niche business to the west end. The frequent meetings with the Port allows for a review of activities, updates on the work product, financial model, and then vet the deliverables to insure Phoenix Port Partners is headed in the right direction.

Mr. Hoffman advised the Trustees of the various meetings that Phoenix Port Partners are having with financial investors, as well as strategic investors, which is what they really like because they bring business, expertise and capital. Phoenix wants to qualify and verify their work product out in the real world. The work product that Phoenix is developing – the business case, the financial model, the organization model, the

operations model and hopefully the marketing mix -- are being developed for going after the financing markets. By getting out and meeting individuals, Phoenix is developing a very good qualified pool of people who will have interest in this project, not only in the short term, but also in the long run.

Mr. Hoffman stated that it is still very early on in the process because Phoenix is still in the planning stage, but the interest is very solid. It is going to be great.

Chairman Bassett thanked Mr. Hoffman and called for comments from the public.

Mr. Mark Eastham of Legacy Port Partners submitted a request to address the Trustees on a public-private partnership.

Mr. Eastham stated that Legacy Port Partners is a local group of investors -- businessmen and real estate developers who formed Legacy Port Partners to take advantage of investing in infrastructure and promoting jobs in this area. Legacy Port Partners have examined past proposals and things that have happened concerning Pelican Island. The Legacy Port Partners have also spoken with the various stakeholders on Pelican Island -- Texas A&M, the County, the City, and the economic development groups in the area -- and they have concluded that action needs to be taken, and the opportunity as a community is right now. Mr. Eastham, noting the future opportunities from the expansion of the Panama Canal, stated that it is vital to be ready and able to accept more and larger ships into a port in this region, noting the importance of the infrastructure improvements and variety of new facilities for potential end-users that require access to deep water shipping. Mr. Eastham was confident that the Trustees would know how to move forward with looking at future proposals.

Chairman Bassett thanked Mr. Eastham for his presentation.

Chairman Bassett called for approval of the minutes. *Trustee DeVries moved approval of the minutes of the Regular Monthly Meeting of the Board of Trustees held March 25, 2013 as presented. Motion was seconded by Vice Chairman Walsh and carried, with Trustee Smecca abstaining from vote as he was not present at the March 25, 2013 meeting.*

Chairman Bassett called for the Port Director's Report.

Mr. Mierzwa noted the very detailed report on finances given by the Director of Finance at the Finance Committee Meeting earlier in the day. Mr. Mierzwa summarized his Port Director's Report for March 2013, which was provided to the Trustees in their notebooks, including discussion and updates on cruise terminal security conditions, security grants, cruise revenues, business interruption insurance and the update on Carnival's *Triumph*, Wallenius-Wilhelmsen and the Pier 10 rehabilitation project, the project to fill slips 12 and 14, the Galveston Downtown Transit Terminal, Shearn Moody Parking Garage, government relations and the Port-of-Call work with the CVB, the proposed GALTEX Pilots' tariff rate increase meeting, the on-line parking reservation system and the

LED/Digital display sign, working with the Galveston businesses on how to conduct business with the Port of Galveston, and Port staff's travel.

After hearing the Port Director's update to the Trustees on the items in his report, and discussing operating revenues and expenses, Vice Chairman Walsh moved for acceptance of the Port Director's Report for March 2013 as presented. Motion was seconded by Trustee Smecca and unanimously carried.

Chairman Bassett called for the Consent Agenda.

Finance Committee Chairman Walsh stated that the Finance Committee met earlier this morning and discussed the Consent Agenda in detail, with specifics on the Port's finances provided by the Director of Finance, Mark Murchison. Finance Committee Chairman Walsh stated that the Finance Committee moved for approval of Consent Agenda Items D-1 – Board and Staff Expense Report, D-2 – Financial Statements, D-3 – Port Investments Report, D-4 – Bank Reconciliation Report and Schedule of Internal Fund Balances, D-5 – Cash Flow for the Month of February 2013, D-6 Monthly Delinquent Accounts Receivable Analysis, and D-7 – Vendor Check Register Report. There was nothing submitted for Trustee action under D-8 – Trade Development. *Finance Committee Chairman/Board Vice Chair Walsh moved for approval of Consent Agenda Items D-1 through D-8 as discussed and recommended by the Finance Committee. Motion was seconded by Trustee DeVries and unanimously carried.*

Chairman Bassett called for Business Items.

E-1 Discuss and Consider Adjustments to the Board of Trustees of the Galveston Wharves and the Galveston Port Facilities Corporation 2013 Combined Operating, Renewal & Replacement and Capital Improvements Budgets: The Chairman announced that this item was discussed in great detail in the Finance Committee Meeting held last Thursday, and in the Galveston Port Facilities Corporation Meeting earlier this morning. *Vice Chairman Walsh stated that the Finance Committee, after detailed review last Thursday, voted to recommend approval to the Board as a whole, and the Vice Chairman moved to adjust the Galveston Wharves and Galveston Port Facilities Corporation 2013 Combined Operating, Renewal and Replacement and Capital Improvements Budgets appropriately to discussions. Motion was seconded by Trustee Holland. Motion unanimously carried.*

Chairman Bassett noted the real effort being made by Port staff to separate the consolidated statements so that the Board of Trustees of the Galveston Wharves and the Galveston Port Facilities Corporation operating and balance sheets will be separated, which will make things easier to understand on what each organization is doing.

E-2 Discuss and Consider Approval of Contribution in the Amount Not to Exceed \$540,004 to the Galveston Wharves Pension Plan: Chairman Bassett noted that there was a presentation given by representatives of Frederick Bass & Co. Inc. earlier in this meeting stating that the Port's contribution to the Plan this year would be \$540,004, if contributed to the Trust twenty-four times during the 2013 year. *Trustee Holland moved approval of the contribution in an amount not to exceed \$540,004, to*

be contributed to the Trust twenty-four times during the 2013 Plan year, as recommended by the actuary for the Galveston Wharves Pension Plan and discussed with Port staff. Motion was seconded by Vice Chairman Walsh and unanimously carried.

E-3 Discuss and Consider Property Flood Insurance Coverages Secured by Alliant Insurance Services, Inc. from the National Flood Insurance Program, and Approval of the Payment of a Premium for that Coverage in the Amount Not to Exceed \$170,000: *Port staff discussed this coverage with the Trustees, recommending Board approval of the purchase of Property Flood Insurance from the National Flood Insurance Program and the payment of a premium for that coverage in the amount not to exceed \$170,000. Trustee Holland so moved. Motion was seconded by Trustee Hoskins and unanimously carried.*

E-4 Discuss and Consider the Approval of Expenditure of Capital Improvement Funds for Installation of Fencing and Replacement of Overhead Doors in the Pier 15 Warehouse in an Amount Not to Exceed \$90,000: Mr. Simons noted that approval of this request will enable Port staff to continue to support Wallenius' efforts to expand cargo throughput at the Pier 10 facility. Mr. Simons noted that the anticipated cost of the project is \$78,000, however, Port staff requested Board approval to spend up to \$90,000 to cover any unforeseen contingencies associated with the installation of fencing and the replacement doors. Port staff will bring the Agreement to the Trustees at the June or July Board Meeting. No problems are anticipated. Mr. Simons did note the one exception where he would like to move forward with the replacement of the roll-up doors. Of the budgeted \$38,000 for that component is the \$27,000, which Port staff believes will be reimbursed by FEMA, because a number of the doors have been identified as being damaged by Hurricane Ike. That will then allow the Port to close out the Pier 15 project with FEMA and seek reimbursement for those expenditures. *Vice Chairman Walsh moved approval of the proposed expenditures as discussed and recommended by Port staff. Motion was seconded by Trustee DeVries and unanimously carried.*

Chairman Bassett announced going into Executive Session pursuant to Texas Government Code Section 551-071 Consultation with Attorney, Section 551-072 Real Property, Section 551-074 Personnel, Section 551-087 Economic Development Negotiations, and Section 551-076 Security Matters.

Mr. Mierzwa, addressing Chairman Bassett, stated that he anticipated that the Board would discuss the West End Development Project in Executive Session and suggested that the participation of Phoenix Port Partners representatives will be necessary for the Board to adequately consider the relevant issues. If the Board agreed, Mr. Mierzwa stated that he respectfully requested that Phoenix Port Partners representatives be admitted to the Executive Session during consideration of West End development matters.

Chairman Bassett asked if there were any objections from the Board. Hearing none, the Chairman noted that Phoenix Port Partners representatives would be invited to participate in Executive Session solely during consideration of West End development matters under the Real Estate and Economic Development exceptions to the Open Meetings Act.

The time was 11:25 a.m. on Monday, April 22, 2013.

The Executive Session began at 11:32 a.m., Monday, April 22, 2013.

The Chairman called for a brief recess at 12:23 p.m., to allow the Trustees to get their lunch, calling the Executive Session back to order at 12:36 p.m. The Executive Session adjourned at 2:06 p.m., Monday, April 22, 2013.

Chairman Bassett reconvened the Regular Monthly Meeting at 2:08 p.m., Monday, April 22, 2013 and called for the remainder of the items on the agenda. The Chairman noted that there were no items heard in Executive Session that required action.

E-5 Receive and Consider Interim Report from Access Fee Study Team: Mr. Mierzwa noted that at the last meeting Trustee Hoskins asked where Port staff stood in looking at the Port's access fees that are charged to different private parking lot owners, hotels, and shuttle buses who enter into the cruise terminal. Mr. Mierzwa stated that he had asked the Deputy Port Director to form a team to look into this, to investigate what other people are charging, and to figure out how the Port is going to move forward on this, which would require an Amendment to the Tariff if the Port decided on changes. Mr. Mierzwa stated that Mr. Simons is prepared to give the Trustees an interim report in response to Trustee Hoskins request from the last Board Meeting.

Mr. Simons stated that there is a study team in place who have met once and conducted research on how other ports, including in this area airports, handle the issue of assessing access fees to offsite operators. The scope is not really just for those who operate parking interests, but also those who operate limousines, buses, taxis and other shuttle services. Mr. Simons continued, stating that the team is not prepared to make a formal report, but the team has really identified three issues that they feel the Port should take a look at.

One issue is the issue of access fees. The second issue is developing a policy and then implementing procedures. There is a policy in place, Mr. Simons stated, but there are some adjustments that need to be made in terms of our implemented procedures. The third issue is taking a look at parking fees, which is what the Port charges those who park in our facilities. The charge of our group is going to be to look at the first two issues and what the Port charges in terms of access fees as well as implementing policies and procedures, Mr. Simons stated.

Mr. Simons stated that the types of fees that the Port charges are consistent with how other ports and the airports in this area charge for offsite operators, which is some sort of registration fee, some sort of fee per vehicle – in the Port's case it is a decal – and then a drop off or a pick-up fee. Some ports, and the airports in this area, impose a tax on, and this really applies in context to those who park at outside locations, as part of the fee that someone pays to park in an outside location. Mr. Simons continued, stating that the airport authorities in this area, actually through the City of Houston, then collect a percentage of the gross revenue that offsite operators make when those operators, which

includes limousines, buses and shuttle services as well as offsite parking operators when they do any of the transaction that involves one of the airports.

Mr. Simons stated that there are other possibilities on how the Port may want to proceed with access fees. The study team is not at this point and is not prepared to make a recommendation either in terms of the types of fees that we charge or the level of fees that we currently charge.

Trustee Holland questioned if the Study Team is made up of in-house personnel. Mr. Simons responded yes, just in-house. The Team has representatives from the different departments within the Port – all in-house and no one from outside.

Chairman Bassett did not know how the airports in Houston said they get a percentage of the rentals from the offsite parking, noting that that would require a lot of bookkeeping and a lot of auditing, but we could get to that. Mr. Simons added that the airports require an annual audit of each of the licensees. The way that they do that is if your gross revenue is below a certain threshold, it is a self audit, which is independently certified, but if it is above a certain threshold, then you are subject to audit on a periodic basis. They do not audit their licensees every year, but there are annual audits that are required.

No Trustee action was required on this agenda item.

6 Discuss and Consider Extension of the Port Infrastructure and Business Development Agreement with Phoenix Port Partners, LLC for an Additional Three Months: Mr. Mierzwa stated that Phoenix Port Partners gave the Trustees a presentation today in open session. Mr. Hoffman did a good job of explaining the deliverables that are required under the present Professional Services Agreement that the Port has with them. There are five deliverables, which Mr. Hoffman discussed at the morning meeting. Phoenix has delivered four of the deliverables to the Port, and will be working with Port staff tomorrow to help develop deliverable No. 5, which is the marketing strategy/marketing mix.

Mr. Mierzwa continued, stating that one of the things that was viewed when the Port did the Professional Services Agreement was the fact that they would go out and help the Port secure financing for improvements to the west end of the Port. The current Professional Services Agreement that the Port has with Phoenix Port Partners expires on April 30, 2013. The Port Director respectfully requested Board approval to amend the Professional Services Agreement with Phoenix Port Partners to extend the expiration of this Agreement for an additional three months to expire July 31, 2013.

Trustee Holland stated that based on the information received in Executive Session, he would move to extend the Professional Services Agreement with Phoenix Port Partners for three months, with the expiration date of July 31, 2013. Motion was seconded by Vice Chairman Walsh and unanimously carried.

E-7 Discuss and Consider Development of the West End of the Port, Including the Lease or Value of the Real Property and Possible Financial or Other Economic

Incentives Related to its Development: Mr. Mierzwa noted that this item was included on today's agenda as a placeholder. *Chairman Bassett stated that there is no Board action required on this agenda item.* Chairman Bassett asked that Port staff continue to place this item on agendas going forward.

Chairman Bassett called for comments from the Board of Trustees.

Trustee Hoskins asked that the Trustees again consider a Resolution on the pardon of Jack Johnson, who was a noted longshoreman, and petition for a pardon from President Obama. Mr. Wagner noted that a Resolution was prepared by this Board in 2004. Chairman Bassett stated that he believed this Board would again prepare the Resolution as Mr. Johnson was a noted longshoreman, and that the Resolution would be placed on a future agenda of the Board of Trustees.

There were no additional comments heard.

Chairman Bassett announced that the next Regular Monthly Meeting of the Board of Trustees will be held on Monday, May 20, 2013. Finance Committee Chairman Walsh acknowledged that the Finance Committee Meeting would be held on Monday, May 20, 2013. Chairman Bassett announced that he would not be available at the May 20, 2013 Board Meeting.

Vice Chairman Walsh moved to adjourn the Regular Monthly Meeting. Trustee Holland seconded the motion. With a unanimous vote, the Chairman adjourned the meeting at 2:18 p.m., Monday, April 22, 2013.


Judy K. Espange, Secretary
Board of Trustees of the Galveston Wharves

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BOARD OF TRUSTEES
OF THE GALVESTON WHARVES
Tariff Circular No. 6

11th Revised Page 3-C

ISSUED: NOVEMBER 21, 2013

EFFECTIVE: NOVEMBER 21, 2013

SECTION 100 - GENERAL INFORMATION, RULES AND REGULATIONS

APPLICATION

ITEM

The request for renewal may be granted or denied, or granted with such limitations and restrictions deemed appropriate by the Board of Trustees of the Galveston Wharves. If such request for renewal and responsive information, along with the annual license fee, is not received by the deadline described above, the license will expire at midnight, December 31st. In the event of expiration or termination of a stevedore license, the Board of Trustees may, as deemed appropriate, notify all known customers of the stevedore and other users of the Port of Galveston of the respective stevedore license expiration or termination. A licensee wishing to reinstate its Stevedore License after expiration or termination must submit a new application in its entirety, accompanied by the respective application processing fee, unless the Board of Trustees of the Galveston Wharves, in its discretion, waives this requirement.

Non-Transferability of License

No license shall be transferred or assigned to or otherwise used by any person other than the named licensee without the prior written approval of the Galveston Wharves. Any person, firm, corporation or other business entity properly acquiring all or substantially all of the stevedoring business assets from a licensee hereunder may qualify for a license by conforming to the Stevedore License Application requirements of this Tariff Item.

OTHER LICENSES AND PERMITS

(C)(A)(I) 111

Port and Cruise Terminal Use and Parking Permits and Fees

Applications for Port Use Permits are to be submitted to the Galveston Wharves using Application Forms, which are available at the Offices of the Galveston Wharves. An initial fee and annual renewal fee are required for the following categories of business conducting activities on or in connection with the property of the Galveston Wharves:

1. Commercial Business Entities not operating under a Lease Agreement, Berthing Agreement, Operating Agreement, Operating or Terminal Services Agreement or Concession Agreement with the Galveston Wharves or the Galveston Port Facilities Corporation.
Initial Application Fee: \$300.00 Annual Renewal Fee: \$75.00
2. Commercial Passenger Vehicle Service with more than two (2) vehicles providing access for people to the Galveston Wharves and the Cruise Ship Terminal Complex. (Not operated or controlled by or under contract for transportation services with the Galveston Wharves) (Notes A, C, D & E)
Initial Application Fee: \$300.00 Annual Renewal Fee: \$75.00
3. Commercial Passenger Vehicle Services with two (2) or fewer vehicles providing access for people to the Galveston Wharves and the Cruise Ship Terminal Complex. (Not operated or controlled by or under contract for transportation services with the Galveston Wharves) (Notes A, C, D & E)
Initial Application Fee: \$120.00 Annual Renewal Fee: \$50.00

Item No. 111 continued on the next page.

Exhibit C

BOARD OF TRUSTEES
OF THE GALVESTON WHARVES
Tariff Circular No. 6

7TH Revised Page 3-D

ISSUED: NOVEMBER 21, 2013

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SECTION 100 - GENERAL INFORMATION, RULES AND REGULATIONS

APPLICATION	ITEM
4. Mobile Food and/or Merchandise Vendors Initial Application Fee: \$120.00 Annual Renewal Fee: \$50.00	
5. Common Carriers by Water of Passengers (Water Taxi Service) Initial Application Fee: \$300.00 Annual Renewal Fee: \$75.00	
6. Organizations performing Oil Waste, Bilge Water and Gray Water Removal Service Initial Application Fee: \$300.00 Annual Renewal Fee: \$75.00	
7. Organizations performing Sanitary and Solid Waste Removal Services Initial Application Fee: \$300.00 Annual Renewal Fee: \$75.00	
8. Organizations performing the services of Line Handling for vessels.	
9. Initial Application Fee: \$300.00 Annual Renewal Fee: \$75.00	Persons operating Pneumatic Trucks handling Plastic Polymer Pellets Initial Application Fee: \$300.00 Annual Renewal Fee: \$75.00

In addition to the application and Port Use Permit fee, all applications must be accompanied by a Certificate of Insurance showing proof of insurance, not less than that required in Item 600 of this Tariff, and meeting all other requirements found in Item 600 of this Tariff, except as noted in "Note B", below. The Insured party must be the same name as the Applicant and the Taxpayer Identification registered with the Texas Secretary of State and the Texas Comptroller of Public Accounts for the named business entity. The City of Galveston and the Board of Trustees of the Galveston Wharves must also be named as "Additional Insureds" with Waiver of Subrogation.

Port Use Permits are to be issued for a period of one (1) year beginning January 1st and ending December 31st. New businesses requiring Port Use Permits within three months of the above expiration date will be issued such permits to extend the following year,

Note A. A separate Port Use Permit must be obtained for each of the business categories, named above, in which any business entity is engaged.

Note B. The following insurance requirements defined in the City of Galveston Ordinances, as may be amended from time to time, which are applicable to Commercial Vehicles for Hire, are incorporated into this Tariff Circular and apply to the respective types of vehicles referenced in the ordinance section heading (See also: www.cityofgalveston.org). The Port reserves the right to modify certain liability and other insurance requirements as deemed necessary based on a review of the applicant and type of business. License holders and Port Use Permit holders shall, in addition to the notice-to-the-City requirement in the City Ordinance, notify the Port in all instances in which the Ordinance requires notice to the City.

Sec. 35-54. Insurance-taxicabs.

Every holder of a license to operate a taxicab service pursuant to the provisions of this chapter shall maintain in full force and effect at all times a policy or policies of automobile liability and property damage insurance, with an insurance

Item No. 111 continued on the next page

BOARD OF TRUSTEES
OF THE GALVESTON WHARVES
Tariff Circular No. 6

5TH Revised Page 3-E

ISSUED: NOVEMBER 21, 2013

EFFECTIVE: NOVEMBER 21, 2013

SECTION 100 - GENERAL INFORMATION, RULES AND REGULATIONS

APPLICATION	ITEM
-------------	------

company or companies authorized to do business in Texas, covering each vehicle so used, in an amount not less than the minimum coverage required by state law. No taxicab permit shall be issued or renewed unless the applicant has obtained for the vehicle involved an automobile liability insurance policy with an insurance company or companies authorized to do business in Texas with minimum limits as prescribed pursuant to state law. The applicant prior to issuance or renewal of the permit shall furnish satisfactory proof of such coverage. Said policy shall contain a clause requiring thirty (30) days notice be given to the city prior to cancellation. If such notice of cancellation is given by the insurance company, the licensee shall obtain new insurance before meeting the requirements of this section prior to the expiration of the 30-day period; if the license fails to do so his permit shall be immediately revoked.
(Ord. No. 02-058, § 3, 6-27-02)

Sec. 35-55. Insurance-limousines.

Every holder of a license to operate a limousine service pursuant to the provisions of this chapter shall maintain in full force and effect at all times a policy or policies of automobile liability and property damage insurance with an insurance company or companies authorized to do business in Texas, covering each vehicle so used, in an amount not less than five hundred thousand dollars (\$500,000.00) combined single limits. No limousine permit shall be issued or renewed unless the applicant has obtained for the vehicle involved an automobile liability insurance policy with an insurance company or companies authorized to do business in Texas with the required coverage. An applicant prior to the issuance or renewal of annual permit shall furnish satisfactory proof of such coverage. The holder shall furnish proof of such coverage by filing with the director a valid certificate of insurance, or in lieu thereof a true multiple original of any such policy. The policy shall contain a clause requiring thirty (30) days' notice be given to the city prior to cancellation. If the insurance company gives such notice of cancellation, the holder shall obtain new insurance before the expiration of the 30-day period; if the holder fails to do so his permit shall be immediately revoked.

(Ord. No. 02-058, § 3, 6-27-02)

Sec. 35-56. Insurance-buses and shuttles.

Every holder of a license to operate a bus or shuttle vehicle service pursuant to the provisions of this chapter shall maintain in full force and effect at all times a policy or policies of automobile liability and property damage insurance with an insurance company or companies authorized to do business in Texas, covering each vehicle so used, in an amount not less than five hundred thousand dollars

Item No. 111 continued on the next page

BOARD OF TRUSTEES
OF THE GALVESTON WHARVES
Tariff Circular No. 6

6TH Revised Page 3-F

ISSUED: NOVEMBER 21, 2013

EFFECTIVE: NOVEMBER 21, 2013

SECTION 100 – GENERAL INFORMATION, RULES AND REGULATIONS

APPLICATION

ITEM

(\$500,000.00) combined single limits. No bus or shuttle vehicle permit shall be issued or renewed unless the applicant has obtained for the vehicle involved an automobile liability insurance policy with an insurance company or companies authorized to do business in Texas with the required coverage. An applicant prior to the issuance or renewal of annual permit shall furnish satisfactory proof of such coverage. The holder shall furnish proof of such coverage by filing with the director a valid certificate of insurance, or in lieu thereof a true multiple original of any such policy. The policy shall contain a clause requiring thirty (30) days' notice be given to the city prior to cancellation. If the insurance company gives such notice of cancellation, the holder shall obtain new insurance before the expiration of the 30-day period; if the holder fails to do so his permit shall be immediately revoked.

(Ord. No. 02-058, § 3, 6-27-02)

Note C. In addition to the annual Port Use Permit fee, ground transportation companies, as defined herein, accessing Cruise Terminal 1/ Texas Cruise Ship Terminal on Galveston Island®, or Cruise Terminal 2 / Texas Cruise Ship Terminal at Pier 27, collectively the Cruise Ship Terminal Complex, shall be subject to the following decal and/or access fees for each vehicle that shall have such access:

Type of Vehicle and Vehicle

Decal and Access Charge:

Seating Capacity:

Charter Bus Owners and Operators
(As noted in Notes D & E, below)**

\$60.00 Parking Fee

Commercial Passenger Vehicle, Courtesy
Vehicle, Shuttle or Limousine with
Seating Capacity of fifteen (15) persons or more
(Except as noted in Notes D & E, below)**

\$25.00 per decal per vehicle annually and
\$22.86 per Access / Trip

Commercial Passenger Vehicle, Courtesy
Vehicle, Shuttle or Limousine with
Seating Capacity of less than fifteen
(15) persons
(Except as noted in Notes D & E, below)**

\$15.00 per decal per vehicle, annually and
\$11.43 per Access / Trip

Taxicabs with City of Galveston permit

\$7.50 per decal per vehicle, annually

Note D. Those **Off-Port Parking Users**, as defined herein, in operation and accessing the Texas Cruise Ship Terminal on Galveston Island®, or the Texas Cruise Ship Terminal at Pier 27, collectively the Cruise Ship Terminal Complex, as of August 15, 2006 shall, in lieu of the Access/ Trip fee, be subject to a monthly Access Fee equal to the initial amount of \$8.00 per parking space located in the Off-Port

Item No. 111 continued on the next page

BOARD OF TRUSTEES
OF THE GALVESTON WHARVES
Tariff Circular No. 6

6TH Revised Page 3-G

ISSUED: NOVEMBER 21, 2013

EFFECTIVE: NOVEMBER 21, 2013

SECTION 100 - GENERAL INFORMATION, RULES AND REGULATIONS

APPLICATION	ITEM
-------------	------

Note D.

Parking User's parking facility, with number of billable parking spaces to be confirmed periodically by the Galveston Wharves. The \$8.00 Access Fee will be effective on and after August 15, 2006. Commencing on August 15, 2011, the monthly Access Fee will be adjusted on that date and on each anniversary of such date (each an "Adjustment Date") to reflect increases in the Consumer Price Index for All Urban Consumers (CPI-U) for Houston-Galveston-Brazoria, Texas, All Items (1982-84 = 100) published by the Bureau of Labor Statistics of the United States Department of Labor (the "Index"). If the Index is converted to a different standard reference base or otherwise revised, the determination of the Index will be made with the use of such conversion factor, formula, or table for converting the Index as may be published by the agency or authority that establishes the Index or, if one is not published by such agency or authority, then with the use of such conversion factor, formula, or table as may be published by any nationally recognized publisher of similar statistical information. If the Index ceases to be published, then within 30 days after such Index ceases to be published the Wharves will substitute a new index of similar type to be used as the Index for determining future monthly Access Fee escalation. On each Adjustment Date, Access Fees will be recalculated to be equal to a number equal to the product of the Access Fee in effect the day before the Adjustment Date multiplied by a fraction, the numerator of which is the Index number for the last reporting period before the Adjustment Date and the denominator of which is the Index number for the last reporting period before (i) the Effective Date (with respect to the first adjustment of Access Fee) or (ii) the immediately preceding Adjustment Date (with respect to each subsequent adjustment), whichever is applicable. If the product is greater than the Access Fee in effect the day before the then current Adjustment Date, the Off-Port Parking User must pay the greater amount until the next Adjustment Date. Access Fee as calculated in this Tariff Item must never be less than the amount of the initial Access Fee set forth above. (For Calendar Year 2014, the Access Fee will be \$9.14.) Increases will take effect on the January 1st immediately following the Adjustment Date. The Galveston Wharves will provide all Off-Port Parking Users to whom the Access Fee applies with notice of each adjustment to Access Fee no later than 30 days prior to each Adjustment Date.

Note E.

Parking Fees - Those Charter Bus Owners and Operators, as defined herein, in operation and accessing the Texas Cruise Ship Terminal on Galveston Island®, or the Texas Cruise Ship Terminal at Pier 27, collectively the Cruise Ship Terminal Complex, as of December 17, 2007 shall, in lieu of the payment of Initial Application and Renewal Fees for Port Use Permits, Decal Fees and/or the Access/ Trip fee, be subject to a Parking Fee equal to the amount of \$50.00 per each use of any bus parking space located in the Cruise Ship Terminal Complex. Charter Bus Operators must provide sufficient advance notification to the Port, Attention of the Director of Administration, in advance of arrival at the Port to

Item No. 111 continued on the next page

BOARD OF TRUSTEES
OF THE GALVESTON WHARVES
Tariff Circular No. 6

5TH Revised Page 3-H

ISSUED: NOVEMBER 21, 2013

EFFECTIVE: NOVEMBER 21, 2013

SECTION 100 – GENERAL INFORMATION, RULES AND REGULATIONS

APPLICATION

ITEM

allow for review of the existence and sufficiency of the required insurance. Additionally, payment shall be made by check on arrival at the Cruise Ship Terminal Complex, unless prior acceptable payment arrangements have been made in advance with the Port.

Payment of Fees:

Payment of fees for initial application for Port Use Permit and for renewal of Port Use Permits is due upon submission of the completed application for such permit in person, e-mail or by mail at the Administrative Offices of the Port of Galveston. Extension of Credit, issuance of invoices for payment of fees and payment of all fees other than application fees due to the Galveston Wharves will be made in accordance with the provisions of Section 100 of Tariff Circular No. 6, Items No. 192, 194, 196 and 198. Decals will be issued to the person at the time the application is delivered to the Port or mailed to Port Use Permit applicants, at the mailing address noted on the application, upon approval of the Port Use Permit application by the Galveston Wharves.

Suspension or Revocation of Port Use Permits will be in accordance with the terms of Item #112 of Tariff Circular No. 6, as it may be amended from time to time.

Definitions:

- (1) **ACCESS** means to enter upon premises owned, operated or controlled by the Board of Trustees of the Galveston Wharves.
- (2) **BILLABLE PARKING SPACES** means the number equal to the maximum parking capacity of the off-port parking user's lot.
- (3) **BUS** means a motor vehicle operated for commercial purposes that:
 - (A) has manufacturer's rated seating capacity of more than fifteen (15) passengers (including the driver); and
 - (B) is used for the transportation of people.
- (4) **BUS SERVICE** means the business of offering or providing transportation of people for hire by bus, whether the fare is paid by individuals boarding the bus or by contract with or for a specified group or people, when:
 - (A) a driver or referral to a driver is furnished as part of the service; and
 - (B) the service is offered either as a charter bus service or a special bus service.
- (5) **CHARTER BUS SERVICE** means a bus service for the transport of people belonging to a specified group that is offered only upon a prearranged basis, the prearrangement being made at least one hour in advance of the time the transportation is to begin.
- (6) **COMMERCIAL BUSINESS ENTITY** means any Person, as defined in this section, engaged in commercial, industrial or institutional operations in connection with which money or anything of value is paid, demanded or expected by passengers, customers, or other users, but

Item No. 111 continued on the next page

BOARD OF TRUSTEES
OF THE GALVESTON WHARVES
Tariff Circular No. 6

4TH Revised Page 3-1

ISSUED: NOVEMBER 21, 2013

EFFECTIVE: NOVEMBER 21, 2013

SECTION 100 - GENERAL INFORMATION, RULES AND REGULATIONS

APPLICATION	ITEM
does not include the federal government of the United States, the State of Texas, the City of Galveston, the Galveston Wharves or any of their departments, agencies or political subdivisions (unless they provide, as their primary function, ground transportation of passengers in exchange for fares or charges).	

- (7) **COMMERCIAL PASSENGER VEHICLE** means a vehicle not otherwise defined in this Tariff while it is used, or offered (orally or in a writing or sign) to be used, to transport one or more people, on land, either:
- (A) in exchange for a fare, charge, or other thing of value (paid, demanded, or expected for the transportation service, in whole or in part, directly or indirectly, by the person transported or by another person, or otherwise); or
 - (B) in connection with the operations of a commercial business entity, regardless of whether a fare, charge, or other thing of value is paid, demanded or expected for the transportation service.

It shall be a presumption that a vehicle bearing the name, trade name, common name, emblem, trademark or other identification of a commercial business entity and being used to transport a passenger is a commercial passenger vehicle.

- (8) **COURTESY VEHICLE** means a commercial passenger vehicle that meets all of the following criteria at all times when it is operated on property owned, leased or controlled by the Galveston Wharves:

(A) The vehicle is owned or provided by one or more commercial business entities that: (i) arrange for the vehicle to provide transportation only incidentally to the commercial business entities' primary businesses or activities, which may, for example, be off-port car rental user, off-port parking user, lodging, air transportation, special events or medical care; (ii) provide the vehicle, by purchase or lease or by contracting with another party (which party may or may not be primarily in the business of providing ground transportation); and (iii) all sign the application for the Port Use License and/or Port Use Permit for Vehicle, as applicants or co-applicants.

(B) The vehicle is provided for the exclusive use of officers, agents, employees, customers or invitees of any of the commercial business entities.

(C) There is no fare, charge or thing of value paid, demanded or expected from the people transported, directly or indirectly, for transportation, and this is effectively communicated to the traveling public. (Example: An increase in the charge for lodging or for an event could be an indirect charge, if related to transportation.)

- (9) **GROUND TRANSPORTATION COMPANY** means any Person (other than the Galveston Wharves or any Person or entity under contract to provide transportation services for the Galveston Wharves) owning or operating the following types of vehicles as defined in this section: commercial passenger vehicle, bus, bus service, charter bus, courtesy vehicle, shuttle, limousine, taxi or taxicab service.

Item No. 111 continued on the next page.

BOARD OF TRUSTEES
OF THE GALVESTON WHARVES
Tariff Circular No. 6

2ND Revised Page 3-J

ISSUED: NOVEMBER 21, 2013

EFFECTIVE: NOVEMBER 21, 2013

SECTION 100 - GENERAL INFORMATION, RULES AND REGULATIONS

APPLICATION	ITEM
(10)	LIMOUSINE means a motor vehicle operated for commercial purposes that shall not have a taximeter, which is a luxury sedan with a manufacturer's rated seating capacity of not more than fifteen (15) passengers that is used for the transportation of people.
(11)	OFF-PORT PARKING USER means a commercial business entity which provides or arranges for one or more commercial passenger vehicles, courtesy vehicles, buses or shuttles, however owned or operated, to pick up or drop off passengers within a terminal complex of the Galveston Wharves in connection with the operations of a business of the user involving the parking of motor vehicles of any type at a facility located outside of the boundaries of property owned, operated or controlled by the Galveston Wharves.
(12)	OFF-PORT RENTAL CAR USER means a commercial business entity which provides or arranges for one or more commercial passenger vehicles, courtesy vehicles, buses or shuttles, however owned or operated, to pick up or drop off passengers within a terminal complex of the Galveston Wharves in connection with a business of the user involving the renting of motor vehicles, all under circumstances where the user does not have a contract or lease with the Galveston Wharves for the use of counter space within the terminal complex.
(13)	ON-PORT RENTAL CAR USER means a commercial business entity which may provide or arrange for one or more commercial passenger vehicles, courtesy vehicles, buses or shuttles, however owned or operated, to pick up or drop off passengers within a terminal complex of the Galveston Wharves in connection with a business of the user involving the renting of motor vehicles, under circumstances where the user has a contract or lease with the Galveston Wharves for counter space, kiosk or other location within the terminal complex.
(14)	OPERATE means to drive or to be in control of a taxicab, limousine, bus, courtesy vehicle, shuttle or commercial passenger vehicle.
(15)	OWNER means the person to whom state license plates for a vehicle were issued.
(16)	OPERATING AUTHORITY means written permission or licensing granted on an annual basis by the Port Director under this section.
(17)	OPERATOR means the owner of a taxicab, limousine, bus, courtesy vehicle, shuttle or commercial passenger vehicle; or the holder of a taxicab, limousine, bus, courtesy vehicle or shuttle operating authority.
(18)	PERSON means any natural person or any entity, whether organized for profit or not, that is a corporation, limited or general partnership, limited liability company, sole proprietorship, real estate investment trust, joint venture, joint stock company, cooperative, association, bank, trust, insurance company or other legal entity or combination organized pursuant to or recognized under the laws of Texas or any other state or country.

Item No. 111 continued on the next page.

BOARD OF TRUSTEES
OF THE GALVESTON WHARVES
Tariff Circular No. 6

2ND Revised Page 3-K

ISSUED: NOVEMBER 21, 2013

EFFECTIVE: NOVEMBER 21, 2013

SECTION 100 - GENERAL INFORMATION, RULES AND REGULATIONS

APPLICATION	ITEM
(19) PORT USE PERMIT means a valid (not suspended or revoked) and unexpired permit issued by the Port Director pursuant to this Tariff Item. A Port Use permit contains terms and conditions as described herein, or as may be amended from time to time. A Port Use Permit grants privileges (e.g., using Galveston Wharves property for commercial purposes, supplying services at the Galveston Wharves (Port of Galveston) for which fees are imposed. Both Port Use Permits and the more specialized contracts or leases mentioned in this Tariff are types of contracts.	
(20) SHUTTLE means a van-type motor vehicle operated for commercial purposes that does not have a taximeter, that has a manufacturer's rated seating capacity of less than fifteen (15) passengers and is used for the transportation of people.	
(21) TAXI OR TAXICAB means a chauffeured motor vehicle, but not including limousines, that is equipped with a taximeter, and that has a typical rated passenger capacity of eight (8) passengers or less, used for the transportation of passengers for hire over the public streets of the city that typically operates on irregular routes, irregular schedules, and a call and demand basis, and irrespective of- whether or not the operations extend beyond the city limits, at rates for distance traveled, or for waiting time, or for both, or at rates per hour, per day, per week, or per month and such vehicle is routed under the direction of the passenger hiring the same.	
(22) TAXICAB, LIMOUSINE, BUS OR SHUTTLE SERVICE means a passenger transportation service operated for hire that uses any one or more of the following vehicle types: taxicabs, limousines, buses, or shuttles in the operation of the service and includes (but is not limited to) a facility from which the service is operated; taxicabs, limousines, buses, or shuttles used in the operation; and a person who owns, controls, or operates the service.	
(23) TAXIMETER means a device that mechanically or electronically computes a fare based upon the distance traveled, the time the taxicab is engaged, and any other basis for charges which are specified in the operating authority or rate ordinance pertaining to the holder.	
(24) CRUISE SHIP TERMINAL COMPLEX means that area within the boundaries of property owned, leased or controlled by the Galveston Wharves located within 400 feet of a passenger terminal building (or any part thereof). The Cruise Ship Terminal Complex is also known and referred to as the Texas Cruise Ship Terminal on Galveston Island® or the Texas Cruise Ship Terminal at Pier 27. The Port Director may promulgate a map or other description of a terminal complex, and it shall be a presumption that the boundaries of the terminal complex are as so promulgated by the Port Director.	

REVOCATION OF LICENSES

112

Revocation of Stevedore Licenses and Other Licenses

The Galveston Wharves reserves the right to suspend, revoke, or deny renewal of a Stevedore License, previously granted and issued under Tariff Item No. 110 – STEVEDORE LICENSE, or of any Other License previously granted and issued to Port Users under Tariff Item No. 111 – OTHER LICENSES, upon written notice to the licensee based on any of the following:

Port of Galveston Analysis of Access Fees

Annual Cruise Terminal Cost including Debt
Service, Depreciation and Allocated
Overhead

Cruise Terminal Operating Expense	2,499,227
Administrative Overheads, Debt Service and Depreciation	4,614,681
R&R Expense	114,250
Total Cost	7,228,158

Operating
expenses include
direct personnel
costs,
maintenance and
utilities.

Administrative
overhead
includes
dredging,
depreciation,
interest on debt,
and other
indirect costs.

R&R expenses
are the costs of
major non-capital
projects.

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Exhibit D

Port of Galveston Analysis of Access Fees

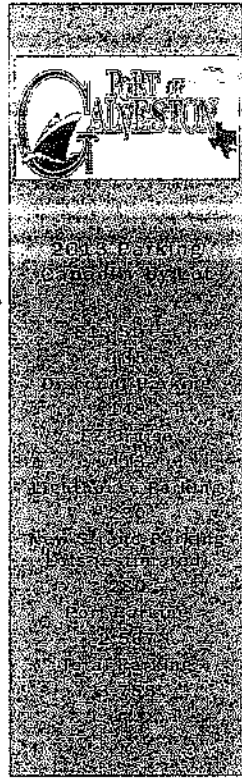
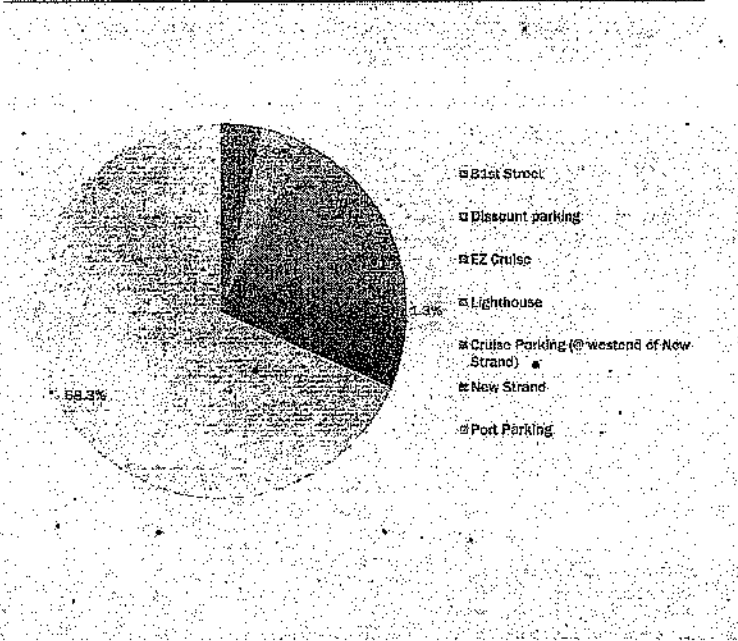
Annual Cruise Terminal Passenger Revenue Including Registration and Access Fees

Cruise Passenger Revenue		5,741,233
Cruise Terminal Access Registration and Renewals		27,180
Charter Buses	\$60.00 per trip	45,000
Airport Shuttles	\$15.00 per trip	12,375
Per Trip Access Fees	\$15.00 per trip	100,125
Per Month Access Fees - Private Lots	\$28.88 per month per spot	412,713
Per Month Access Fees - Port Parking Lots	\$28.88 per month per spot	889,533
		<u>7,228,158</u>



Cruise passenger revenue includes revenue from the Port of Galveston's cruise terminal. Access and registration fees include fees collected from cruise ship passengers and charter buses. Revenue assumes that port parking fees will be \$20.00 per month per spot. Access fees are the same as the private lots.

Port of Galveston Analysis of Access Fees



Analysis of Impact of Proposed Increase

Example of Impact of proposed increase in access fee for a 100 space parking lot

	Annual (Lot)	Daily Per Space	Annual (Lot)	Daily Per Space
Spaces	100	1	100	1
Occupancy Rate	80%	80%	90%	90%
Blended Rate Per Day Per Space	8.00	8.00	8.00	8.00
Revenue	233,600.00	8.40	262,800.00	7.20
Access Fee				
Existing	9,600.00	0.26	9,600.00	0.26
Proposed	34,652.61	0.95	34,652.61	0.95
Net Increase	25,052.61	0.69	25,052.61	0.69
Percentage Increase	261%	261%	261%	261%
Current Fee as Percent of Revenue	4.11%	4.11%	3.65%	3.65%
Proposed Fee as Percent of Revenue	14.63%	14.83%	13.19%	13.19%



Assumptions

Blended Rate is based on the current rate of \$8.00 per day per space, the current rate of \$8.00 per day per space, and the current rate of \$8.00 per day per space.

Scenario is based on a 90% occupancy rate and a 90% occupancy rate.

Proposed increase is shown on a total fee of \$14.63 per day per space.

Port of Galveston Analysis of Access Fees

Annual Cruise Terminal Passenger Revenue including Registration and Access Fees

Cruise Passenger Revenue		5,741,233
Cruise Terminal Access Registration and Renewals		27,180
Charter Buses	\$60.00 per trip	45,000
Airport Shuttles	\$15.00 per trip	12,375
Per Trip Access Fees	\$15.00 per trip	100,125
Per Month Access Fees - Private Lots	\$15.00 per month per spot	214,380
Per Month Access Fees - Port Parking Lots	\$35.32 per month per spot	1,087,866
		<u>7,226,159</u>



Cruise passenger revenue is the primary source of revenue for the Port of Galveston. The Port of Galveston is a major port for the state of Texas and is one of the busiest ports in the United States.

Access fees are collected from charter parties, airport shuttles, and private lots. The Port of Galveston is a major port for the state of Texas and is one of the busiest ports in the United States.

Port of Galveston Cruise Terminal
Revenues and Expenses excluding Ship Services
Based on 2014 Budget

	Cruise Terminal
Cruise Terminal Revenues	
Passenger Service Charge	5,193,240
Dockage	547,993
Total CT Revenue	<u>5,741,233</u>
Total Revenue	<u>5,741,233</u>
Expenses	
SALARIES - CRUISE TERMINAL - P25 CRUISE TERM	312,162
H&W-P/R TAX - P25 CRUISE SHIP OPS	27,527
H&W-HOSPITALIZATION - CRUISE TERMINAL-PIER 25	57,294
H&W-LIFE INSURANCE - CRUISE TERMINAL - PIER 25	4,350
Pension Contribution	21,159
Workers Comp Insurance	10,765
CONTRACT Labor	435,375
Facilities Maintenance	92,036
Contract Facilities Maintenance	37,920
Tools, Fuel and Vehicles	158,271
Utilities	462,353
Fire Security and Intrusion	1,800
Inspections, Custodial	210,840
Professional Services	1,200
Dues Publications and memberships	2,200
Travel	1,575
Interest Income	(12,000)
Account Analysis Fees	14,400
Property Insurance allocated	660,000
Expenses CT-Operation	<u>2,499,227</u>
Administrative Overheads, Debt Service and Depreciation	
Depreciation	2,685,219
Interest on Bonds	242,351
FMT Capital Lease Payment	357,060
Administrative Overheads based on Revenues	<u>1,330,051</u>
R&R Expense	<u>4,614,681</u>
Total Expense	<u>7,228,158</u>
Net Income	<u>(1,486,925)</u>

April 23, 2014

Port of Galveston Cruise Terminal
Revenues and Expenses excluding Ship Services
Based on 2014 Budget

R & R Capital - Direct 2014	Cruise Terminal
CT 1 Carpet	60,000
Landscaping	20,000
CT 1 & 2 HVAC	385,000
FMT Improvements	100,000
Pavement Repairs Old Industrial	75,000
Old Industrial 13rd	20,000
Awards CT 1 & 2	50,000
Port Access Cliff Enclosure	10,000
Capital - included in Projected Depreciation	720,000
R&R Expense Direct 2014	
Paint and Recharge CT Access and CT 1&2 Parking	8,000
Dock Voids (25% of Total)	12,500
Port Wyle Road Repairs (25% of Total)	43,750
Repair Select Piling and Deck (25% of Total)	50,000
Additional Expense included in R&R	114,250

Overhead Cost		
Sales and Marketing	408,384	106,231
Operations Manager Salary	129,582	27,621
Public Relations	310,640	66,213
Engineering	1,017,871	216,960
IT	890,020	181,183
Administrative Cost	3,148,960	671,204
Administrative Pension Cost	284,496	60,611
Overhead Cost to be allocated	6,239,953	1,330,051
Allocation Percentage based on Revenue		with Parking
CT Revenue	5,741,233	21%
Parking Revenue	4,133,650	15%
Sub total CT Plus Parking Revenue	9,894,883	37%
All other Revenue	17,040,184	65%
Total Revenue	26,935,067	100%

Pension Cost 594000

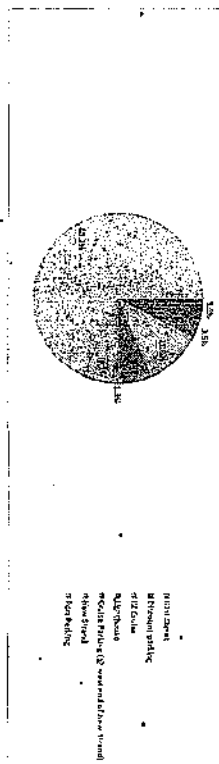
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**AUDIO TRANSCRIPTION
SPECIAL FINANCE MEETING**

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3 RE: BOARD OF TRUSTEES OF THE GALVESTON WHARVES TARIFF

4 REVISION(S) FOR "OFF-PORT PARKING USERS"

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12 AUDIO TRANSCRIPTION OF THE SPECIAL FINANCE MEETING ON

13 5/12/14

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Republic Services, Inc.
(713) 957-0094

Exhibit E

AUDIO TRANSCRIPTION
SPECIAL FINANCE MEETING

2

1 UNIDENTIFIED SPEAKER: Everybody ready) --
2 Inaudible. Okay -- Inaudible -- it is 9:02, Wednesday,
3 the 13th.
4 UNIDENTIFIED SPEAKER: The 12th.
5 UNIDENTIFIED SPEAKER: The 12th. And this
6 is the Finance Committee Meeting of the board of
7 trustees of the Port of Galveston. Let's go ahead and
8 have rollcall, please.
9 UNIDENTIFIED SPEAKER: Yes, sir. Chair
10 Person, Eddy Walsh.
11 UNIDENTIFIED SPEAKER: Here.
12 UNIDENTIFIED SPEAKER: Committee member,
13 Johnny -- Inaudible -- here he is. Committee member,
14 Johnny -- Inaudible -- is present.
15 UNIDENTIFIED SPEAKER: Just in time.
16 UNIDENTIFIED SPEAKER: Committee member, Joe
17 Sullivan.
18 UNIDENTIFIED SPEAKER: Here.
19 UNIDENTIFIED SPEAKER: Also present is
20 Chairman of the Board, Benny Holland -- Inaudible.
21 UNIDENTIFIED SPEAKER: Here. I would like
22 to welcome everybody this morning. I would also like to
23 ask everybody to leave their phones or whatever devices
24 if you would. It looks like we have a form. Are there
25 any conflicts seeing done and we'll move onto the agenda

3

1 which is Item 2, discussing the cruise terminal access
2 fees.
3 UNIDENTIFIED SPEAKER: Mr. Chairman, I'm
4 going to let Mark and Peter handle this. We had -- at
5 the last board meeting, we discussed this. We also had
6 a special finance meeting last month to discuss this.
7 Since the board meeting, we have taken a little bit
8 extra time to go back and scrub our costs for running
9 the terminal and then we have also done a scrub on the
10 two parking spaces that are available out there, both
11 for the Port of Galveston and from the private parking
12 lots, and, with that, I'll turn it over to Mark and
13 Peter.
14 UNIDENTIFIED SPEAKER: Okay. I do have some
15 things we want to discuss in executive.
16 UNIDENTIFIED SPEAKER: That's correct.
17 UNIDENTIFIED SPEAKER: So on those items,
18 hold them back; and we'll go into executive later.
19 UNIDENTIFIED SPEAKER: Okay.
20 UNIDENTIFIED SPEAKER: I also know we had at
21 least one member of the public in the audience and it's
22 not on the agenda but if you'd like to say something --
23 Inaudible.
24 UNIDENTIFIED SPEAKER: Inaudible -- any
25 comments are always welcome. Thank you.

4

1 UNIDENTIFIED SPEAKER: Then let's move
2 forward.
3 UNIDENTIFIED SPEAKER: Okay. Let me just
4 start off by saying we did go through -- I went through
5 line by line on the expenses. I found two adjustments
6 that when I did those two adjustments -- Inaudible -- to
7 a reduction of expenses allocated, both of them were
8 allocated expenses to include each terminal, there were
9 two expenses -- Inaudible -- reduced total expenses by
10 \$12,420.00.
11 UNIDENTIFIED SPEAKER: Per -- Inaudible --
12 or per month?
13 UNIDENTIFIED SPEAKER: Annual. Now, keep in
14 mind for a consistency state, we've started off and we
15 continued to use the original 2014 budget for our
16 expenses and our revenues on this. Okay. As far as the
17 expenses go --
18 UNIDENTIFIED SPEAKER: Were there major
19 modifications to that amended budget on that --
20 Inaudible?
21 UNIDENTIFIED SPEAKER: No. There will be in
22 2015 when we have the fourth ship; but between now and
23 then, we don't have any really major adjustments.
24 UNIDENTIFIED SPEAKER: So what you are
25 saying is: This is a snapshot as of today?

5

1 UNIDENTIFIED SPEAKER: Yes.
2 UNIDENTIFIED SPEAKER: This could, possibly,
3 certainly change as a result of getting new ships and so
4 on.
5 UNIDENTIFIED SPEAKER: (Inaudible)
6 UNIDENTIFIED SPEAKER: And a new terminal.
7 UNIDENTIFIED SPEAKER: Yes, sir.
8 UNIDENTIFIED SPEAKER: (Inaudible)
9 UNIDENTIFIED SPEAKER: This is as we are
10 operating today with -- Inaudible -- ships and the lots
11 that are -- to our knowledge that are in use today.
12 Okay. So, the expenses, as I said, there was a
13 \$12,000.00 adjustment to them, downward adjustment; and
14 that's the only adjustment we had. That adjustment was
15 pertaining to the fact -- was related to rent and an
16 adjustment refinement of the pension allocation.
17 The next page shows sources -- you know,
18 we've discussed allocating the methodology the board
19 wanted us to go forward with. This shows the revenue
20 stream that we are looking at for the various -- for the
21 cruise terminal. We have the cruise passenger revenue.
22 Now, the cruise passenger revenues we've discussed all
23 along that we are not including the ship services
24 revenues -- Inaudible -- ship service expenses.
25 Those two are a wash. That's the ship

AUDIO TRANSCRIPTION
SPECIAL FINANCE MEETING

6

1 services revenues are the fees that the cruise ship pays
2 us for very specific items and those specific items
3 pretty much use it all up. Sometimes we have a little
4 let over but it's not a significant amount but we carve
5 that out both revenues and the expenses.

6 UNIDENTIFIED SPEAKER: Did any of the
7 trustees have a question about that? Ship service
8 revenue, ship service expenses?

9 UNIDENTIFIED SPEAKER: Okay. Then we go
10 down. Cruise terminal access registration and renewal
11 fees. These are application fees and then the fees we
12 receive for the annual renewals. These fees are -- they
13 basically cover us going through validating the
14 insurance, tracking which vehicles are which, and we
15 don't really make anything on that. That's \$27,000.00
16 but that covers the cost of us processing the
17 application and validating that people still have proper
18 insurance. Charter buses, the charter buses we've
19 increased that rate as discussed several months ago,
20 \$10.00 per trip.

21 UNIDENTIFIED SPEAKER: (Inaudible)

22 UNIDENTIFIED SPEAKER: (Inaudible)

23 UNIDENTIFIED SPEAKER: Give us the old rates
24 on all these if you would.

25 UNIDENTIFIED SPEAKER: We are proposing as

7

1 part of the tariff to increase that rate. We have not.
2 The only authorization we've received from the board and
3 the only change we have implemented is to increase the
4 application fee because that's done January of this
5 year. So our proposal is to increase the per trip fee
6 for charter buses from \$50.00 today to \$60.00 and
7 that -- well, to \$60.00.

8 UNIDENTIFIED SPEAKER: That equates some of
9 the 40 passenger buses equates an increase from 1.25
10 percent a seat to 1.50 percent per seat.

11 UNIDENTIFIED SPEAKER: How did you determine
12 that increase?

13 UNIDENTIFIED SPEAKER: We tried to keep it
14 on par with the other increases that we are looking at
15 here.

16 UNIDENTIFIED SPEAKER: Mike, you get about
17 750 trips a year -- Inaudible. Do we see any up or down
18 in that movement based on, you know -- I'm just curious
19 only from a standpoint of, you know, where the true
20 revenue --

21 UNIDENTIFIED SPEAKER: That's hard -- that's
22 a good question but I want to tell you that's a hard
23 answer to give you because last year we had Disney and
24 Princess and less Royal Caribbean because they were
25 seasonal and those more so than Carnival would have

8

1 people come in on what they call an air/seat package.
2 Although, I do know Carnival is bringing -- you'll see a
3 bus with a Carnival logo on the side of it and they are
4 actually running people down from the airport as part of
5 their air/seat package and I do know that Royal
6 Caribbean had also entered into an agreement with a
7 provider because we waived those charged for them on the
8 shuttle buses and trying to work with them and their
9 air/seat packages. These other charter buses, actually,
10 you know, like, the First Baptist Church of Midland
11 Texas or something bring in a group -- Inaudible -- but
12 that's -- I don't have an answer for you. I mean we can
13 go back and --

14 UNIDENTIFIED SPEAKER: (Inaudible)

15 UNIDENTIFIED SPEAKER: What's that?

16 UNIDENTIFIED SPEAKER: How about the First
17 Catholic Church of Midland. Makes a difference.

18 UNIDENTIFIED SPEAKER: I mean, we can
19 actually get to those numbers because it's hard --
20 because when Princess, they were predominately more
21 buses.

22 UNIDENTIFIED SPEAKER: I mean, it's a big
23 number. My thought was it's a big number. I mean, it's
24 a big number in relative. My concern was what keeps it
25 from going up or down and I'll ask really the same thing

9

1 on these other ones but that was that little bit -- I
2 don't know much about -- Inaudible -- buses, I guess,
3 they come from a long way. They're groups. They come
4 in and they go up or down based on the economy. I'm
5 just throwing it own there because I know it's 750 bus
6 trips a year and I don't know if that's everything over
7 the last 11, 12 years or if that's going on an uptick,
8 you know.

9 UNIDENTIFIED SPEAKER: It's hard to judge
10 because Galveston is unique. When we get, probably, 90
11 percent of our -- Inaudible -- where other places, like,
12 Miami and New York people fly in and they meet them at
13 the airport with buses and they get on the bus and they
14 take them back to the terminal. Most of our people are
15 people from Texas that just driving in their vehicle.
16 So the buses are a small portion, you know, of what we
17 depend on -- Inaudible.

18 UNIDENTIFIED SPEAKER: Excuse me,
19 Mr. Chairman. The other difficulty in that, for
20 example, we peaked in a number of cruises in 2006. We
21 have 252 cruises out of Galveston. Last year we had a
22 hundred -- less than that. So we -- and that was the
23 time we had six ships here. We had three full-time
24 ships and three part-time ships.

25 UNIDENTIFIED SPEAKER: Smaller ships too,

AUDIO TRANSCRIPTION
SPECIAL FINANCE MEETING

10 1 Mike. 2 UNIDENTIFIED SPEAKER: But smaller ships 3 but, again, Celebrity, Princess, which are heavy on the 4 bus numbers. I had budgeted revenues, for example, for 5 Celebrity cruise. I knew it was going to be low but I 6 budgeted conservatively. A hundred and fifty cars and 7 I'd look out there and there'd be, like, four cars. 8 People were going on a 12 and 13 day cruise and we are 9 probably going to see that, I would think, maybe next 10 year when Carlos starts their longer cruises and I have 11 no idea what -- they are heavily obviously. 12 They are going to heavily market Galveston. 13 I was telling Trustee Walsh that went down to the cook 14 off this weekend there was a guy there from Spokane, 15 Washington who told me his travel agent was trying to 16 talk him out of taking a cruise out of Galveston. He 17 goes, no, I'm going to go out of Galveston and he loved 18 it. 19 I know his taxi driver told him you need to 20 get down and see this -- Inaudible -- cook off. This is 21 really cool. He had the best time and I'm sure there 22 was other people out there. He said, "My travel agent 23 is stupid anyway. She doesn't know what she's doing." 24 I said go back and tell her what are good time you had 25 here.	12 1 UNIDENTIFIED SPEAKER: We've had a little 2 over 600,000 -- Inaudible -- passengers last year. 3 UNIDENTIFIED SPEAKER: Okay. So pretty good 4 number -- Inaudible. 5 UNIDENTIFIED SPEAKER: Here's the thing and, 6 maybe I'm trying to simplify too much, but the total 7 cost was \$7,228,000.00 for the cruise ship terminal 8 operating everything -- Inaudible. Right? 9 UNIDENTIFIED SPEAKER: Uh-huh. 10 UNIDENTIFIED SPEAKER: Okay. Cruise 11 passenger revenue was 5.7 million. Right? 12 UNIDENTIFIED SPEAKER: That's correct. 13 UNIDENTIFIED SPEAKER: So let's separate 14 that off. That leaves us 2 million, roughly, that we 15 have to cover with parking because that's the only other 16 revenue that we have is parking to cover the rest of the 17 7 million. Right? 18 UNIDENTIFIED SPEAKER: So the parking and 19 access fees. 20 UNIDENTIFIED SPEAKER: Well, yes. That's 21 what I am saying. So, now, what we have to do is figure 22 a number for all the slots. You know how many slots we 23 have and how many money we have to make up and then we 24 figure up and charge them back. We know that the 40,000 25 has the largest number. We have 70 slots and, we'll
11 1 Again, to answer your question, I can't 2 answer your question. I mean we can go back and get the 3 numbers but it's difficult giving -- we are kind of all 4 over the place with numbers and cruises, cruise lines, 5 that are sailing from Galveston -- Carnival has been our 6 predominant -- obviously our predominant customer and as 7 Mr. Holland said, they are primarily -- Inaudible. 8 UNIDENTIFIED SPEAKER: Quick question for 9 you. On the charter buses, when you say "per trip," is 10 that per round trip or is that -- 11 UNIDENTIFIED SPEAKER: We charge them, I 12 think, just when they drop off, we charge them when they 13 pull into those spaces. 14 UNIDENTIFIED SPEAKER: Oh, okay. So 60 to 15 drop off and 60 -- Inaudible. 16 UNIDENTIFIED SPEAKER: No. It's just one -- 17 Inaudible. 18 UNIDENTIFIED SPEAKER: So \$60.00 is to drop 19 off and pick up. So you are looking, basically, then -- 20 it's 750 trips and you figure 40 people per bus. So 21 you're looking at 30,000 people, approximately. 22 UNIDENTIFIED SPEAKER: If the bus is full. 23 UNIDENTIFIED SPEAKER: If the bus is full -- 24 Inaudible. And what's our total passengers annually 25 estimated for last year?	13 1 assume, that we're making that amount of money, the same 2 thing everyone else is making off of those slots. We 3 put them all together and we come up with the number and 4 there we are. I mean -- 5 UNIDENTIFIED SPEAKER: (Inaudible). 6 UNIDENTIFIED SPEAKER: I understand. But we 7 don't need -- I don't want -- my point is this: I don't 8 want to try to complicate it because we are going to 9 have to sell it to the people and if you explain it to 10 them very simply, that all we're doing is we're trying 11 to keep an industry here that's creating jobs for the 12 community. All right. And we need to do it fairly and 13 equitably and everybody's got to pay their fair share 14 and so where it cost us 7 million to bring those cruise 15 ships in here and operate them on a daily, weekly basis, 16 we're only going to charge the parking lots 2 million 17 and we're going to even take what we make and throw it 18 into the pot which means now that you've got -- we're 19 going to pay 70 percent of that cost. So the only 30 20 percent is going to be divided up amongst you people 21 that have outside parking and we're going to divide it 22 up based on what percentage of slots you have. I mean, 23 I can't think we can be any fairer than that. 24 UNIDENTIFIED SPEAKER: If I can just jump 25 in. I totally agree and when you talk about it, you

AUDIO TRANSCRIPTION
SPECIAL FINANCE MEETING

14

1 talk about it based on a percentage --
2 UNIDENTIFIED SPEAKER: Right.
3 UNIDENTIFIED SPEAKER: -- of participation
4 and I think, you know, you don't talk numbers because
5 numbers -- Inaudible -- oh, my god -- Inaudible -- oh,
6 my god. They don't realize how much they are making and
7 no one talks about that. So when you are taking
8 percentages and how we share only 1.5 million is the
9 sharing cost --
10 UNIDENTIFIED SPEAKER: Right.
11 UNIDENTIFIED SPEAKER: -- I think that's the
12 approach and that's the way you present it to the
13 public.
14 UNIDENTIFIED SPEAKER: (Inaudible).
15 UNIDENTIFIED SPEAKER: Absolutely.
16 Absolutely.
17 UNIDENTIFIED SPEAKER: I agree. I
18 understand but I do think that us as a committee --
19 that's why we are doing this in finance committee form,
20 us as a committee, need to understand the rational and
21 reasoning and dive down into the numbers.
22 UNIDENTIFIED SPEAKER: Right.
23 UNIDENTIFIED SPEAKER: And one thing too.
24 Here's the thing you have to realize by doing this.
25 We're actually causing ourselves some money because --

15

1 Inaudible -- these outside people are lowering their
2 prices and putting cars in there and taking away from us
3 because ours are not full. They are filling those up to
4 the point to where at the end to where they see they
5 have spots left, they'll lower their price and put cars
6 in it. Well, that's taking away from us.
7 So, you know, we'll still going to pay the
8 biggest part of the parking when you look at it the way
9 it's built. But at least that's a fair way to do it and
10 if they're better at marketing their parking lots than
11 we are, than so be it. But, I mean, we can't be any
12 fairer than that; and I don't think that anybody can
13 argue with that formula.
14 UNIDENTIFIED SPEAKER: Inaudible --
15 interesting way of looking at this. If your revenue is
16 5.7 million, what you need is 2.7 million. That's a
17 million and a half dollars.
18 UNIDENTIFIED SPEAKER: Right.
19 UNIDENTIFIED SPEAKER: You got 600, what,
20 thousand passengers. That's right. At \$2.00 a
21 person -- Inaudible -- \$2.00 a person. That makes up
22 your difference too.
23 UNIDENTIFIED SPEAKER: We can just charge
24 them as they come over the causeway. It doesn't matter.
25 UNIDENTIFIED SPEAKER: (Inaudible)

16

1 UNIDENTIFIED SPEAKER: Whether it's going
2 across a walkway or trying to keep them out of a
3 dangerous intersection down there, you have a way to
4 charge them \$2.00 -- Inaudible.
5 UNIDENTIFIED SPEAKER: Here's the deal.
6 That's an additional \$2.00 on the passenger. We're
7 trying to get them in the parking lot, because they're
8 making a buck on this. Let's face it, without the
9 cruise ships, they don't have any cars to park. So they
10 got to -- Inaudible -- something in order -- it's their
11 business. I mean, I'd love to have a business where the
12 guy says you don't have to pay me any lights or
13 utilities or rent or anything. You can just take the
14 profit and run. It doesn't work like that. So we have
15 to make sure that these people pay a little something
16 towards generating this industry that's creating a job
17 for them.
18 UNIDENTIFIED SPEAKER: If you don't work at
19 it from the parking lot standpoint, then somebody else
20 opens up another parking lot that dilutes just what you
21 said about how our operations are. They'll fill up
22 their lots. If that means dropping their prices and
23 filling up their lots first, we continue to have
24 vacancy. We have another parking lot that does the same
25 thing. It's just that we are the ones that suffer and

17

1 have to suffer.
2 UNIDENTIFIED SPEAKER: We are. But at least
3 we'll be paying towards -- the new ones that open up
4 we'll be paying towards the fee too. The way it is now,
5 when they open up new lots, we're hardly getting
6 anything out of it.
7 UNIDENTIFIED SPEAKER: We have less and
8 less -- Inaudible. So it's -- we are the ones who are
9 holding the responsibility for incurring the cost --
10 Inaudible.
11 UNIDENTIFIED SPEAKER: Okay. The airport
12 shuttles. These are the vans that are shuttling two and
13 from the airport. Their rate was \$10.00 per trip. It
14 is now \$15.00 dollars per trip. The per trip access --
15 UNIDENTIFIED SPEAKER: Let me try to snap
16 before we go on because -- Inaudible -- question on
17 that. The thing about what we are calling "airport
18 shuttles" is that we need that service. I don't want to
19 have my access fee so high down here that they are going
20 to say it's not worth it for me to pick up people at the
21 the airport and take them down to Galveston because I'm
22 not going to make any money out of it. We need those
23 folks just like we need the taxicabs in Galveston. You
24 know, we have a very modest fee for taxicabs, basically,
25 getting them registered and verifying their insurance.

AUDIO TRANSCRIPTION
SPECIAL FINANCE MEETING

18

1 I don't want to turn around and discourage,
2 what I am calling, like, the super shuttles of the world
3 to come to Galveston because the fees down there are too
4 exorbitant. Now, I have no way of getting those
5 passengers who do decide to fly in to go on a cruise,
6 which believe me is a problem because of the issues we
7 have with people being able to rent car, and Enterprise
8 is actually starting May 1st is actually changed and are
9 now open on Sundays which is a smart thing for them.
10 That's kind of why we try to keep the airport shuttle
11 fees down at a lower number.

12 UNIDENTIFIED SPEAKER: That's only 825
13 trips. So it doesn't look like we have a lot of
14 activity.

15 UNIDENTIFIED SPEAKER: No. But I would
16 anticipate with more passengers that number is going to
17 increase.

18 UNIDENTIFIED SPEAKER: And then the per trap
19 access fee. These are the facilities around the island,
20 such as the hotels, who pay every time the end of the
21 fourth.

22 UNIDENTIFIED SPEAKER: Right.

23 UNIDENTIFIED SPEAKER: That currently is at
24 \$10.00. We are proposing \$15.00.

25 UNIDENTIFIED SPEAKER: Y'all were going to

20

1 need to -- not everybody that's staying at a hotel/motel
2 is driving down here. Like I said, the guy that I spoke
3 to on Saturday from Spokane, he didn't drive down here.
4 He took an airplane and a taxi to get down here.

5 UNIDENTIFIED SPEAKER: But the hotel still
6 buses him over.

7 UNIDENTIFIED SPEAKER: Correct.

8 UNIDENTIFIED SPEAKER: And the hotels don't
9 make any money on it.

10 UNIDENTIFIED SPEAKER: Yeah. The hotels --
11 Inaudible -- coming on the property with the customer,
12 whether they are parking or not. Maybe just don't look
13 at parking. It's the fact that they come here with
14 their customer is probably more important than how they
15 come here or if they park there. The fact that they're
16 on that bus -- I mean, if they came by taxi, we don't
17 know that. But I would assume that part of the deal is
18 we'll transport you back and forth or -- if you go to
19 the hotel by taxi, you are going to leave by taxi,
20 probably, to go back to where -- I'm trying to think of
21 all those -- there's different situations.

22 I would bet more often than not they are
23 driving, they are parking, they are being shuttled over.
24 There's got to be very few times where they are taking a
25 taxi to the airport and going to a hotel overnight and

19

1 do some research as to what these hotels charge for this
2 service. Were you able to contact any of the hotels to
3 find out when someone calls up and says, "I'm coming in
4 for a cruise. I want to stay at your hotel for one
5 night and park my car for five nights." whether they
6 charge or not for it?

7 UNIDENTIFIED SPEAKER: The hotels did not.
8 We did not get disclosure from hotels if they were
9 charging for parking space. What I've seen though is
10 they are not charging them anything. Because --
11 Inaudible -- for the longest time, talked to me about my
12 cruise special and then you'd stay there a night and
13 they'd park you up for free and the same thing --
14 Inaudible -- happening at the Galvez and maybe the San
15 Luis.

16 UNIDENTIFIED SPEAKER: It's happening at all
17 of them. You can see the sign up there.

18 UNIDENTIFIED SPEAKER: My take on that is,
19 is, to us, that's no different than a parking lot. They
20 are pulling away from this operation. They are not
21 supporting the operation, and the fees need to be
22 appropriate. I'm not a sure just a \$5.00 increase is --

23 UNIDENTIFIED SPEAKER: But you -- I have
24 some numbers -- I just got them right before the
25 meeting. I did not have a chance to look at them. We

21

1 then when they get back, they are staying a night maybe
2 and then going back to the airport or a taxi is taking
3 them.

4 UNIDENTIFIED SPEAKER: I think when they
5 get to the airport, then the airport will offer -- I
6 mean, not the airport. When they get to the hotel, the
7 hotel will offer the service to take you down to the
8 cruise ship in the morning. That's obviously what's
9 happening.

10 UNIDENTIFIED SPEAKER: I'm saying that that
11 number has to be extremely small where somebody takes a
12 taxi in from the airport of Houston and comes to
13 Galveston and stays at a hotel and then is shuttled over
14 by the hotel. That number is very small.

15 UNIDENTIFIED SPEAKER: But they are more
16 likely, probably, involved in one of these air -- what
17 they call air/sea package from the cruise lines which
18 include, hey, stay at our preferred lodging, which in
19 the early days at carnival, I haven't looked at it
20 recently, where the Wyndham Hotels which were the
21 Galvez, the Tremont and the Harbor House and so that was
22 they're preferred place to stay. Although, like I said,
23 the guy that I talked to on Saturday was staying out at
24 one of the other hotels further out west rather than the
25 Saint Luis or the Galvez. I'm not sure what kind of

AUDIO TRANSCRIPTION
SPECIAL FINANCE MEETING

22

1 package he was in. He just probably just arranged his
2 own flight arrangements and got what he considered a
3 reasonably priced hotel.
4 UNIDENTIFIED SPEAKER: Let's be realistic
5 here. All these hotels are businesses and they are all
6 operated by, conceivably, smart business owners and when
7 they offer an amenity and this is an amenity, they are
8 building that into their pricing model to maximize their
9 rate of return for all of the amenities and services
10 being offered and there is value, such as, value to
11 their client, their customer. They're maximizing their
12 revenue value to the facility to our detriment and, I
13 think, we need to look at the hotels and treat them in
14 somewhat of a similar manner we do with the offsite
15 parking lot. I think that -- Inaudible.
16 UNIDENTIFIED SPEAKER: The hotels help us
17 attract passengers because they have a place for them to
18 stay when they come the day before they go on a cruise.
19 They help us attract passengers. The parking lots don't
20 help us attract anybody. They are just taking advantage
21 of the people that are coming here, and they are taking
22 work away from us. The hotels are not. When people go
23 and stay at that hotel, he's staying an extra night and
24 the city is getting sales tax on them. They are getting
25 stuff off of those people. So they are adding a value

23

1 to the cruise lines. They are actually adding a value
2 to us by providing a place for a passenger to stay
3 overnight if he flies in from LA or if he flies in from
4 somewhere and he needs a place to stay. He's staying
5 there. So they shuttle him to the airport. I fly all
6 the time and they shuttle me back and forth to the
7 airport and they don't charge them anything to shuttle
8 me back and forth to the airport but we can charge them
9 something. But I can't say we put them on the same par
10 as a parking lot because, in all fairness, the parking
11 lot, we don't need them. We can park every car on our
12 parking spaces if they weren't there and we would get
13 every penny of that revenue. I mean, I'm making it --
14 Inaudible -- they are not bringing anything to the
15 table. Hotels are bringing something to the table.
16 UNIDENTIFIED SPEAKER: Inaudible -- cruise
17 ship industry. I think that our direct benefit is
18 negligible attentive.
19 UNIDENTIFIED SPEAKER: How can it be? If
20 passengers come in and stay at our hotel and then come
21 on our ship, we are going to get the passenger count.
22 We are going to get that other \$5 million that we are
23 talking about we make in revenue off of that passenger,
24 a portion of that. When he comes and parks, none of
25 that, we get none of that from him. You know, that's

24

1 the key.
2 UNIDENTIFIED SPEAKER: But, you know,
3 something to be considered on what Eddy is saying. Who
4 knows? But this access fee, \$15.00 a trip, there are a
5 certain percentage of those folks that are parking at
6 that hotel. And I agree with you -- Inaudible -- we
7 have different categories of folks. We have those that
8 benefit directly without the parking lots that benefit
9 directly -- Inaudible -- our revenue stream. Then there
10 are those that are service providers, like the buses, as
11 an example. The hotels I agree with that as well.
12 What clouds it for me is when the hotels
13 also provide the parking for those folks for that whole
14 week, that is in competition to us. The buses that come
15 down, they are really service providers to us and they
16 augment the movement of people. The hotels and, I
17 think, we need them. That's why we're here. We're to
18 build income for this community and I think that we -- I
19 think it's an -- Inaudible -- when we look at the hotel
20 because we have a certain number of those that are
21 parking cars in competition with us.
22 The buses, I don't see them providing
23 anything but service to us. Do you have a -- do you
24 adjust your fees accordingly? I don't know what the
25 percentage would be. I don't know if anybody knows what

25

1 the percentage would be of those that are actually
2 parking the cars and leaving them there. I don't know.
3 Some hotels, with the hotels that I stay in
4 particularly, for some reason tend to charge me for
5 parking my car overnight.
6 UNIDENTIFIED SPEAKER: They all do.
7 UNIDENTIFIED SPEAKER: Twenty, fifteen,
8 twenty, thirty dollars a night to leave my car there. I
9 would be interested to know if, in fact, the hotels are
10 charging anybody for parking there for that week that
11 they're --
12 UNIDENTIFIED SPEAKER: That, or if they use
13 a package deal where it's built into a higher room price
14 saying that you could only stay and park for the week if
15 you get our "stay and park package" which is a --
16 UNIDENTIFIED SPEAKER: Higher price. A
17 higher price.
18 UNIDENTIFIED SPEAKER: My issue,
19 Mr. Chairman, is we are going to raise fees. There's no
20 question about that. We have to raise fees. But as
21 long as they are raised equally on everybody, that's the
22 only way we are going to be able to defend it; and we
23 have to be very careful as we move through this as we
24 have equitable situation for all parties concerned.
25 UNIDENTIFIED SPEAKER: Inaudible --

AUDIO TRANSCRIPTION
SPECIAL FINANCE MEETING

26

1 Intercontinental, you can park at a hotel there.
2 They'll charge you more to park there while you're gone.
3 Not as much as a parking lot but they'll charge you. I
4 don't know if we had those questions. Apparently, we
5 didn't get feed back from the hotels if they were
6 charging additional money for people to park there or
7 not.

8 UNIDENTIFIED SPEAKER: We did reach out to
9 hotels. We asked kind of two sets of questions and it's
10 really it's not a representative example. But, first,
11 try to get a feel for the cruise passengers that are
12 staying there and then being delivered to the terminals.
13 What percentage are drive up and what percent are not.
14 And there are a couple of hotels that we surveyed and
15 asked whether they were charging for parking and the two
16 that I've got here, indicate that they weren't charging
17 for parking but, again, that's not a representative
18 sample. That's not a question, you know, I didn't get
19 enough notes last time. But that's not a question that
20 we took back and reached out to the hotels,
21 specifically, on. We can do that if you want.

22 UNIDENTIFIED SPEAKER: Peter, I would tell
23 you that asking each hotel is probably not going to get
24 you the right answer.

25 UNIDENTIFIED SPEAKER: Right.

27

1 UNIDENTIFIED SPEAKER: It's not going to
2 get you an accurate answer. For them to say that they
3 don't charge for parking, I would tell you it's about as
4 close to a white lie as you can get but I guarantee it's
5 a lie because if you ask me if I charge for delivery,
6 I'll say I don't charge for delivery. I'll deliver the
7 pizza for free, but I have to charge you for the
8 package. Now we charge you a packaging fee. Listen,
9 I'm trying to cover my expenses. Okay. And I'm going
10 to roll them into what sounds as reasonable as possible
11 to the consumer.

12 So I'm going to tell you that that's not
13 accurate because they are putting in the price of the
14 room and saying we'll give you free parking. You can
15 look on the internet for deals all the time. You can go
16 to any hotel and look at specials right. There's always
17 deals. Right? And if you do notice, some of the deals
18 that they give away now is free parking because parking
19 is a cost. It's a real cost if you are paying out.
20 It's amazing but it can get really high.

21 You go to New York City and you go to some
22 of these big areas -- San Francisco is another big
23 place. It blows you away. Sixty dollars, you're almost
24 like screw this shit. I don't want to drive in. I'll
25 take a taxi now when I go to San Francisco. I don't

28

1 even take a car because I never drive it when I'm there
2 and I paid for it. What I would say the best way to get
3 that information is to get with the association. Ask
4 the association to do the work for you.

5 They're not going to rob each other on the
6 inside because they all know what each other charges.
7 Just like I know every Friday afternoon what the
8 occupancy is in every major hotel in Galveston and we
9 base our staffing on how booked they are. We do that
10 and they give us that information because they know what
11 comes around goes around. Let them worry about who's
12 charging and who's not charging and get them to work
13 with us based on what Benny is saying.

14 We're all in this together. We're not
15 trying to get rich off of them. We're trying to get an
16 accurate adequate information to make it -- and that's
17 when you'll get a good number and tell them this is why
18 we need it. We need you to succeed, but you need us to
19 succeed even more.

20 UNIDENTIFIED SPEAKER: The other way of
21 doing it. We don't know this -- Inaudible -- on our
22 phone conversation is to act as a shopper and call them
23 up and say, "I want to come in for this cruise. I want
24 to stay the night before and I want to park my car for
25 the week. What do you charge me?" And then go to the

29

1 internet or call them again and say, "I just want to
2 stay one night. What do you charge me?" And see what
3 the differential is.

4 UNIDENTIFIED SPEAKER: And that's -- we did
5 this -- this was an internet search that came up with
6 these prices. I did not think about the Hotel
7 Association; and we can certainly pursue that to get
8 some better numbers. At least a more representative
9 sample.

10 UNIDENTIFIED SPEAKER: I get a hundred
11 percent of what you're saying. I think that there's
12 definitely a cost -- Inaudible -- and they are building
13 a cost into some pricing model that they have and if
14 they are not doing that, they are stupid and I don't
15 think they are stupid. I think they are trying to
16 maximize their revenue and when they give that amenity
17 to a customer, they know that amenity is value to that
18 customer and they are charging a reasonable amount for
19 that amenity.

20 UNIDENTIFIED SPEAKER: How many buses do we
21 get from the hotels? Do you know?

22 UNIDENTIFIED SPEAKER: We have the
23 numbers --

24 UNIDENTIFIED SPEAKER: 6,675 trips at
25 \$15.00 per -- Inaudible -- so if you take 100,125 in

AUDIO TRANSCRIPTION
SPECIAL FINANCE MEETING

30

1 revenue divided by 15 per trip you get 6,675 trips. I'm
2 assuming if it's as consistent with a round trip.

3 UNIDENTIFIED SPEAKER: That's each access?

4 UNIDENTIFIED SPEAKER: You are looking at
5 each bus has five people on it, which I'm sure some have
6 two, some have ten, but if you have the 6,675 times
7 five, that's a little over 33,000 passengers.

8 UNIDENTIFIED SPEAKER: Now, one thing to
9 keep in mind. If the shuttle bus in the hotels show up
10 in the morning to pick people up and they don't bring
11 anyone at that time, they are going to come back later
12 that day with people they are dropping off. They are
13 not necessarily -- sometimes they are dropping off and
14 picking up at the same times. Sometimes they are just
15 coming in and dropping off, leaving empty. Other times
16 they are arriving empty and just picking up.

17 UNIDENTIFIED SPEAKER: But the -- Inaudible
18 -- you are charging each time.

19 UNIDENTIFIED SPEAKER: We charge each time
20 they pass through the gate.

21 UNIDENTIFIED SPEAKER: How they manage
22 their own bus and scheduling of it, we don't need to be
23 involved -- Inaudible. That's the hotel --

24 UNIDENTIFIED SPEAKER: I'm saying for the
25 benefit of calculating passengers, your passenger

31

1 calculations may be -- it's an estimate.

2 UNIDENTIFIED SPEAKER: Everybody on that bus
3 didn't park a car.

4 UNIDENTIFIED SPEAKER: Right.

5 UNIDENTIFIED SPEAKER: My thing on it is we
6 are a little low on what we are charging the hotels. I
7 don't want to say significantly low. I just think we
8 are a little low. In my mind, I always thought 20 a
9 trip, 25 a trip, in that range and that's based on no
10 substantive calculation -- inaudible.

11 UNIDENTIFIED SPEAKER: Based on what y'all
12 presented us with, the race that y'all are showing, gets
13 us to the number that we need. Right?

14 UNIDENTIFIED SPEAKER: Yes, sir.

15 UNIDENTIFIED SPEAKER: So if you are going
16 to raise up the hotel and shuttles, than you are going
17 to have to lower --

18 UNIDENTIFIED SPEAKER: Yeah. You'd lower
19 the cost of some of the other.

20 UNIDENTIFIED SPEAKER: You'd lower the per
21 month access fee price.

22 UNIDENTIFIED SPEAKER: Let's jump back a
23 second and remember that we are in competition, truly in
24 competition, with the parking lots.

25 UNIDENTIFIED SPEAKER: No. They are in

32

1 competition with us, because we are providing
2 everything. They are just taking our business away from
3 us.

4 UNIDENTIFIED SPEAKER: What we need to keep
5 in mind is that the rate that they are able to charge --
6 we have to be competitive enough for them to raise their
7 rate. Our pricing can't be so low that they don't have
8 to raise their price. They just suck it up and they
9 maybe put it into -- they figure out a different way to
10 manage it, cut staffing, whatever, whatever they have to
11 do. We have to be careful with that because the one
12 thing we are trying to do, we are trying to get more
13 parking -- Inaudible -- and we can't have them have an
14 unfair advantage by -- Inaudible -- lower the
15 competition price.

16 We have to think about that. I may not be
17 saying it the way my mind is thinking it. But we have
18 to have a rate that can't be so low that it doesn't do
19 anything for us and we still lose market share. We are
20 trying to increase market share. Let's be honest here.
21 The more market share we increase, the safer we are in
22 moving forward in building new -- Inaudible -- and
23 taking investments and stuff. So we have to be careful
24 with that, and I don't know what it is. I'm just
25 throwing it out there.

33

1 UNIDENTIFIED SPEAKER: I agree with you
2 totally, Johnny. The the other side of that is I --
3 Inaudible -- I guess, it was yesterday or the day before
4 into the parking lots in preparation for this meeting to
5 see what's going to happen earlier in the day to see
6 what the cruise, what the prices were, what the rates
7 were, and then later in the day to see if the prices
8 dropped. What my concern is, is that whatever the fee
9 is that we charge -- there several number of ways that
10 you can go about it but, to me, it's pretty simple. I
11 like keeping it simple, like Benny does, is to have the
12 access fee where if you drop below -- if the parking
13 lots drop below a certain level, than were losing their
14 butt. We can't have that. Because that's taking money
15 out of our --

16 UNIDENTIFIED SPEAKER: They're not going to
17 lose their butt unless they're -- Inaudible -- break
18 even. Even -- Inaudible -- break even. That's why they
19 are doing it.

20 UNIDENTIFIED SPEAKER: But you know what --
21 Inaudible -- I question in some cases as I run around if
22 they know what break even is and that's what's really
23 dangerous. Because if you are just out there as a
24 sniper and shooting for that next car, well, I'll take
25 it for a dollars and that's really cutting money out of

AUDIO TRANSCRIPTION
SPECIAL FINANCE MEETING

34

1 our revenues at that point in time. With our fees, our
2 access fees, that we're talking about raising it at this
3 point. It is going to be very clear. It's going to
4 cost you "X" per car per parking spot. Any rational
5 person, any rational business manager, would not go
6 below that number.

7 UNIDENTIFIED SPEAKER: Remember these are
8 fees that are -- Inaudible -- not a variable cost. If
9 they rent one more space, the fee doesn't go up. Any
10 dollar that they make, even if it's a dollar per space,
11 if it was a space that was going to go unfilled --

12 UNIDENTIFIED SPEAKER: (Inaudible).

13 UNIDENTIFIED SPEAKER: It's very simple.
14 That's a dollar in their pocket.

15 UNIDENTIFIED SPEAKER: Yeah. But it's very
16 simple. You are going to charge them \$2.90, 2.88 --
17 2.90 a space. That's what it's going to cost. So
18 whatever they charge over 2.90, they are putting in
19 their pocket.

20 UNIDENTIFIED SPEAKER: (Inaudible).

21 UNIDENTIFIED SPEAKER: It's that simple. I
22 mean, it doesn't take a rocket science to figure all of
23 that out. If they are charging \$7.00 a day. They are
24 making \$4.00 off of that space. If they have a hundred
25 spaces, they are making \$4.00 a space on it.

36

1 we talked about it -- Inaudible. I guess what I'm
2 saying is: Why do we worry about lowering somebody
3 else's fee, you know? Why aren't we just thinking about
4 what is equitable for each individual area based on
5 other parts of the country or whatever.

6 But you know if we want to charge \$20.00 to
7 the hotel access, let's charge \$20.00 but let's not
8 lower somebody else's. I don't have a problem with it.
9 I'll lower it. If this is a fair price, 2.88, then it's
10 a fair price and let's stick with that or let's stick
11 with whatever that is because I think over time we're
12 going to constantly change this.

13 And why do we change it? Inflation. It
14 could be a number of reasons. But we ought to put a
15 model in that you don't have to -- we are going to do
16 the hard work today and over the next several meetings.
17 It needs to be fluid enough that staff can make changes
18 and come to us for approval and we just keep rolling.

19 UNIDENTIFIED SPEAKER: Johnny, I will say
20 this. Whatever we do today, I want to conclude that we
21 take another look at it in six months.

22 UNIDENTIFIED SPEAKER: Absolutely.

23 UNIDENTIFIED SPEAKER: So if this is
24 something that is going to change over time --

25 UNIDENTIFIED SPEAKER: Yes.

35

1 UNIDENTIFIED SPEAKER: Just their --
2 Inaudible -- they have other costs: Taxes, and
3 insurance and labor and all that.

4 UNIDENTIFIED SPEAKER: I understand. I
5 totally agree.

6 UNIDENTIFIED SPEAKER: Just to cover us.
7 But all those costs are probably fixed costs. Whether
8 they rent 10 spaces or a hundred spaces, the cost --
9 Inaudible -- same thing. So any incremental revenue --
10 Inaudible. It's not like you, again -- Inaudible --
11 it's not like they sell a pizza. You have fixed cost,
12 your ranch, your -- Inaudible -- your cheese, your meats
13 -- Inaudible.

14 UNIDENTIFIED SPEAKER: Inaudible -- I think
15 it's simple.

16 UNIDENTIFIED SPEAKER: I do too.

17 UNIDENTIFIED SPEAKER: I think it's simple.
18 I don't know why we want to make it so complicated.
19 What we are saying to them is look: We got to get to
20 this number and we are trying to be as fair as we can
21 about it.

22 UNIDENTIFIED SPEAKER: Well, let me ask you
23 this -- Inaudible -- are we so concerned with just to
24 break even that we're worried about if we end up with an
25 extra, you know, point or two points. I mean, I thought

37

1 UNIDENTIFIED SPEAKER: -- and we need to --
2 because this is the main source of revenue for us. We
3 have to look at it on a regular basis.

4 UNIDENTIFIED SPEAKER: It would be nice for
5 staff and Mark -- Inaudible -- if there was some
6 direction, you'd feel really good about when you do show
7 up in six months and say, hey, guys based on our
8 decision and based on the formulas we used, this is
9 where we are now and this is what we should do. Hey, it
10 all kind of matches. Like you say, it's easy. It's
11 simple and we keep moving forward and it doesn't take us
12 six months to make a decision next time around.

13 UNIDENTIFIED SPEAKER: And I'd say exactly
14 what our proposal is is to establish some sort of
15 methodology, and this needs to be looked at every single
16 year.

17 UNIDENTIFIED SPEAKER: Right.

18 UNIDENTIFIED SPEAKER: I don't know how it
19 is that we established the \$8.00 -- Inaudible -- in
20 2006. That may or may not have been an arbitrary number
21 but we did not follow through on the coal adjustments
22 that the tariff provided and I think that's how we find
23 ourselves in the position that we are in today. But
24 absolutely that as part of our proposal is that we would
25 come to you per the tariff on an annual basis and

AUDIO TRANSCRIPTION
SPECIAL FINANCE MEETING

38

1 provide a recommendation for an increase.
2 So there is a methodology behind these
3 numbers. What we've looked at is the delta between
4 revenue and expenses and then a portion that delta based
5 upon off port operations and port operations, not as a
6 way of adjusting market share, but rather as a way of
7 adjusting the expenses that we incur to return the
8 cruise terminal and that's how we came to these numbers.
9 You know, we are fundamentally looking for guidance from
10 the board about if this is not the right methodology and
11 what you'd like us to use and then we can adjust the
12 numbers accordingly.
13 UNIDENTIFIED SPEAKER: Your comment about
14 why the one goes up and the other goes down. To me, the
15 reason why that is -- that's methodology -- Inaudible --
16 in favor. They are try to balance to whatever the
17 unfunded costs are. So if one goes up, the other one
18 has to go down because the equation has to balance.
19 UNIDENTIFIED SPEAKER: (Inaudible).
20 UNIDENTIFIED SPEAKER: Inaudible -- valid
21 methodology -- what Johnny said which makes a lot of
22 sense to me.
23 UNIDENTIFIED SPEAKER: Inaudible -- we are
24 trying to meet the cost of that terminal operating.
25 UNIDENTIFIED SPEAKER: Right.

39

1 UNIDENTIFIED SPEAKER: The parking lots out
2 there are making a profit on it. They are putting money
3 in their pocket. We are not putting any money in our
4 pocket. We are trying to get to a number that just pays
5 the expenses. The 7,228,000 that it cost us to operate
6 that thing. It's all we're doing. We're not putting
7 any money in our pocket. They are putting money in
8 their pocket over and above that \$2.88 because
9 everything over that they are putting money in their
10 pocket. We're not.
11 So if you want to build in a profit margin,
12 we need to charge more because that gives us a profit
13 for our pocket where we haven't done that. We are
14 trying to be as fair as we can be with these people by
15 saying, look, this is what it's going to take. We are
16 not going to ask you to give us profit. We just ask you
17 to help us pay for the facilities and the terminal.
18 UNIDENTIFIED SPEAKER: And we are adding
19 our own 889,000 --
20 UNIDENTIFIED SPEAKER: Exactly. Out of our
21 pocket.
22 UNIDENTIFIED SPEAKER: It's not like we are
23 saying we need to pick up the -- Inaudible -- only
24 600,000.
25 UNIDENTIFIED SPEAKER: That's all they are

40

1 picking up is 600,000 of it.
2 UNIDENTIFIED SPEAKER: (Inaudible).
3 UNIDENTIFIED SPEAKER: I'm not arguing with
4 y'all's point at all. I think it's a very valid point.
5 UNIDENTIFIED SPEAKER: Inaudible -- but any
6 way to keep peace in the city and have peace in this
7 industry, I don't have a problem with doing it but I
8 think it's fair --
9 (Side A concluded).
10 UNIDENTIFIED SPEAKER: -- and I think we're
11 there. The only question is: Whether you want to raise
12 the hotel or motel. But as far as the parking lots, I
13 think we've been more than fair on the number we've put
14 out.
15 UNIDENTIFIED SPEAKER: I think you got a
16 good thing to start up here. No matter what you do, you
17 are going to find out -- Inaudible -- not only for
18 additional cost and additional expenses but also for the
19 adjustments and a good survey on what the hotel's
20 parking up there -- Inaudible -- but I think you got a
21 good model here to start with -- Inaudible -- numbers
22 going forward.
23 UNIDENTIFIED SPEAKER: If we could on Page
24 4 of the presentation, we have taken -- Inaudible --
25 increase would be if one had a hypothetical 100 space

41

1 parking lot. Maybe Mark can run through the numbers.
2 Obviously, there's a lot we don't know here about their
3 cost. Their cost of mortgage on their land. Their cost
4 for improvements, et cetera. We are trying to,
5 essentially, figure out what these proposed increase
6 would mean for an outdoor parking operator.
7 UNIDENTIFIED SPEAKER: Okay. What we are
8 doing here -- well, there's two different scenarios.
9 The first scenario assumes that, over the course of the
10 year, the private lot, well, this hypothetical lot here,
11 has 80 percent occupancy. We are looking at it as,
12 actually, the average price -- this is the blended rate
13 between internet -- Inaudible -- whatever, is \$8.00 a
14 space. So if we look under the first column that says,
15 "daily per space," this is assuming an \$8.00 space with
16 80 percent accuracy. So over the course of the year
17 that space, on a daily basis, gets \$6.40. That takes
18 into account the days it's not filled. Under our
19 existing fees of \$8.00 a space per month, that equates
20 to 26 cents per day. Under the proposal here, that
21 increases to 95 cents a day. The overall percentage
22 increase is 261. The current rate for that \$6.40 with a
23 26 cent per day, that's the \$8.00 per day, we get 4.11
24 percent of the gross and what we are proposing that 80
25 percent would be 14.83 percent. Now, if you go over and

AUDIO TRANSCRIPTION
SPECIAL FINANCE MEETING

42

1 they have 90 percent occupancy -- and I will say this, I
2 look out my window I could see several of the lots.
3 They are not completely full everyday. Some weeks they
4 are but some weeks, they are some vacancy. So they are
5 not running a hundred percent full occupancy. Let's say
6 if at 90 percent, which, again, the hypothetical 100
7 lot, parking lot, at 90 percent occupancy with a blended
8 rate of \$8.00 per space that would give us \$7.20 as the
9 average space daily amount they receive on that one
10 parking space. Again, the old rate -- Inaudible --
11 comes out to 26 cents, and I have rounded this to just
12 two dozen points, to 26 cents a day. The proposed rate
13 is at 95 cents a day. A 69 cent a day increase. That
14 comes out -- the existing rate is 3.65 percent of their
15 daily cost with a daily revenue and the proposed fee is
16 13.19 percent of their daily revenue.

17 UNIDENTIFIED SPEAKER: So, basically, if I
18 am looking at this, if they raise their rate a dollar a
19 day per space to go more inline with our rate which is
20 approximately -- what? \$10.00 a day depending on the
21 length. So, let's say, right now they are 20 percent --
22 Inaudible -- and they raise their rate by a dollar a
23 day, it would more than cover this increase, still allow
24 them even extra profit, and would bring their rates more
25 inline of what we are charging.

43

1 UNIDENTIFIED SPEAKER: If you wanted to
2 look at it that way, if they raised their rates 69 cents
3 times the tax rate, 8.25, the total of that would be a
4 break even for that increase.

5 UNIDENTIFIED SPEAKER: And if everyone if
6 every lots cost go up, then every lot can raise their
7 pricing with no disadvantage to any other lot and brings
8 their advantage to -- Inaudible. So it allows for the
9 outside lots to recover this cost with little negative
10 impact.

11 UNIDENTIFIED SPEAKER: As far as I'm
12 concerned, that's for them to worry about.

13 UNIDENTIFIED SPEAKER: Right. I
14 understand.

15 UNIDENTIFIED SPEAKER: Right now all we got
16 to worry about is the port. We've got to justify this
17 and we've got to bring this inline.

18 UNIDENTIFIED SPEAKER: But I'm saying for
19 -- Inaudible -- into relationship as to it really is
20 going to be -- surely this initial amount, is going to
21 be very easily to pass on and the key is that passing on
22 the cost, which hopefully is going to force them to
23 raise their rates, is going to then put us on that
24 evening playing field or close to it.

25 UNIDENTIFIED SPEAKER: The bottom line is

44

1 we that we either charge this or we don't build a third
2 terminal or we don't keep up with this terminal, keep it
3 in first-class shape, to keep the passengers coming.
4 Without cruises, they don't have a job.

5 UNIDENTIFIED SPEAKER: I do say the same
6 thing though.

7 UNIDENTIFIED SPEAKER: Okay. So I'm not
8 worried -- I just want to justify to them and show them
9 why we are doing it. Let them worry about whether they
10 are going to stay in the parking business or not,
11 whether they make a buck out of it or not. That's up to
12 them. We didn't put them in that business. They chose
13 to get in that business to compete with us so they can
14 make some money. Well fine. But you know what, you're
15 making money on our back.

16 We got to pay for this facility. You are
17 going to help us pay for it if you are going to be in
18 the business. If you choose to get out of business, I'm
19 sorry. If you can't make enough money, we got parking
20 spots for those people. We can park them everyday. We
21 got plenty of spots. If they want to stay in the
22 business and make a profit, so be it. But they are
23 going to pay their fair share. I don't know how to get
24 any clearer on that.

25 UNIDENTIFIED SPEAKER: I got a question --

45

1 Inaudible -- sleep over here. Excuse me. But if we are
2 putting our parking spaces in this too and they are
3 going to get -- and right now, they are getting all the
4 parking and we're the one's that have the hire occupancy
5 rates, don't we need to eliminate our parking.

6 UNIDENTIFIED SPEAKER: If we do that --
7 Inaudible the price goes up so high and that would be an
8 -- Inaudible.

9 UNIDENTIFIED SPEAKER: (Inaudible)

10 UNIDENTIFIED SPEAKER: Currently our
11 parking lots are subsidized -- Inaudible. So if we
12 reduce -- if we increase the proportional share that
13 other people are paying for the cruise terminal, we are
14 decreasing it, proportionately, how much our parking is
15 subsidizing the cruise terminal -- Inaudible.

16 UNIDENTIFIED SPEAKER: (Inaudible).

17 UNIDENTIFIED SPEAKER: Yeah. We are going
18 to subsidize. That's no question.

19 UNIDENTIFIED SPEAKER: (Inaudible).

20 UNIDENTIFIED SPEAKER: We are not going to
21 subsidize near as much as we have been.

22 UNIDENTIFIED SPEAKER: Inaudible -- but we
23 all have to pretty much agree that this methodology
24 makes sense.

25 UNIDENTIFIED SPEAKER: What about park and

AUDIO TRANSCRIPTION
SPECIAL FINANCE MEETING

46

1 walks? Have we found a way to capture revenue from the
2 park and walk -- Inaudible?
3 UNIDENTIFIED SPEAKER: Before you answer
4 that, let me tell you some of my concerns. As I said I
5 road around this weekend taking a look at -- Inaudible
6 -- that's a dangerous situation. Somebody is going to
7 get killed. It's not a matter of if somebody is going
8 to get killed. Somebody is going to get killed. I tell
9 you, I don't -- how do you get people across?
10 This situation right here, I'm talking about
11 25th Street, to me is worse than the situation down on
12 21st Street. For some reason everybody is, kind of,
13 crowded in one spot. People, my age, going across with
14 two suitcases, pulling them, they are tripping, they are
15 doing -- I haven't seen anyone fall in the street but I
16 bet you they have.
17 I think it's an issue of -- Inaudible --
18 because we may have some real problems down there and I
19 don't think we can be drawn into it. That's not the
20 issue for me. I just don't want to see anybody hurt. I
21 think it's a dangerous situation we have there. Why a
22 gate there? Makes me wonder. Why do we have a gate
23 access? Why don't we just close it off.
24 UNIDENTIFIED SPEAKER: Well, we've talked
25 about that and that would -- and that's going to require

47

1 all the traffic to comes through here to be funneled
2 down in front of -- it can be done because I've talked
3 to the staff about it. That's something that I've
4 thought about it. Because that's the only way we can
5 accommodate the park and walk folks and to preclude that
6 from happening.
7 I agree with you because we were over at the
8 cruise terminal the other day, I forget what we were
9 over there -- Inaudible -- and we were just standing in
10 front of the terminal. An 18-wheeler came through here
11 and decided he was going to stop at this light and he
12 locked up his brakes and went probably five to ten feet
13 through the crosswalk and they were saying boy -- we
14 know what to do when we are crossing the street there,
15 because I don't walk out until everybody looks like they
16 are slowing down or they stopped.
17 The people here, they look up, lights red,
18 and they'll just step off the curb and you got the
19 little kid carrying his little bag behind him with all
20 of the senior citizens. It is a dangerous -- my thought
21 on that is two things. One of them, close the
22 pedestrian gate or put a gate there and lock it and we
23 just keep the 25th Street gate locked and we are going
24 to have -- Inaudible -- more traffic onto our property
25 but send everybody down and out on Port Industrial Road.

48

1 UNIDENTIFIED SPEAKER: That's a simple way
2 to do it.
3 UNIDENTIFIED SPEAKER: And these folks here
4 are going to have to find a way to get their customers
5 to the cruise terminal which --
6 UNIDENTIFIED SPEAKER: (Inaudible).
7 UNIDENTIFIED SPEAKER: Inaudible -- take
8 them in the golf cart down to 21st Street -- I don't
9 know. That's their problem. But it's very dangerous
10 and I've told this story before. When I was here as
11 Captain of the coast guard ship here, '89 to '91. There
12 was a coast guard guy that was on the other ship and
13 they got recalled and he came back and he was drunk. I
14 think he killed two or three people out here.
15 UNIDENTIFIED SPEAKER: I remember that.
16 UNIDENTIFIED SPEAKER: Yeah. It was a
17 coast guard guy who was on the other ship -- Inaudible.
18 I remember that. It's still in my mind today. I get
19 nervous a lot every time I see people walking across
20 there. It's a dangerous situation. And then the other
21 thing, it's not a regulated intersection. You'll notice
22 there's no walk, stop, or anything. It's just --
23 there's a light there and a crosswalk.
24 UNIDENTIFIED SPEAKER: You know, our guy
25 stands there and patrols the light which does place us

49

1 in line of jeopardy in that case. So my suggestion is
2 that we are going to have to do something very quickly
3 to that situation.
4 UNIDENTIFIED SPEAKER: To me, if we have a
5 vehicular access area, that does not have to be a
6 pedestrian access area too.
7 UNIDENTIFIED SPEAKER: Well, no. I'm going
8 to tell you, if you look over there, those sidewalks
9 have gone in probably five or six years ago. Because
10 before when you were walking from the west side of 25th
11 Street to go across there, you are actually stepping
12 into the railroad tracks. So what was happening was
13 that there were people still being left off on this side
14 of Harbor Side Drive and they are coming around and they
15 were walking in the street. And so I said I got to get
16 people out of the street and so you'll see we put a
17 sidewalk and there's an actual pedestrian markings to
18 get people over -- Inaudible. That didn't exist
19 probably back in the first five or six, seven years. I
20 had to get people out of the street. That was even a
21 worse situation because people were leaving. You know,
22 they were disembarking and they were walking down 25th
23 Street on our property and cars were leaving and so it
24 was a bad thing. So, I think, that's probably what's
25 going to have to happen. It's going to have to happen

AUDIO TRANSCRIPTION
SPECIAL FINANCE MEETING

50

1 over there.

2 UNIDENTIFIED SPEAKER: Are we going to go
3 into Executive Session?

4 UNIDENTIFIED SPEAKER: Yeah, I guess so.
5 Are you ready to go into Executive Session now?

6 UNIDENTIFIED SPEAKER: It's up to you.

7 UNIDENTIFIED SPEAKER: I'd like to move to
8 Executive Session.

9 UNIDENTIFIED SPEAKER: Inaudible -- I'd
10 like to announce that we are going to recess in
11 Executive Session. According to section 551 --
12 Inaudible. It is 10:04 on Monday the 12th.
13 (Inaudible conversation)

14 UNIDENTIFIED SPEAKER: Okay. It is 10:34
15 on May 12th and I'm here meeting the Special Finance
16 Committee Meeting of the board of trustees of the
17 Galveston Wharves. We are on the agenda -- Inaudible --
18 cruise terminal access fees and I'd like to say that we
19 discussed both out here and in executive, the cruise
20 terminal access fee and the related tariff agreement.
21 And based on that discussion, we asked staff to come
22 back with some additional and final proposals for the
23 Monday board meeting. We also discussed the public
24 safety aspect of pedestrian access to the port and have
25 also instructed staff to make some proposals to increase

51

1 the public safety of pedestrian entering the port for
2 cruise terminal access.

3 Any comments for the board?

4 I know we have some individuals who would
5 like to who are in the audience who may want to speak to
6 us.

7 UNIDENTIFIED SPEAKER: Yes, sir.

8 UNIDENTIFIED SPEAKER: Inaudible -- and just
9 stating your name and who you're with and we are going
10 to try keep comments at three minutes.

11 UNIDENTIFIED SPEAKER: It won't take but a
12 second. Hi, guys. I know some of you around the table.
13 I've been around you most of my career. I'm really
14 feeling --

15 UNIDENTIFIED SPEAKER: For the record --
16 Inaudible.

17 UNIDENTIFIED SPEAKER: George Templeton,
18 Lighthouse Cruise Parking. I'm the president of
19 Lighthouse Cruise Parking. I'd like to make a couple of
20 comments. Everybody in the room really does benefit
21 from the port and all the cruise business that comes in
22 but I'm feeling a little bit discriminated against. We
23 are not collecting anything off the guys with the park
24 and walk. We are not getting the full value of what the
25 hotel owners are bringing in.

52

1 They do bring in vans everyday. They are
2 parking them everywhere from the Howard Johnson to Moody
3 Gardens. Moody Gardens brought in five buses yesterday.
4 These guys up here, they give them parking spots. They
5 are not charging them. But they will put them in
6 another van and bring them down. It is not necessarily
7 a taxi or one of your other -- Inaudible.

8 If you guys can collect the money that's out
9 there on all of these other people, you could leave the
10 three or four people alone that have taken vacant lots
11 right here downtown, tore them down, put them on a tax
12 roll, hire 22 people. All of their money stays on this
13 island everyday. These are people that normally
14 wouldn't get another job elsewhere that we do employ.
15 We keep off the streets. We put back in the taxes, all
16 of our fuel.

17 Everything that we buy comes off of this
18 island and we support a lot of hotels here, restaurants.
19 We're shoving people at -- Inaudible -- and your
20 restaurants and we are providing a very profitable
21 service for this port and if you make us go away today,
22 what are you going to do? You are going to have 600
23 more people out there. Are you going to be able to cut
24 your security? Probably not. You are going to have pay
25 more to get more people.

53

1 You keep pushing us for access. What do I
2 need to do? Bring my guys and drop them off at the
3 corner here at 25th and let them walk across.

4 UNIDENTIFIED SPEAKER: You won't be able to
5 do that -- Inaudible.

6 UNIDENTIFIED SPEAKER: I'm just using that
7 as an example. We pay you every month. We've never
8 been late. We pay you the day that the invoice comes
9 in. We haven't -- Inaudible -- CPI index that's been on
10 the tariff a couple of years. Use that. That's a good
11 start. None of us would have a problem with that. But
12 when you double or triple our rates, we have to do
13 something. We're not going to go away. We are putting
14 people to work here on this island.

15 UNIDENTIFIED SPEAKER: Well we are too sir.

16 UNIDENTIFIED SPEAKER: I understand. It's
17 my three minutes. One more thing about that. One of
18 the biggest cost here is your -- Inaudible -- labor on a
19 cruise ship.

20 UNIDENTIFIED SPEAKER: Is that it?

21 UNIDENTIFIED SPEAKER: Yes, sir.

22 UNIDENTIFIED SPEAKER: I don't think so. I
23 haven't -- Inaudible -- at every port and it's cheaper
24 here than at any other port.

25 UNIDENTIFIED SPEAKER: How much do they

AUDIO TRANSCRIPTION
SPECIAL FINANCE MEETING

54 1 contribute back to the port for the cost of this cruise 2 terminal. 3 UNIDENTIFIED SPEAKER: They load down on 4 all the passengers. 5 UNIDENTIFIED SPEAKER: How much money do 6 they contribute? 7 UNIDENTIFIED SPEAKER: Guys, this is not a 8 debate. 9 UNIDENTIFIED SPEAKER: I'm just asking. I 10 understand, sir. I'd be glad to debate you on that. 11 UNIDENTIFIED SPEAKER: You don't want to 12 debate me on that. 13 UNIDENTIFIED SPEAKER: But, anyway, thank 14 you guys for let me me speak. 15 UNIDENTIFIED SPEAKER: I got one question 16 for him. 17 UNIDENTIFIED SPEAKER: Sure. 18 UNIDENTIFIED SPEAKER: If the rate goes up 19 for us, are you going to keep your rate the same or will 20 you raise up to the customer? 21 UNIDENTIFIED SPEAKER: We are breaking out 22 at 4 percent on our return per year right now. 23 UNIDENTIFIED SPEAKER: So you'll have to 24 raise them? 25 UNIDENTIFIED SPEAKER: Sure. I'm --	56 1 abuse parking revenue to pay for it, we've got to get 2 the parking revenue from somewhere; and if our parking 3 lots are not full and people are taking cars away from 4 us, then we got to have them pay that money and that's 5 what we are doing. We know how much it is going to cost 6 our parking revenue, how much we have to make off of it, 7 and we divide it equally amongst everybody. You got 50 8 cars, you pay 50 cars. We got 700 spots, we pay 700. 9 So it's fair -- Inaudible. 10 UNIDENTIFIED SPEAKER: If it's fair to 11 everybody across the board, I have no problem -- 12 Inaudible -- with the hotels are doing that I've heard 13 here all morning. There's a lot of money you are 14 missing. 15 UNIDENTIFIED SPEAKER: I feel like we need 16 to step aside on this. So thank you -- inaudible 17 anybody else want to talk? 18 UNIDENTIFIED SPEAKER: It is not fair and 19 equitable, and there is no way it will ever be fair and 20 equitable. We are still putting in \$889,000.00 a year. 21 Okay. So it's not fair equitable. We are still 22 contributing more than anyone else. Okay. So we are 23 not getting back -- if we had all the expenses, we are 24 not getting that back. 25 So what is going to be something I believe
55 1 Inaudible. 2 UNIDENTIFIED SPEAKER: You'll raise them to 3 whatever it gets raised to? 4 UNIDENTIFIED SPEAKER: Just to cover the 5 deal. 6 UNIDENTIFIED SPEAKER: That's all we are 7 trying to do here. 8 UNIDENTIFIED SPEAKER: Well, that's fine. 9 But collect it from everybody not just three or four of 10 us. 11 UNIDENTIFIED SPEAKER: Many of your 12 concerns are our concerns too and I think -- Inaudible. 13 UNIDENTIFIED SPEAKER: Inaudible -- fair 14 and equitable. We'll be glad -- 15 UNIDENTIFIED SPEAKER: You saw the numbers 16 we discussed. It cost us \$7.2 million just to keep that 17 thing up. 18 UNIDENTIFIED SPEAKER: Yes, sir. 19 UNIDENTIFIED SPEAKER: We have to get the 20 money from somewhere. 21 UNIDENTIFIED SPEAKER: Understood. Agreed. 22 UNIDENTIFIED SPEAKER: And one of the ways 23 you pay for that is with parking revenue. 24 UNIDENTIFIED SPEAKER: Yes, sir. 25 UNIDENTIFIED SPEAKER: Okay. If we have to	57 1 that everyone will understand is that the Port of 2 Galveston is taking on an extra expense that we are not 3 asking others to take yet and, in the future, if we want 4 to grow this port and if we want to provide a third 5 terminal, that expense has to go away from us. Because 6 that expense right there could fund a \$10 million 7 improvement. Inaudible -- and so the reality is when 8 the partners of this community get engaged and realize 9 how big it could be for all of us and allow this entity 10 to drive it, then I think that number goes away and 11 everybody is happy to pick up the extra cost and help us 12 grow another terminal and we are all growing at a pace 13 that we won't be able to keep up with. 14 And I want to say this to the bigger parking 15 lots that are here -- Tina, you are here. You represent 16 the largest parking lot, I think. I will tell you this 17 -- Inaudible -- you allow this organization to do the 18 right thing and you trust us, I will tell you right now 19 you will have a better chance in the future of making 20 more money than you ever have before. But we have to be 21 successful. I think -- Inaudible -- is very clear about 22 this. 23 We have to be successful before you. And 24 that's the honest to got truth. We'll be successful 25 together but if we can continue to grow and if we can

AUDIO TRANSCRIPTION
SPECIAL FINANCE MEETING

58

1 continue -- hey, don't worry about the labor union,
2 That's not our concern. That's not our problem.
3 Without them, we can't put anybody on the ships. Okay.
4 So let's go further and, say, allow us to do the right
5 thing. Help us make the other parking lot owners
6 understand what we are trying to achieve here because
7 not everybody comes to our meetings.
8 I think EZ Parking and now Lighthouse is
9 represented but I don't know if the other ones are
10 coming around but I will tell you right now, I feel
11 better about where we are going and I think you will too
12 if you just accept what we are doing as part as growing
13 pains. And I want to make that very public because I
14 want this organization to grow for Galveston for
15 everybody.
16 UNIDENTIFIED SPEAKER: We are going to
17 grow.
18 UNIDENTIFIED SPEAKER: Yeah. Absolutely.
19 UNIDENTIFIED SPEAKER: Inaudible -- next
20 week. You guys just set me free -- inaudible.
21 UNIDENTIFIED SPEAKER: (Inaudible).
22 UNIDENTIFIED SPEAKER: You know, we've sate
23 it a million times -- Inaudible -- is that the port is
24 not subsidized by any taxpayer. We have to be
25 self-supported and that \$2.5 million is coming right out

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1 of -- you know, the port has to do it. So we have to
2 make it up somewhere. We can't go to the city and say
3 increase the taxes or increase this because it's not
4 going to get us where we need to be. It's all part of
5 sharing this expense and, you know, just what we have to
6 do to keep even. Keep ahead. Even with the --
7 Inaudible -- not even above it.
8 UNIDENTIFIED SPEAKER: I will say one
9 thing. I think it's good that we instructed the staff
10 to look at the safety issue -- Inaudible -- not just the
11 port but the city as well.
12 UNIDENTIFIED SPEAKER: I agree. Anyone
13 else?
14 UNIDENTIFIED SPEAKER: No.
15 UNIDENTIFIED SPEAKER: Ready to adjourn --
16 Inaudible -- second. All in favor?
17 UNIDENTIFIED SPEAKER: I.
18 UNIDENTIFIED SPEAKER: We are adjourned.
19 It is 10:44 on May 12th.
20 UNIDENTIFIED SPEAKER: One other quick
21 thing. It is not a board thing -- it is a board thing
22 is the Sea Fair Center event is this Saturday. I don't
23 know if -- did anybody get back to you?
24 UNIDENTIFIED SPEAKER: (Inaudible).
25 UNIDENTIFIED SPEAKER: I think the problem

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1 is we don't get thrown into an -- Inaudible -- this
2 weekend -- Inaudible
3 (Audio concluded).
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1 REPORTER'S CERTIFICATION
2 AUDIO TRANSCRIPTION OF THE SPECIAL FINANCE MEETING ON
3 5/12/14
4
5 I, Loren N. Gonzales, Certified Shorthand
6 Reporter in and for the State of Texas, hereby certify
7 that the foregoing is a true and correct transcription,
8 to the best of my ability, of audio labeled "Special
9 Finance Meeting 5/12/14 (Copy)".
10 I further certify that I am neither counsel for,
11 related to, nor employed by any of the parties or
12 attorneys in the action in which this proceeding was
13 taken, and further that I am not financially or
14 otherwise interested in the outcome of the action.
15 Further certification requirements pursuant to
16 Rule 203 of TCRP are amended by Rule 203.6(a).
17 Certified to by me this 4th day of June, 2014.
18
19
20
21
22
23
24
25


Loren N. Gonzales, CSR
Texas CSR 8867
Expiration Date: 12/31/2015
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16 (Pages 58 to 61)

AUDIO TRANSCRIPTION
AUDIO FILE NO. 1

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3 RE: BOARD OF TRUSTEES OF THE GALVESTON WHARVES TARIFF
4 REVISION(S) FOR "OFF-PORT PARKING USERS"

5

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9 AUDIO TRANSCRIPTION OF MIERZWA INTERVIEW ON 5/19/14

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Exhibit F

AUDIO TRANSCRIPTION
AUDIO FILE NO. 1

2

MICHAEL: Okay. We had a -- both a GPFC or a Galveston Port Facilities Corporation meeting and the regular meeting of the board of trustees of the Galveston Wharves today. The Galveston Port Facilities Corporation and one item on their agenda and that was to discuss a resolution concerning our settlement agreement that we have with Allen Flores interests which owns the building next to the Galveston downtown -- or the side of the Galveston downtown transit terminal where we hired Turner Construction to build a bus terminal for the City of Galveston.

Mr. Flores contended that the construction over there was causing some damage to his building. We had a -- he filed a lawsuit against us which prohibited us from doing anymore construction down there until we got this resolved with all parties. So what's happened is we have reached a settlement with Mr. Flores. I believe Guidry News has covered that in the past.

However, at the previous board meeting, the directors of the GPFC has authorized me as the President of the GPFC to take any actions that were necessary to settle this lawsuit and to -- and to, basically, settle a lawsuit. However, the attorney for the plaintiff felt that the direction or the powers that was given to me by the Galveston Port Facilities Corporation were too

4

anticipating because it looks like the drought is starting to come back a little bit, that we may slow down on our gray tonnage but the rest of our cargo, with the exception of our bulk liquid, are up year to date over 2013. So our cargo tonnage statistics were also very, very encouraging. With respect to the actual items in the board package, we discussed the settlement issues that were discussed in the GPFC.

The board of trustees also passed a resolution which provided, again, for detail direction to me. As the Port Director, I become the Port Director when I am dealing with the board of trustees to have Galveston Wharves. I'm the president when dealing with the GPFC. So the board of trustees of the Galveston Wharves passed a similar resolution to that which was passed by the GPFC earlier which provided more detailed direction on what I needed to do to settle this case with Mr. Flores.

In addition to that, the bylaws of the Galveston Port Facilities Corporation require that anytime the Galveston Port Facilities Corporation enters any type of agreements or resolutions or alike, that the board of trustees has to approve that, and they approved what the Galveston Port Facilities Corporation has done earlier in the meeting. However, the big item,

3

general in nature and she wanted to see more specific resolution that indicated what they would authorize me as the president to do.

So we had a different resolution which specified a little bit better what we were going to do including the GPFC holding title to Mr. Flores's building, which is called the Fadden Building, and also entering into a sales contract with Turner Construction which was actually going to purchase the building and then give it to us. So this was -- again, it's not really much different than what happened last month with the Galveston Port Facilities Corporation. It just made my authorizations a little more specific.

So that had to do -- that was really the extent of the GPFC meeting. We then entered into the regular board meeting. I talked a little bit about our tonnage for the month and our financial statement. Actually, we had a very good month during the month of April and our operating revenues were \$400,000.00 more than we had budgeted, and our operating expenses were actually \$96,000.00 less than what we had budgeted. So from that perspective, we had an excellent month.

Our -- Inaudible -- cargo, tonnage wise, has already exceeded the tonnage we had in 2013, and it's very close to what we had in 2012. Although, we are

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obviously, was a discussion of the access fees which we charge private parking lots, hotel, motels, airport shuttles, charter buses to bring cruise passengers onto Port of Galveston property.

We have been looking at this -- or I have appointed an access fee study team almost a year ago to take a look at the access fees that we are charging and what other ports are charging for access to cruise terminals and we have met -- I don't know -- on and off with the board of trustees over the last year and I've had several special finance committee meetings to talk about it. We were provided specific direction by the board of trustees about how they wanted us, the study team, to approach looking at access fees.

We did what they wanted. They were, essentially, concerned that we have expenses for the cruise terminal that total about \$7.2 million annually. The Port of Galveston has approximately -- let me get the right percentage here -- 68 percent of the cruise parking. About 5.7 million of the 7.2 million of our expenses is paid from the fees that we collect from the cruise lines to bring passengers into Galveston.

Though, the remainder of that total, which is about one and a half million dollars, is paid by funds or revenue that we generate, the Port of Galveston

AUDIO TRANSCRIPTION
AUDIO FILE NO. 1

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1 generates, for parking and then also the access fees
2 that we charge these other entities bringing passengers
3 into the cruise terminal along with some registration
4 fees for annual decals and things of that nature.

5 The feeling of the board of trustees was
6 they wanted to see the private parking lots and the
7 other entities that are accessing the cruise terminal
8 with these cruise passengers to pay a more fair share of
9 these expenses which the Port of Galveston has been
10 paying, essentially, the difference between what we get
11 from the cruise lines and what the delta is we'll say
12 for the expenses the one and a half million.

13 So the staff went back and they looked at
14 the cost and determined that in order for the private
15 parking lots to -- and the other hotel/motel shuttles
16 and the airport shuttles to pay their fair share, the
17 cost per spot for the private parking spots would have
18 to increase from \$8.00 to \$28.88 per spot, per month,
19 and the fee for airport shuttles, hotel/motel shuttles
20 would double from \$10.00 to \$20.00 every time one of
21 those shuttles access the port.

22 Although, that is a three and a halftimes
23 the rate of what they are paying now, what it really
24 means is to these different private parking lots is that
25 for -- in order for them to maintain, we'll say the

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1 Permits for Cruise Terminal Use and Parking Permits and
2 Fees." So the bottom line is, I indicated before the
3 charter buses went from current charges of \$50.00 and a
4 proposed charge -- and, again, all these charges become
5 effective July 1st.

6 They are going to go from 50 to \$60.00.

7 Commercial passenger vehicles that take, except buses
8 that can seat more than 15 people, are going to go from
9 20 to \$30.00 for trip into the terminal. Commercial
10 passenger vehicles that have less than 15 passengers,
11 which are essentially the hotel/motel shuttles and the
12 airport shuttles, will go from \$10.00 to \$20.00 per
13 access and then as I indicated the off-port parking
14 users who came to us back in 2006 and said, "We don't
15 want to get charged per access. We would rather get
16 charged per parking space." And so their cost per
17 parking space is going to go from \$8.00 to \$28.88 and,
18 as I indicated, these become effective on July 1st; and
19 we did have a couple of people speak to us before the
20 board.

21 One of them was an operator from what I'll
22 call a "park and walk" which is right across from the
23 cruise terminal. We have concerns about that operation
24 because we have cruise passengers crossing an
25 unprotected -- well, let's say not unprotected, but an

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1 gross profit margin that they have now, for a four-day
2 cruise, they would have to raise their price,
3 approximately, \$2.80. For a five-day cruise, would be
4 \$3.50 cents; and for a seven-day cruise, \$4.90. If they
5 raise their prices, their affect on the revenues would
6 be -- it would be a wash.

7 So even though it is three and a halftimes
8 what they are paying now, that is the net effect on what
9 they would have to do with their parking rates; and,
10 again, there was some thought of the trustees that they
11 wanted to try to get some parity here because the port
12 over the years has spent probably between 65 and 70
13 million dollars on the cruise facilities in order to get
14 these cruise ships here and we are in the process right
15 now of borrowing another \$11 million so we can get a
16 larger Royal Caribbean ship here and then also
17 accommodate the third Carnival ship that's going to come
18 here in February.

19 Which, by the way, all these private lots
20 will benefit from having, you know, either larger or
21 additional cruise ships here. So as a matter of equity
22 and parity, the board passed a -- this was a separate
23 agenda item, a change to the tariff, Item No. 111, of
24 the tariff which that has to do -- I'll get you an
25 official title of this. It is "Other Licenses and

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1 unregulated intersection at 25th Street and Harbor Side
2 Drive. Which I will tell you back in 1996 there were
3 people killed at that intersection crossing the street.
4 So it is a dangerous intersection. We have some
5 concerns about that. The private operator indicated
6 that we had hired -- actually, for today, had hired a
7 constable to help get those passengers across the
8 street.

9 He just started that. Although, that
10 operation has been going on for several years but now
11 he's concerned about safety because we pointed that out.
12 So he spoke and said what he's going to do and then we
13 had a representative from EZ Cruise also got up and
14 spoke to the board concerned in the increase in the
15 tariff. As you can expect, the private parking lots are
16 not too happy about this.

17 That was the decision that was made by the
18 board of trustees and those are the reasons for them
19 making that decision. And, again, we had our usual
20 place holder item with respect to west end development.
21 We had nothing for the board on that. All votes vote
22 the GPFC and the board of trustees of the Galveston
23 Wharves were unanimous and we concluded our meeting
24 around 11:30, 11:35. So we got actually finished up
25 before lunch today and that was about the extent of it.

AUDIO TRANSCRIPTION
AUDIO FILE NO. 1

10 1 LINDA: Splendid. You do such a good job of 2 reporting that; and, Michael, I noticed in the 3 photographs that you were standing at one point at the 4 map and talking to the board. What were you talking to 5 them about when you were standing up there? 6 MICHAEL: I probably was -- we were -- I 7 think we were probably talking -- one of the issues that 8 we are dealing with right now is the cost of dredging 9 and that was another thing that was brought up by 10 Mr. Holland was, you know, besides having to pay for 11 the, you know, for the operating expenses for the cruise 12 terminal, I have areas of the channel that I have to 13 keep dredged so that these cruise ships can turn around 14 the channel. 15 In fact, I just within the last 15 minutes 16 or so saw some soundings of the turning area that we 17 have up by pure -- Inaudible -- for the cruise terminals 18 and I am going to have to do some dredging in there. As 19 I was trying to explain to the board, it costs me, 20 before I dredge one cubic yard of material, it costs me 21 \$200,000.00 just to mobilize the dredge and so I end up 22 paying -- I, not me personally, the Port of Galveston 23 ends up paying for that dredging. Which if we didn't 24 have that, we wouldn't have the ships in here. 25 In fact, back when we first dredged out that	12 1 was telling me there was no capacity out there to pump 2 oil out of the channel and that recent maintenance 3 dredging we did at the port -- the port has its own 4 disposal area right behind the Todd Shipyard or the Gulf 5 Copper Shipyard and, in fact, we pumped our maintenance 6 spoils into our own spoil area. 7 I was trying to point out to the trustees 8 where that spoil area is because I'm not sure if all of 9 them were aware of that. So that's probably the reason 10 why I was standing up when that picture was taken. 11 LINDA: I see. I see. Mike, in regard to 12 the parking interest, do you have any kind of a waiting 13 list or anything of that sort for organizations that 14 want to enter into business with the port for those 15 services? 16 MICHAEL: No, not really. But I can tell 17 you that the current private parking lots some of them 18 have already expanded others are in the process of 19 expanding so I know they are doing well. I know they 20 are looking forward looking to when I get the full-time 21 Carnival ship here because there will be additional 22 parking opportunities. But the other thing that's 23 not -- I also have to pay -- I pay Carnival a market 24 incentive fee that they get a certain percentage of my 25 parking revenue to help us market our Port of Galveston
11 1 turning circle down there at Pier 10, that cost the port 2 about \$800,000.00 and that's not -- we don't even add 3 that to the 65 to 70 million dollars we spent on 4 cruises. 5 LINDA: And that's ongoing maintenance? 6 That's not -- 7 MICHAEL: That's ongoing maintenance. And 8 I'll tell you without that turning area, we're not going 9 to get these bigger cruise ships in here. So I've got 10 some concern. We've got to have to get that and it will 11 probably be okay through the Summer because the water -- 12 you know, because the wind blows out of the south, kind 13 of, blows water into Galveston Bay. So the water will 14 be a little bit higher through the Summertime; but I 15 will tell you by next fall and definitely before I get 16 into the wintertime when we get the northers and the 17 water blows out of the bay, I am going to have to have 18 that dredged, I imagine. Probably looking at probably 19 half a million dollars to do that. 20 But what I was probably pointing at is one 21 of the other issues we are have with the core that even 22 though we have it pumped out to the federal disposal 23 area of Pelican Island since the end of 2000 -- well, 24 we put a little bit of material in there within past 25 year but very little material. The core of engineers	13 1 parking lot. 2 LINDA: Okay. 3 MICHAEL: That's part of our agreement with 4 Carnival, and it's part of an economic development 5 agreement. Carnival provides us a link on their website 6 so you can get into Port of Galveston parking. But we 7 are going to have to do -- for the amount of money that 8 we pay them which will probably -- the agreement with 9 Carnival on that runs from September to September and 10 we'll probably pay them an excess of \$200,000.00 for 11 their assistance in marketing the terminals -- excuse 12 me -- in monitoring the ports parking. But we are going 13 to have to do, I think, a lot more with Carnival to 14 justify that payment. 15 That was written into the agreement we had 16 with Carnival when they brought the two larger ships 17 here because what happened is we took the Ecstasy and 18 replaced it with the Triumph. By doing that, we got, 19 approximately, a thousand passengers more per cruise. 20 Put the Carnival Conquest and replaced it with the 21 Carnival Magic and when they replaced that ship, we got 22 another thousand passengers more per cruise. 23 So Carnival indicated, well, we are bringing 24 you two bigger ships. You will get more parking because 25 we have more passengers going on those ships and we need

AUDIO TRANSCRIPTION
AUDIO FILE NO. 1

14

1 to get a percentage of that parking and we will assist
2 you in marketing your parking lots with that money. But
3 that's all part, you know, that's all part of the
4 agreement to try to get these bigger ships in here.
5 Carnival is wanting a piece of the parking action in
6 exchange for marketing. But I think we need to do a
7 better job and that's something I've talked to Carnival
8 about and we'll work on that going forward with them.

9 LINDA: Well, you obviously have a lot of
10 plates in the air and congratulations on having a good
11 April and we'll just look forward to things continuing
12 to do well for you and we really appreciate your great
13 reports, Mike.

14 MICHAEL: Thank you, Linda. Nice talking to
15 you.

16 LINDA: Thank you, Dear.
17 (Audio concluded)
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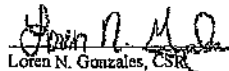
15

1 REPORTER'S CERTIFICATION
2 AUDIO TRANSCRIPTION OF FILE LABELED "13914MIERZWA" ON CD
3 ENTITLED "GALVESTON PARKING MINUTES Q&A"
4

5 I, Loren N. Gonzales, Certified Shorthand
6 Reporter in and for the State of Texas, hereby certify
7 that the foregoing is a true and correct transcription,
8 to the best of my ability, of audio labeled
9 "13914MIERZWA".

10 I further certify that I am neither counsel for,
11 related to, nor employed by any of the parties or
12 attorneys in the action in which this proceeding was
13 taken, and further that I am not financially or
14 otherwise interested in the outcome of the action.

15 Further certification requirements pursuant to
16 Rule 203 of TCRP are amended by Rule 203.6(a).
17 Certified to by me this 3rd day of June, 2014.
18
19

20 

Loren N. Gonzales, CSR
Texas CSR 8867

21 Expiration Date: 12/31/2015
22 Republic Services,
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23 4202 Sherwood Lane

Houston, Texas 77092
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5 (Pages 14 to 15)

AUDIO TRANSCRIPTION
AUDIO FILE NO. 1

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2

3 RE: BOARD OF TRUSTEES OF THE GALVESTON WHARVES TARIFF

4 REVISION(S) FOR "OFF-PORT PARKING USERS"

5

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9 AUDIO TRANSCRIPTION OF MIERZWA INTERVIEW ON 5/19/14

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Exhibit F

AUDIO TRANSCRIPTION
AUDIO FILE NO. 1

2

1 MICHAEL: Okay. We had a -- both a GPFC or
2 a Galveston Port Facilities Corporation meeting and the
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15 Wharves passed a similar resolution to that which was
16 passed by the GPFC earlier which provided more detailed
17 direction on what I needed to do to settle this case
18 with Mr. Flores.

19 In addition to that, the bylaws of the
20 Galveston Port Facilities Corporation require that
21 anytime the Galveston Port Facilities Corporation enters
22 any type of agreements or resolutions or alike, that the
23 board of trustees has to approve that, and they approved
24 what the Galveston Port Facilities Corporation has done
25 earlier in the meeting. However, the big item,

5

1 obviously, was a discussion of the access fees which we
2 charge private parking lots, hotel, motels, airport
3 shuttles, charter buses to bring cruise passengers onto
4 Port of Galveston property.

5 We have been looking at this -- or I have
6 appointed an access fee study team almost a year ago to
7 take a look at the access fees that we are charging and
8 what other ports are charging for access to cruise
9 terminals and we have met -- I don't know -- on and off
10 with the board of trustees over the last year and I've
11 had several special finance committee meetings to talk
12 about it. We were provided specific direction by the
13 board of trustees about how they wanted us, the study
14 team, to approach looking at access fees.

15 We did what they wanted. They were,
16 essentially, concerned that we have expenses for the
17 cruise terminal that total about \$7.2 million annually.
18 The Port of Galveston has approximately -- let me get
19 the right percentage here -- 68 percent of the cruise
20 parking. About 5.7 million of the 7.2 million of our
21 expenses is paid from the fees that we collect from the
22 cruise lines to bring passengers into Galveston.

23 Though, the remainder of that total, which
24 is about one and a half million dollars, is paid by
25 funds or revenue that we generate, the Port of Galveston

AUDIO TRANSCRIPTION
AUDIO FILE NO. 1

6

1 generates, for parking and then also the access fees
2 that we charge these other entities bringing passengers
3 into the cruise terminal along with some registration
4 fees for annual decals and things of that nature.

5 The feeling of the board of trustees was
6 they wanted to see the private parking lots and the
7 other entities that are accessing the cruise terminal
8 with these cruise passengers to pay a more fair share of
9 these expenses which the Port of Galveston has been
10 paying, essentially, the difference between what we get
11 from the cruise lines and what the delta is we'll say
12 for the expenses the one and a half million.

13 So the staff went back and they looked at
14 the cost and determined that in order for the private
15 parking lots to — and the other hotel/motel shuttles
16 and the airport shuttles to pay their fair share, the
17 cost per spot for the private parking spots would have
18 to increase from \$8.00 to \$28.88 per spot, per month,
19 and the fee for airport shuttles, hotel/motel shuttles
20 would double from \$10.00 to \$20.00 every time one of
21 those shuttles access the port.

22 Although, that is a three and a halftimes
23 the rate of what they are paying now, what it really
24 means is to these different private parking lots is that
25 for — in order for them to maintain, we'll say the

7

1 gross profit margin that they have now, for a four-day
2 cruise, they would have to raise their price,
3 approximately, \$2.80. For a five-day cruise, would be
4 \$3.50 cents; and for a seven-day cruise, \$4.90. If they
5 raise their prices, their affect on the revenues would
6 be — it would be a wash.

7 So even though it is three and a halftimes
8 what they are paying now, that is the net effect on what
9 they would have to do with their parking rates; and,
10 again, there was some thought of the trustees that they
11 wanted to try to get some parity here because the port
12 over the years has spent probably between 65 and 70
13 million dollars on the cruise facilities in order to get
14 these cruise ships here and we are in the process right
15 now of borrowing another \$11 million so we can get a
16 larger Royal Caribbean ship here and then also
17 accommodate the third Carnival ship that's going to come
18 here in February.

19 Which, by the way, all these private lots
20 will benefit from having, you know, either larger or
21 additional cruise ships here. So as a matter of equity
22 and parity, the board passed a — this was a separate
23 agenda item, a change to the tariff, Item No. 111, of
24 the tariff which that has to do — I'll get you an
25 official title of this. It is "Other Licenses and

8

1 Permits for Cruise Terminal Use and Parking Permits and
2 Fees." So the bottom line is, I indicated before the
3 charter buses went from current charges of \$50.00 and a
4 proposed charge — and, again, all these charges become
5 affective July 1st.

6 They are going to go from 50 to \$60.00.
7 Commercial passenger vehicles that take, except buses
8 that can seat more than 15 people, are going to go from
9 20 to \$30.00 for trip into the terminal. Commercial
10 passenger vehicles that have less than 15 passengers,
11 which are essentially the hotel/motel shuttles and the
12 airport shuttles, will go from \$10.00 to \$20.00 per
13 access and then as I indicated the off-port parking
14 users who came to us back in 2006 and said, "We don't
15 want to get charged per access. We would rather get
16 charged per parking space." And so their cost per
17 parking space is going to go from \$8.00 to \$28.88 and,
18 as I indicated, these become affective on July 1st; and
19 we did have a couple of people speak to us before the
20 board.

21 One of them was an operator from what I'll
22 call a "park and walk" which is right across from the
23 cruise terminal. We have concerns about that operation
24 because we have cruise passengers crossing an
25 unprotected — well, let's say not unprotected, but an

9

1 unregulated intersection at 25th Street and Harbor Side
2 Drive. Which I will tell you back in 1990 there were
3 people killed at that intersection crossing the street.
4 So it is a dangerous intersection. We have some
5 concerns about that. The private operator indicated
6 that we had hired — actually, for today, had hired a
7 constable to help get those passengers across the
8 street.

9 He just started that. Although, that
10 operation has been going on for several years but now
11 he's concerned about safety because we pointed that out.
12 So he spoke and said what he's going to do and then we
13 had a representative from EZ Cruise also got up and
14 spoke to the board concerned in the increase in the
15 tariff. As you can expect, the private parking lots are
16 not too happy about this.

17 That was the decision that was made by the
18 board of trustees and those are the reasons for them
19 making that decision. And, again, we had our usual
20 place holder item with respect to west end development.
21 We had nothing for the board on that. All votes vote
22 the GPFC and the board of trustees of the Galveston
23 Wharves were unanimous and we concluded our meeting
24 around 11:30, 11:35. So we got actually finished up
25 before lunch today and that was about the extent of it.

AUDIO TRANSCRIPTION
AUDIO FILE NO. 1

10

LINDA: Splendid. You do such a good job of reporting that; and, Michael, I noticed in the photographs that you were standing at one point at the map and talking to the board. What were you talking to them about when you were standing up there?

MICHAEL: I probably was -- we were -- I think we were probably talking -- one of the issues that we are dealing with right now is the cost of dredging and that was another thing that was brought up by Mr. Holland was, you know, besides having to pay for the, you know, for the operating expenses for the cruise terminal, I have areas of the channel that I have to keep dredged so that these cruise ships can turn around the channel.

In fact, I just within the last 15 minutes or so saw some soundings of the turning area that we have up by pure -- Inaudible -- for the cruise terminals and I am going to have to do some dredging in there. As I was trying to explain to the board, it costs me, before I dredge one cubic yard of material, it costs me \$200,000.00 just to mobilize the dredge and so I end up paying -- I, not me personally, the Port of Galveston ends up paying for that dredging. Which if we didn't have that, we wouldn't have the ships in here.

In fact, back when we first dredged out that

11

turning circle down there at Pier 10, that cost the port about \$800,000.00 and that's not -- we don't even add that to the 65 to 70 million dollars we spent on cruises.

LINDA: And that's ongoing maintenance? That's not --

MICHAEL: That's ongoing maintenance. And I'll tell you without that turning area, we're not going to get these bigger cruise ships in here. So I've got some concern. We've got to have to get that and it will probably be okay through the Summer because the water -- you know, because the wind blows out of the south, kind of, blows water into Galveston Bay. So the water will be a little bit higher through the Summertime; but I will tell you by next fall and definitely before I get into the wintertime when we get the northers and the water blows out of the bay, I am going to have to have that dredged, I imagine. Probably looking at probably half a million dollars to do that.

But what I was probably pointing at is one of the other issues we have with the core that even though we have it pumped out to the federal disposal area of Pelican Island since the end of 2000 -- well, we put a little bit of material in there within past year but very little material. The core of engineers

12

was telling me there was no capacity out there to pump oil out of the channel and that recent maintenance dredging we did at the port -- the port has its own disposal area right behind the Todd Shipyard or the Gulf Copper Shipyard and, in fact, we pumped our maintenance spoils into our own spoil area.

I was trying to point out to the trustees where that spoil area is because I'm not sure if all of them were aware of that. So that's probably the reason why I was standing up when that picture was taken.

LINDA: I see. I see. Mike, in regard to the parking interest, do you have any kind of a waiting list or anything of that sort for organizations that want to enter into business with the port for those services?

MICHAEL: No, not really. But I can tell you that the current private parking lots some of them have already expanded others are in the process of expanding so I know they are doing well. I know they are looking forward looking to when I get the full-time Carnival ship here because there will be additional parking opportunities. But the other thing that's not -- I also have to pay -- I pay Carnival a market incentive fee that they get a certain percentage of my parking revenue to help us market our Port of Galveston

13

parking lot.

LINDA: Okay.

MICHAEL: That's part of our agreement with Carnival, and it's part of an economic development agreement. Carnival provides us a link on their website so you can get into Port of Galveston parking. But we are going to have to do -- for the amount of money that we pay them which will probably -- the agreement with Carnival on that runs from September to September and we'll probably pay them an excess of \$200,000.00 for their assistance in marketing the terminals -- excuse me -- in monitoring the ports parking. But we are going to have to do, I think, a lot more with Carnival to justify that payment.

That was written into the agreement we had with Carnival when they brought the two larger ships here because what happened is we took the Ecstasy and replaced it with the Triumph. By doing that, we got, approximately, a thousand passengers more per cruise. Put the Carnival Conquest and replaced it with the Carnival Magic and when they replaced that ship, we got another thousand passengers more per cruise.

So Carnival indicated, well, we are bringing you two bigger ships. You will get more parking because we have more passengers going on those ships and we need

AUDIO TRANSCRIPTION
AUDIO FILE NO. 1

14

1 to get a percentage of that parking and we will assist
2 you in marketing your parking lots with that money. But
3 that's all part, you know, that's all part of the
4 agreement to try to get these bigger ships in here.
5 Carnival is wanting a piece of the parking action in
6 exchange for marketing. But I think we need to do a
7 better job and that's something I've talked to Carnival
8 about and we'll work on that going forward with them.

9 LINDA: Well, you obviously have a lot of
10 plates in the air and congratulations on having a good
11 April and we'll just look forward to things continuing
12 to do well for you and we really appreciate your great
13 reports, Mike.

14 MICHAEL: Thank you, Linda. Nice talking to
15 you.

16 LINDA: Thank you, Dear.
17 (Audio concluded)
18
19
20
21
22
23
24
25

15

1 REPORTER'S CERTIFICATION
2 AUDIO TRANSCRIPTION OF FILE LABELED "13914MIERZWA" ON CD
3 ENTITLED "GALVESTON PARKING MINUTES Q&A*"
4

5 I, Loren N. Gonzales, Certified Shorthand
6 Reporter in and for the State of Texas, hereby certify
7 that the foregoing is a true and correct transcription,
8 to the best of my ability, of audio labeled
9 "13914MIERZWA".

10 I further certify that I am neither counsel for,
11 related to, nor employed by any of the parties or
12 attorneys in the action in which this proceeding was
13 taken, and further that I am not financially or
14 otherwise interested in the outcome of the action.

15 Further certification requirements pursuant to
16 Rule 203 of TCRP are amended by Rule 203.6(a).
17 Certified to by me this 3rd day of June, 2014.
18
19

20 

Loren N. Gonzales, CSR
Texas CSR 8867

21 Expiration Date: 12/31/2015
22 Republic Services,
23 Court Reporting Division
24 Firm Registration No. 563
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Republic Services, Inc.
(713) 957-0094

5 (Pages 14 to 15)

**PORT OF GALVESTON
REQUEST FOR DISCUSSION AND
TRUSTEES ACTION**

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FEDERAL MARITIME COMM

**BUSINESS
ITEM – E-2**

PREPARED BY: Michael J. Mierzwa Port Director May 19, 2014

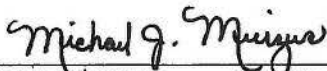
SUBJECT: Discuss and Consider Changes to Galveston Wharves Tariff Circular No. 6, Item No. 111 – Other Licenses and Permits, Including Increases to the Decal and Access Fees for Ground Transportation Companies Accessing the Cruise Ship Terminal Complex to be Effective July 1, 2014

BACKGROUND: Last year, the Board asked the Port Director to look into various issues related to the fees the Port charges operators of private parking lots and other companies that drop off and pick up customers at the Port's two cruise terminals. The study team formed by the Port Director in response to that tasking has completed its assessment.

ADDITIONAL INFORMATION ATTACHED: No _____ Yes x

RECOMMENDATIONS: The Board of Trustees is respectfully requested to review the attached information, to listen to the briefing from the Port Director and to approve the proposed change to the tariff.

Respectfully Submitted By:


Michael J. Mierzwa, Port Director

DATE ACTION TAKEN: _____

Approved: _____
Disapproved: _____
Deferred To: _____
Incorporated into Minutes: _____

Motion By: _____
Seconded By: _____
Unanimous: Yes _____ No _____
By: _____

Exhibit G

PORT OF GALVESTON

BRIEFING

DISCUSS AND CONSIDER CHANGES TO GALVESTON WHARVES TARIFF CIRCULAR NO. 6 – OTHER LICENSES AND PERMITS, INCLUDING INCREASES TO THE DECAL AND ACCESS FEES FOR GROUND TRANSPORTATION COMPANIES ACCESSING THE CRUISE SHIP TERMINAL COMPLEX TO BE EFFECTIVE JULY 1, 2014

Background

Last year, the Board asked the Port Director to assess various issues related to the fees the Port charges operators of private parking lots and other companies that drop off and pick up customers at the Port's two cruise terminals. In response, the Port Director formed a study team. The team has briefed the Board on its progress several times over the past year. During the briefings, the Board asked the study team to gather additional information that would help them make a decision regarding the fee structure and the amounts assessed the various entities accessing the terminals.

Current Situation

The team has completed its work and recommends that the Board approve an increase in the fees.

Board of Trustees of the Galveston Wharves Tariff Circular No. 6 (Item No. 111 – "Other Licenses and Permits") sets forth the guidelines for Port Use Permits. Entities desiring to use, or have their vehicles and operators enter on, Galveston Wharves property for commercial purposes must have a valid use permit issued by the Port Director pursuant to Item No. 111 of the tariff. To receive a permit, an applicant must pay an application fee, comply with certain liability and other insurance requirements and, in the case of commercial entities entering the cruise terminal complex, pay a decal and access fee. Some commercial entities pay the access fee on a per-trip basis and some pay the fee on a monthly basis.

The fees set forth in the tariff were established in August 2006 and have not been updated or amended since then. (There is a provision in the tariff for periodic adjustment of the fees.) Revenue generated by the current fees reflects a disproportionately low share of the cost of operating the cruise terminals forcing the Port to cover nearly the entire cost of operations. The study team believes that the fees in the tariff should be increased. The table that appears on the following page summarizes the proposed fee changes.

Category	Tariff Sec	Decal Fee		Access Fee	
Decal and Access Fees	Note C	Current	Proposed	Current	Proposed
- Charter busses		-	-	\$50.00 ¹	\$60.00 ¹
- Commercial passenger vehicles (except busses) with seating capacity of 15 or more persons		\$10.00	\$25.00	\$20.00 ¹	\$30.00 ¹
- Commercial passenger vehicles (except busses) with seating capacity of fewer than 15 persons		\$10.00	\$15.00	\$10.00 ¹	\$20.00 ¹
- Taxicabs with City of Galveston permits		\$7.50	\$7.50	-	-
Off-Port Parking Users	Note D	\$10.00	\$15.00	\$8.00²	\$28.88²

Attached to this brief are two documents. The first is an annotated copy of Item No. 111 of the tariff. Changes recommended by the study team are indicated in red. The second document is a copy of the revised tariff item if the Board approves the study team's recommendations.

Fiscal Impact

The estimated fiscal impact of this recommendation is based on the number of Port Use Permit applications processed, the number of vehicle decals issued and the number of commercial vehicles accessing the cruise terminal complex in 2013. The estimated impact is also based on certain assumptions related to those numbers in 2014. On that basis, the projected annual increase in revenue associated with the proposed change to the tariff is \$430,000.

Staff Recommendation

The Board of Trustees is respectfully requested to listen to the briefing of the Port Director and staff and approve the proposed changes to the tariff.

Attachment

5/19/14

¹ Access fees paid by operators of charter busses and commercial passenger vehicles (such as airport and hotel shuttles) are assessed on a per-trip basis.

² Access fees paid by operators of off-port parking lots are assessed on a per-parking-lot-space, per-month basis.

ISSUED: NOVEMBER 21, 2013

EFFECTIVE: JANUARY 1, 2014

SECTION 100 - GENERAL INFORMATION, RULES AND REGULATIONS

APPLICATION

ITEM

OTHER LICENSES AND PERMITS

(C)(A)(I) 111

Port and Cruise Terminal Use and Parking Permits and Fees

Applications for Port Use Permits are to be submitted to the Galveston Wharves using Application Forms, which are available at the Offices of the Galveston Wharves.

An Initial application fee and annual renewal fee are required for the following categories of business conducting activities on or in connection with the property of the Galveston Wharves:

1. Commercial Business Entities not operating under a Lease Agreement, Berthing Agreement, Operating Agreement, Operating or Terminal Services Agreement or Concession Agreement with the Galveston Wharves or the Galveston Port Facilities Corporation
Initial Application Fee: \$300.00 Annual Renewal Fee: \$75.00
2. Commercial Passenger Vehicle Service with more than two (2) vehicles providing access for people to the Galveston Wharves and the Cruise Ship Terminal Complex. (Not operated or controlled by or under contract for transportation services with the Galveston Wharves) (Notes A, C, D & E)
Initial Application Fee: \$300.00 Annual Renewal Fee: \$75.00
3. Commercial Passenger Vehicle Services with two (2) or fewer vehicles providing access for people to the Galveston Wharves and the Cruise Ship Terminal Complex. (Not operated or controlled by or under contract for transportation services with the Galveston Wharves) (Notes A, C, D & E)
Initial Application Fee: \$120.00 Annual Renewal Fee: \$50.00
4. Mobile Food and/or Merchandise Vendors
Initial Application Fee: \$120.00 Annual Renewal Fee: \$50.00
5. Common Carriers by Water of Passengers (Water Taxi Service)
Initial Application Fee: \$300.00 Annual Renewal Fee: \$75.00
6. Organizations performing Oil Waste, Bilge Water and Gray Water Removal Service
Initial Application Fee: \$300.00 Annual Renewal Fee: \$75.00
7. Organizations performing Sanitary and Solid Waste Removal Services
Initial Application Fee: \$300.00 Annual Renewal Fee: \$75.00
8. Organizations performing the Services of Line Handling for Vessels.
Initial Application Fee: \$300.00 Annual Renewal Fee: \$75.00
9. Persons Operating Pneumatic Trucks Handling Plastic Polymer Pellets
Initial Application Fee: \$300.00 Annual Renewal Fee: \$75.00

Item No. 111 continued on the next page.

ISSUED: NOVEMBER 21, 2013

EFFECTIVE: JANUARY 1, 2014

SECTION 100 - GENERAL INFORMATION, RULES AND REGULATIONS

APPLICATION	ITEM
In addition to the application and Port Use Permit fee, all applications must be accompanied by a Certificate of Insurance showing proof of Insurance, not less than that required in Item 600 of this Tariff, and meeting all other requirements found in Item 600 of this Tariff, except as noted in "Note B", below. The Insured party must be the same name as the Applicant and the Taxpayer Identification registered with the Texas Secretary of State and the Texas Comptroller of Public Accounts for the named business entity. The City of Galveston and the Board of Trustees of the Galveston Wharves must also be named as "Additional Insureds" with Waiver of Subrogation.	

Port Use Permits are to be issued for a period of one (1) year beginning January 1st and ending December 31st. New businesses requiring Port Use Permits within three months of the above expiration date will be issued such permits to extend the following year.

Note A. A separate Port Use Permit must be obtained for each of the business categories, named above, in which any business entity is engaged.

Note B. The following insurance requirements defined in the City of Galveston Ordinances, as may be amended from time to time, which are applicable to Commercial Vehicles for Hire, are incorporated into this Tariff Circular and apply to the respective types of vehicles referenced in the ordinance section heading (See also: www.cityofgalveston.org). The Port reserves the right to modify certain liability and other insurance requirements as deemed necessary based on a review of the applicant and type of business. License holders and Port Use Permit holders shall, in addition to the notice-to-the-City requirement in the City Ordinance, notify the Port in all instances in which the Ordinance requires notice to the City.

Sec. 35-54. Insurance-taxicabs.

Every holder of a license to operate a taxicab service pursuant to the provisions of this chapter shall maintain in full force and effect at all times a policy or policies of automobile liability and property damage insurance, with an insurance company or companies authorized to do business in Texas, covering each vehicle so used, in an amount not less than the minimum coverage required by state law. No taxicab permit shall be issued or renewed unless the applicant has obtained for the vehicle involved an automobile liability insurance policy with an insurance company or companies authorized to do business in Texas with minimum limits as prescribed pursuant to state law. The applicant prior to issuance or renewal of the permit shall furnish satisfactory proof of such coverage. Said policy shall contain a clause requiring thirty (30) days notice be given to the city prior to cancellation. If such notice of cancellation is given by the insurance company, the licensee shall obtain new insurance before meeting the requirements of this section prior to the expiration of the 30-day period; if the license fails to do so his permit shall be immediately revoked.

(Ord. No. 02-058, § 3, 6-27-02)

Item No. 111 continued on the next page.

ISSUED: NOVEMBER 21, 2013

EFFECTIVE: JANUARY 1, 2014

SECTION 100 - GENERAL INFORMATION, RULES AND REGULATIONS

APPLICATION

ITEM

Sec. 35-55. Insurance-limousines.

Every holder of a license to operate a limousine service pursuant to the provisions of this chapter shall maintain in full force and effect at all times a policy or policies of automobile liability and property damage insurance with an insurance company or companies authorized to do business in Texas, covering each vehicle so used, in an amount not less than five hundred thousand dollars (\$500,000.00) combined single limits. No limousine permit shall be issued or renewed unless the applicant has obtained for the vehicle involved an automobile liability insurance policy with an insurance company or companies authorized to do business in Texas with the required coverage. An applicant prior to the issuance or renewal of annual permit shall furnish satisfactory proof of such coverage. The holder shall furnish proof of such coverage by filing with the director a valid certificate of insurance, or in lieu thereof a true multiple original of any such policy. The policy shall contain a clause requiring thirty (30) days' notice be given to the city prior to cancellation. If the insurance company gives such notice of cancellation, the holder shall obtain new insurance before the expiration of the 30-day period; if the holder fails to do so his permit shall be immediately revoked.

(Ord. No. 02-058, § 3, 6-27-02)

Sec. 35-56. Insurance-buses and shuttles.

Every holder of a license to operate a bus or shuttle vehicle service pursuant to the provisions of this chapter shall maintain in full force and effect at all times a policy or policies of automobile liability and property damage insurance with an insurance company or companies authorized to do business in Texas, covering each vehicle so used, in an amount not less than five hundred thousand dollars (\$500,000.00) combined single limits. No bus or shuttle vehicle permit shall be issued or renewed unless the applicant has obtained for the vehicle involved an automobile liability insurance policy with an insurance company or companies authorized to do business in Texas with the required coverage. An applicant prior to the issuance or renewal of annual permit shall furnish satisfactory proof of such coverage. The holder shall furnish proof of such coverage by filing with the director a valid certificate of insurance, or in lieu thereof a true multiple original of any such policy. The policy shall contain a clause requiring thirty (30) days' notice be given to the city prior to cancellation. If the insurance company gives such notice of cancellation, the holder shall obtain new insurance before the expiration of the 30-day period; if the holder fails to do so his permit shall be immediately revoked.

(Ord. No. 02-058, § 3, 6-27-02)

Item No. 111 continued on the next page.

BOARD OF TRUSTEES
OF THE GALVESTON WHARVES
Tariff Circular No. 6
65th Revised Page 3-F

ISSUED: MAY 19, 2014 ~~DECEMBER 17, 2007~~ -
EFFECTIVE: JULY 1, 2014 ~~DECEMBER 17, 2007~~

SECTION 100 - GENERAL INFORMATION, RULES AND REGULATIONS

APPLICATION	ITEM
Note C.	In addition to the annual Port Use Permit fee, ground transportation companies, as defined herein, accessing Cruise Terminal 1/ Texas Cruise Ship Terminal on Galveston Island®, or Cruise Terminal 2 / Texas Cruise Ship Terminal at Pier 27, collectively the Cruise Ship Terminal Complex, shall be subject to the following decal and/or access fees for each vehicle that shall have such access:

<u>Type of Vehicle and Vehicle Seating Capacity:</u>	<u>Decal and Access Charge:</u>
--	---------------------------------

Charter Bus Owners and Operators	\$560.00 Parking Fee
Bus, Commercial Passenger Vehicle, or Courtesy Vehicle with Seating Capacity of greater than fifteen (15) persons	\$10.00 per decal per vehicle, annually and \$50.00 per Access/Trip

(**Except as noted in Notes D & E, below)

Comment [PS1]: Proposed increase FROM \$50 to \$60.

Commercial Passenger Vehicle, Courtesy Vehicle, Shuttle or Limousine with Seating Capacity of fifteen (15) persons or more	\$4025.00 per decal per vehicle annually and \$320.00 per Access / Trip
--	---

(**Except as noted in Notes D & E, below)

Comment [PS2]: Proposed increase in the decal from \$10 to \$25 and access trip from \$20 to \$25 fees.

Commercial Passenger Vehicle, Courtesy Vehicle, or Shuttle or Limousine with Seating Capacity of less than fifteen of up to fourteen (14) persons	\$150.00 per decal per vehicle, annually and \$240.00 per Access / Trip
---	---

(**Except as noted in Notes D & E, below)

Limousine or Taxi and Taxicabs with Seating Capacity of nine (9) to fourteen (14) persons	\$10.00 per decal per vehicle, annually and \$10.00 per Access / Trip
---	---

(**Except as noted in Notes D & E, below)

Comment [PS3]: This category is deleted.

Limousines with Seating Capacity of less not more than ten (10) eight (8) persons	\$10.00 per decal per vehicle, annually and \$10.00 per Access / Trip
---	---

(**Except as noted in Notes D & E, below)

Comment [PS4]: This category goes away.

Taxi and Taxicabs with City of Galveston permit Seating Capacity of not more than eight (8) persons	\$7.50 per decal per vehicle, annually
---	--

Comment [PS5]: No change.

Note D. Those Off-Port Parking Users, as defined herein, in operation and accessing the Texas Cruise Ship Terminal on Galveston Island®, or the Texas Cruise Ship Terminal at Pier 27, collectively the Cruise Ship Terminal Complex, as of August 15, 2006 shall, in lieu of the Access/ Trip fee, be subject to a monthly Access Fee equal to the amount of \$28.8800 per parking space located in the

Off-Port Parking User's parking facility, with number of billable parking spaces to be confirmed periodically by

Item No. 111 continued on the next page.

66th Revised Page 3-G

ISSUED: MAY 19, 2014 ~~DECEMBER 17, 2007~~

EFFECTIVE: JULY

~~1, 2014~~ ~~DECEMBER 17, 2007~~

SECTION 100 - GENERAL INFORMATION, RULES AND REGULATIONS

APPLICATION

ITEM

Note D.

the Galveston Wharves. The \$8.00 Access Fee will be effective on and after ~~July 1, 2014~~ ~~August 15, 2006~~. Commencing on ~~August 15, 2014~~, the monthly Access Fee and will be subject to periodic adjustment by the Board of Trustees of the Galveston Wharves. In addition, Off-Port Parking Users shall pay a decal fee of \$15.00 per decal per shuttle annually adjusted on that date and on each anniversary of such date (each an "Adjustment Date") to reflect increases in the Consumer Price Index for All Urban Consumers (CPI-U) for Houston-Galveston-Brazoria, Texas, All Items (1982-84 = 100) published by the Bureau of Labor Statistics of the United States Department of Labor (the "Index"). If the Index is converted to a different standard reference base or otherwise revised, the determination of the Index will be made with the use of such conversion factor, formula, or table for converting the Index as may be published by the agency or authority that establishes the Index or, if one is not published by such agency or authority, then with the use of such conversion factor, formula, or table as may be published by any nationally recognized publisher of similar statistical information. If the Index ceases to be published, then within 30 days after such Index ceases to be published the Wharves will substitute a new index of similar type to be used as the Index for determining future monthly Access Fee escalation. On each Adjustment Date, Access Fees will be recalculated to be equal to a number equal to the product of the Access Fee in effect the day before the Adjustment Date multiplied by a fraction, the numerator of which is the Index number for the last reporting period before the Adjustment Date and the denominator of which is the Index number for the last reporting period before (i) the Effective Date (with respect to the first adjustment of Access Fee) or (ii) the immediately preceding Adjustment Date (with respect to each subsequent adjustment), whichever is applicable. If the product is greater than the Access Fee in effect the day before the then current Adjustment Date, the Off-Port Parking User must pay the greater amount until the next Adjustment Date. Access Fee as calculated in this Tariff Item must never be less than the amount of the initial Access Fee set forth above. The Galveston Wharves will provide all Off-Port Parking Users to whom the Access Fee applies with notice of each adjustment to Access Fee and the calculation of the adjustment no later than 30 days prior to each Adjustment Date.

Note E.

Parking Fees - Those Charter Bus Owners and Operators, as defined herein, in operation and accessing the Texas Cruise Ship Terminal on Galveston Island®, or the Texas Cruise Ship Terminal at Pier 27, collectively the Cruise Ship Terminal Complex, as of ~~July 1, 2014~~ ~~December 17, 2007~~ shall, in lieu of the payment of Initial Application and Renewal Fees for Port Use Permits, Decal Fees and/or the Access/ Trip fee, be subject to a Parking Fee equal to the amount of \$60.00 per each use of any bus parking space located

in the Cruise Ship Terminal Complex. Charter Bus Operators must provide sufficient advance notification to the Port, Attention of the Director of Administration, in advance of arrival at the Port to allow for review of the existence and sufficiency of the required insurance. Additionally, payment shall be made by check on arrival at the Cruise Ship Terminal Complex, unless prior acceptable payment arrangements have been made in advance with the Port.

Item No. 111 continued on the next page.

54th Revised Page 3-H

ISSUED: ~~MAY 19, 2014~~ ~~DECEMBER 17, 2007~~

EFFECTIVE: JULY 1,

~~2014~~ ~~DECEMBER 17, 2007~~

SECTION 100 – GENERAL INFORMATION, RULES AND REGULATIONS

APPLICATION

ITEM

Payment of Fees:

Payment of fees for initial application for Port Use Permit and for renewal of Port Use Permits is due upon submission of the completed application for such permit in person, e-mail or by mail at the Administrative Offices of the Port of Galveston. Extension of Credit, Issuance of invoices for payment of fees and payment of all fees other than application fees due to the Galveston Wharves will be made in accordance with the provisions of Section 100 of Tariff Circular No. 6, Items No. 192, 194, 196 and 198. Decals will be issued to the person at the time the application is delivered to the Port or mailed to Port Use Permit applicants, at the mailing address noted on the application, upon approval of the Port Use Permit application by the Galveston Wharves.

Suspension or Revocation of Port Use Permits will be in accordance with the terms of Item #112 of Tariff Circular No. 6, as it may be amended from time to time.

Definitions:

(1) **ACCESS** means to enter upon premises owned, operated or controlled by the Board of Trustees of the Galveston Wharves.

(2) **BILLABLE PARKING SPACES** means the number equal to the maximum parking capacity of the off-port parking user's lot.

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(32) **BUS** means a motor vehicle operated for commercial purposes that:
(A) has manufacturer's rated seating capacity of more than fifteen (15) passengers (including the driver); and
(B) is used for the transportation of people.

(43) **BUS SERVICE** means the business of offering or providing transportation of people for hire by bus, whether the fare is paid by individuals boarding the bus or by contract with or for a specified group or people, when:
(A) a driver or referral to a driver is furnished as part of the service; and
(B) the service is offered either as a charter bus service or a special bus service.

(54) **CHARTER BUS SERVICE** means a bus service for the transport of people belonging to a specified group that is offered only upon a prearranged basis, the prearrangement being made at least one hour in advance of the time the transportation is to begin.

(65) **COMMERCIAL BUSINESS ENTITY** means any Person, as defined in this section,

engaged in commercial, industrial or institutional operations in connection with which money or anything of value is paid, demanded or expected by passengers, customers, or other users, but does not include the federal government of the United States, the State of Texas, the City of Galveston, the Galveston Wharves or any of their departments, agencies or political subdivisions (unless they provide, as their primary function, ground transportation of passengers in exchange for fares or charges).

- (76) **COMMERCIAL PASSENGER VEHICLE** means a vehicle not otherwise defined in this Tariff while it is used, or offered (orally or in a writing or sign) to be used, to transport one or more people, on land, either:
- (A) In exchange for a fare, charge, or other thing of value (paid, demanded, or expected for the transportation service, in whole or in part, directly or indirectly, by the person transported or by another person, or otherwise); or

Item No. 111 continued on the next page.

4TH 3rd Revised Page 3-1

ISSUED: MAY 19, 2014 ~~DECEMBER 17, 2007~~

EFFECTIVE: JULY 1,

~~2014~~ ~~DECEMBER 17, 2007~~

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SECTION 100 - GENERAL INFORMATION, RULES AND REGULATIONS

APPLICATION

ITEM

- (B) in connection with the operations of a commercial business entity, regardless of whether a fare, charge, or other thing of value is paid, demanded or expected for the transportation service.

It shall be a presumption that a vehicle bearing the name, trade name, common name, emblem, trademark or other identification of a commercial business entity and being used to transport a passenger is a commercial passenger vehicle.

- (87) **COURTESY VEHICLE** means a commercial passenger vehicle that meets all of the following criteria at all times when it is operated on property owned, leased or controlled by the Galveston Wharves:

(A) The vehicle is owned or provided by one or more commercial business entities that: (i) arrange for the vehicle to provide transportation only incidentally to the commercial business entities' primary businesses or activities, which may, for example, be off-port car rental user, off-port parking user, lodging, air transportation, special events or medical care; (ii) provide the vehicle, by purchase or lease or by contracting with another party (which party may or may not be primarily in the business of providing ground transportation); and (iii) all sign the application for the Port Use License and/or Port Use Permit for Vehicle, as applicants or co-applicants.

(B) The vehicle is provided for the exclusive use of officers, agents, employees, customers or invitees of any of the commercial business entities.

(C) There is no fare, charge or thing of value paid, demanded or expected from the people transported, directly or indirectly, for transportation, and this is effectively communicated to the travelling public. (Example: An increase in the charge for lodging or for an event could be an indirect charge, if related to transportation.)

- (98) **GROUND TRANSPORTATION COMPANY** means any Person (other than the Galveston Wharves or any Person or entity under contract to provide transportation services for the Galveston Wharves) owning or operating the following types of vehicles as defined in this section: commercial passenger vehicle, bus, bus service, charter bus, courtesy vehicle, shuttle, limousine, taxi or taxicab service.

(109) **LIMOUSINE** means a motor vehicle operated for commercial purposes that shall not have a taximeter, which is a luxury sedan with a manufacturer's rated seating capacity of not more than fifteen (15) passengers that is used for the transportation of people.

(119) **OFF-PORT PARKING USER** means a commercial business entity which provides or arranges for one or more commercial passenger vehicles, courtesy vehicles, buses or shuttles, however owned or operated, to pick up or drop off passengers within a terminal complex of the Galveston Wharves in connection with the operations of a business of the user involving the parking of motor vehicles of any type at a facility located outside of the boundaries of property owned, operated or controlled by the Galveston Wharves.

(124) **OFF-PORT RENTAL CAR USER** means a commercial business entity which provides or arranges for one or more commercial passenger vehicles, courtesy vehicles, buses or
Item No. 111 continued on the next page.

^{2ND} 1st Revised Page 3-J

ISSUED: MAY 19, 2014 ~~DECEMBER 17, 2007~~

EFFECTIVE: JULY

~~1, 2014~~ DECEMBER 17, 2007

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SECTION 100 - GENERAL INFORMATION, RULES AND REGULATIONS

APPLICATION

ITEM

shuttles, however owned or operated, to pick up or drop off passengers within a terminal complex of the Galveston Wharves in connection with a business of the user involving the renting of motor vehicles, all under circumstances where the user does not have a contract or lease with the Galveston Wharves for the use of counter space within the terminal complex.

(132) **ON-PORT RENTAL CAR USER** means a commercial business entity which may provide or arrange for one or more commercial passenger vehicles, courtesy vehicles, buses or shuttles, however owned or operated, to pick up or drop off passengers within a terminal complex of the Galveston Wharves in connection with a business of the user involving the renting of motor vehicles, under circumstances where the user has a contract or lease with the Galveston Wharves for counter space, kiosk or other location within the terminal complex.

(143) **OPERATE** means to drive or to be in control of a taxicab, limousine, bus, courtesy vehicle, shuttle or commercial passenger vehicle.

(154) **OWNER** means the person to whom state license plates for a vehicle were issued.

(165) **OPERATING AUTHORITY** means written permission or licensing granted on an annual basis by the Port Director under this section.

(176) **OPERATOR** means the owner of a taxicab, limousine, bus, courtesy vehicle, shuttle or commercial passenger vehicle; or the holder of a taxicab, limousine, bus, courtesy vehicle or shuttle operating authority.

(47) (18) **PERSON** means any natural person or any entity, whether organized for profit or not, that is a corporation, limited or general partnership, limited liability company, sole proprietorship, real estate investment trust, joint venture, joint stock company, cooperative, association, bank, trust, insurance company or other legal entity or combination organized pursuant to or recognized under the laws of Texas or any other state or country.

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(198) **PORT USE PERMIT** means a valid (not suspended or revoked) and unexpired permit issued by the Port Director pursuant to this Tariff item. A Port Use permit contains terms and conditions as described herein, or as may be amended from time to time. A Port Use Permit grants privileges (e.g., using Galveston Wharves property for commercial purposes, supplying

services at the Galveston Wharves (Port of Galveston) for which fees are imposed. Both Port Use Permits and the more specialized contracts or leases mentioned in this Tariff are types of contracts.

(2049) **SHUTTLE** means a van-type motor vehicle operated for commercial purposes that does not have a taximeter, that has a manufacturer's rated seating capacity of not less than eight (8) passengers and not more than twenty (20) passengers and is used for the transportation of people.

Comment [P56]: Changed to be consistent with the "less-than-15," "more-than-15" convention.

(219) **TAXI OR TAXICAB** means a chauffeured motor vehicle, but not including limousines, that is equipped with a taximeter, and that has a typical rated passenger capacity of eight (8) passengers or less, used for the transportation of passengers for hire over the public streets of the city that typically operates on irregular routes, irregular schedules, and a call and demand

Item No. 111 continued on the next page.

2ND 1st Revised Page 3-K

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ISSUED: MAY 19, 2014 DECEMBER 17, 2007

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1, 2014 DECEMBER 17, 2007

SECTION 100 - GENERAL INFORMATION, RULES AND REGULATIONS

APPLICATION

ITEM

basis, and irrespective of whether or not the operations extend beyond the city limits, at rates for distance traveled, or for waiting time, or for both, or at rates per hour, per day, per week, or per month and such vehicle is routed under the direction of the passenger hiring the same.

Special Note: Taxi or Taxicab with seating capacity of greater than eight (8) passengers will be assessed a trip charge as indicated in "Note C" of this Tariff Item.

Comment [P57]: Recommending deletion since the provision has never been enforced and enforcing it would serve as a disincentive to taxi operators whom the Port is trying to attract.

(224) **TAXICAB, LIMOUSINE, BUS OR SHUTTLE SERVICE** means a passenger transportation service operated for hire that uses any one or more of the following vehicle types: taxicabs, limousines, buses, or shuttles in the operation of the service and includes (but is not limited to) a facility from which the service is operated; taxicabs, limousines, buses, or shuttles used in the operation; and a person who owns, controls, or operates the service.

(232) **TAXIMETER** means a device that mechanically or electronically computes a fare based upon the distance traveled, the time the taxicab is engaged, and any other basis for charges which are specified in the operating authority or rate ordinance pertaining to the holder.

(243) **CRUISE SHIP TERMINAL COMPLEX** means that area within the boundaries of property owned, leased or controlled by the Galveston Wharves located within 400 feet of a passenger terminal building (or any part thereof). The Cruise Ship Terminal Complex is also known and referred to as the Texas Cruise Ship Terminal on Galveston Island® or the Texas Cruise Ship Terminal at Pier 27. The Port Director may promulgate a map or other description of a terminal complex, and it shall be a presumption that the boundaries of the terminal complex are as so promulgated by the Port Director.

Comment [P58]: The tariff refers in several places to "Texas Cruise Ship Terminal on Galveston Island®" or the Texas Cruise Ship Terminal at Pier 27, collectively the Cruise Ship Terminal Complex so the definitions section should match the substantive portion of the tariff.

**BOARD OF TRUSTEES
OF THE GALVESTON WHARVES
Tariff Circular No. 6**

11th Revised Page 3-C

ISSUED: NOVEMBER 21, 2013

EFFECTIVE: NOVEMBER 21, 2013

SECTION 100 - GENERAL INFORMATION, RULES AND REGULATIONS

APPLICATION	ITEM
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The request for renewal may be granted or denied, or granted with such limitations and restrictions deemed appropriate by the Board of Trustees of the Galveston Wharves. If such request for renewal and responsive information, along with the annual license fee, is not received by the deadline described above, the license will expire at midnight, December 31st. In the event of expiration or termination of a stevedore license, the Board of Trustees may, as deemed appropriate, notify all known customers of the stevedore and other users of the Port of Galveston of the respective stevedore license expiration or termination.

A licensee wishing to reinstate its Stevedore License after expiration or termination must submit a new application in its entirety, accompanied by the respective application processing fee, unless the Board of Trustees of the Galveston Wharves, in its discretion, waives this requirement.

Non-Transferability of License

No license shall be transferred or assigned to or otherwise used by any person other than the named licensee without the prior written approval of the Galveston Wharves. Any person, firm, corporation or other business entity properly acquiring all or substantially all of the stevedoring business assets from a licensee hereunder may qualify for a license by conforming to the Stevedore License Application requirements of this Tariff item.

OTHER LICENSES AND PERMITS

(C)(A)(I) 111

Port and Cruise Terminal Use and Parking Permits and Fees

Applications for Port Use Permits are to be submitted to the Galveston Wharves using Application Forms, which are available at the Offices of the Galveston Wharves. An initial application fee and annual renewal fee are required for the following categories of business conducting activities on or in connection with the property of the Galveston Wharves:

1. Commercial Business Entities not operating under a Lease Agreement, Berthing Agreement, Operating Agreement, Operating or Terminal Services Agreement or Concession Agreement with the Galveston Wharves or the Galveston Port Facilities Corporation
Initial Application Fee: \$300.00 Annual Renewal Fee: \$75.00
2. Commercial Passenger Vehicle Service with more than two (2) vehicles providing access for people to the Galveston Wharves and the Cruise Ship Terminal Complex. (Not operated or controlled by or under contract for transportation services with the Galveston Wharves) (Notes A, C, D & E)
Initial Application Fee: \$300.00 Annual Renewal Fee: \$75.00
3. Commercial Passenger Vehicle Services with two (2) or fewer vehicles providing access for people to the Galveston Wharves and the Cruise Ship Terminal Complex. (Not operated or controlled by or under contract for transportation services with the Galveston Wharves) (Notes A, C, D & E)
Initial Application Fee: \$120.00 Annual Renewal Fee: \$50.00

Item No. 111 continued on the next page.

BOARD OF TRUSTEES
OF THE GALVESTON WHARVES
Tariff Circular No. 6

7th Revised Page 3-D

ISSUED: NOVEMBER 21, 2013

EFFECTIVE: NOVEMBER 21, 2013

SECTION 100 - GENERAL INFORMATION, RULES AND REGULATIONS

APPLICATION	ITEM
4. Mobile Food and/or Merchandise Vendors Initial Application Fee: \$120.00 Annual Renewal Fee: \$50.00	
5. Common Carriers by Water of Passengers (Water Taxi Service) Initial Application Fee: \$300.00 Annual Renewal Fee: \$75.00	
6. Organizations performing Oil Waste, Bilge Water and Gray Water Removal Service Initial Application Fee: \$300.00 Annual Renewal Fee: \$75.00	
7. Organizations performing Sanitary and Solid Waste Removal Services Initial Application Fee: \$300.00 Annual Renewal Fee: \$75.00	
8. Organizations performing the Services of Line Handling for Vessels. Initial Application Fee: \$300.00 Annual Renewal Fee: \$75.00	
9. Persons Operating Pneumatic Trucks Handling Plastic Polymer Pellets Initial Application Fee: \$300.00 Annual Renewal Fee: \$75.00	

In addition to the application and Port Use Permit fee, all applications must be accompanied by a Certificate of Insurance showing proof of insurance, not less than that required in Item 600 of this Tariff, and meeting all other requirements found in Item 600 of this Tariff, except as noted in "Note B", below. The Insured party must be the same name as the Applicant and the Taxpayer Identification registered with the Texas Secretary of State and the Texas Comptroller of Public Accounts for the named business entity. The City of Galveston and the Board of Trustees of the Galveston Wharves must also be named as "Additional Insureds" with Waiver of Subrogation.

Port Use Permits are to be issued for a period of one (1) year beginning January 1st and ending December 31st. New businesses requiring Port Use Permits within three months of the above expiration date will be issued such permits to extend the following year,

Note A. A separate Port Use Permit must be obtained for each of the business categories, named above, in which any business entity is engaged.

Note B. The following insurance requirements defined in the City of Galveston Ordinances, as may be amended from time to time, which are applicable to Commercial Vehicles for Hire, are incorporated into this Tariff Circular and apply to the respective types of vehicles referenced in the ordinance section heading (See also: www.cityofgalveston.org). The Port reserves the right to modify certain liability and other insurance requirements as deemed necessary based on a review of the applicant and type of business. License holders and Port Use Permit holders shall, in addition to the notice-to-the-City requirement in the City Ordinance, notify the Port in all instances in which the Ordinance requires notice to the City.

Sec. 35-54. Insurance-taxicabs.

Every holder of a license to operate a taxicab service pursuant to the provisions of this chapter shall maintain in full force and effect at all times a policy or policies of automobile liability and property damage insurance, with an insurance

Item No. 111 continued on the next page.

BOARD OF TRUSTEES
OF THE GALVESTON WHARVES
Tariff Circular No. 6

5TH Revised Page 3-E

ISSUED: NOVEMBER 21, 2013

EFFECTIVE: NOVEMBER 21, 2013

SECTION 100 - GENERAL INFORMATION, RULES AND REGULATIONS

APPLICATION	ITEM
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company or companies authorized to do business in Texas, covering each vehicle so used, in an amount not less than the minimum coverage required by state law. No taxicab permit shall be issued or renewed unless the applicant has obtained for the vehicle involved an automobile liability insurance policy with an insurance company or companies authorized to do business in Texas with minimum limits as prescribed pursuant to state law. The applicant prior to issuance or renewal of the permit shall furnish satisfactory proof of such coverage. Said policy shall contain a clause requiring thirty (30) days notice be given to the city prior to cancellation. If such notice of cancellation is given by the insurance company, the licensee shall obtain new insurance before meeting the requirements of this section prior to the expiration of the 30-day period; if the license fails to do so his permit shall be immediately revoked.
(Ord. No. 02-058, § 3, 6-27-02)

Sec. 35-55. Insurance-limousines.

Every holder of a license to operate a limousine service pursuant to the provisions of this chapter shall maintain in full force and effect at all times a policy or policies of automobile liability and property damage insurance with an insurance company or companies authorized to do business in Texas, covering each vehicle so used, in an amount not less than five hundred thousand dollars (\$500,000.00) combined single limits. No limousine permit shall be issued or renewed unless the applicant has obtained for the vehicle involved an automobile liability insurance policy with an insurance company or companies authorized to do business in Texas with the required coverage. An applicant prior to the issuance or renewal of annual permit shall furnish satisfactory proof of such coverage. The holder shall furnish proof of such coverage by filing with the director a valid certificate of insurance, or in lieu thereof a true multiple original of any such policy. The policy shall contain a clause requiring thirty (30) days' notice be given to the city prior to cancellation. If the insurance company gives such notice of cancellation, the holder shall obtain new insurance before the expiration of the 30-day period; if the holder fails to do so his permit shall be immediately revoked.

(Ord. No. 02-058, § 3, 6-27-02)

Sec. 35-56. Insurance-buses and shuttles.

Every holder of a license to operate a bus or shuttle vehicle service pursuant to the provisions of this chapter shall maintain in full force and effect at all times a policy or policies of automobile liability and property damage insurance with an insurance company or companies authorized to do business in Texas, covering each vehicle so used, in an amount not less than five hundred thousand dollars

Item No. 111 continued on the next page.

BOARD OF TRUSTEES
OF THE GALVESTON WHARVES
Tariff Circular No. 6

7th Revised Page 3-F

ISSUED: MAY 19, 2014

EFFECTIVE: JULY 1, 2014

SECTION 100 - GENERAL INFORMATION, RULES AND REGULATIONS

APPLICATION	ITEM
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(\$500,000.00) combined single limits. No bus or shuttle vehicle permit shall be issued or renewed unless the applicant has obtained for the vehicle involved an automobile liability insurance policy with an insurance company or companies authorized to do business in Texas with the required coverage. An applicant prior to the issuance or renewal of annual permit shall furnish satisfactory proof of such coverage. The holder shall furnish proof of such coverage by filing with the director a valid certificate of insurance, or in lieu thereof a true multiple original of any such policy. The policy shall contain a clause requiring thirty (30) days' notice be given to the city prior to cancellation. If the insurance company gives such notice of cancellation, the holder shall obtain new insurance before the expiration of the 30-day period; if the holder fails to do so his permit shall be immediately revoked.

(Ord. No. 02-058, § 3, 6-27-02)

Note C. In addition to the annual Port Use Permit fee, ground transportation companies, as defined herein, accessing Cruise Terminal 1/ Texas Cruise Ship Terminal on Galveston Island®, or Cruise Terminal 2 / Texas Cruise Ship Terminal at Pier 27, collectively the Cruise Ship Terminal Complex, shall be subject to the following decal and/or access fees for each vehicle that shall have such access:

Type of Vehicle and Vehicle
Seating Capacity:

Decal and Access Charge:

Charter Bus Owners and Operators
(** As noted in Notes D & E, below)

\$60.00 Parking Fee

Commercial Passenger Vehicle, Courtesy
Vehicle, Shuttle or Limousine with
Seating Capacity of fifteen (15) persons or more
(**Except as noted in Notes D & E, below)

\$25.00 per decal per vehicle annually and
\$30.00 per Access / Trip

Commercial Passenger Vehicle, Courtesy
Vehicle, Shuttle or Limousine with
Seating Capacity of less than fifteen
(15) persons
(**Except as noted in Notes D & E, below)

\$15.00 per decal per vehicle annually and
\$20.00 per Access/Trip

Taxicabs with City of Galveston permit

\$7.50 per decal per vehicle, annually

Note D. Those **Off-Port Parking Users**, as defined herein, in operation and accessing the Texas Cruise Ship Terminal on Galveston Island®, or the Texas Cruise Ship Terminal at Pier 27, collectively the Cruise Ship Terminal Complex, shall, in lieu of the Access/ Trip fee, be subject to a monthly Access Fee equal to the amount of \$28.88 per parking space located in the Off-Port Parking User's parking facility, with number of billable parking spaces to be confirmed

Item No. 111 continued on the next page.

BOARD OF TRUSTEES
OF THE GALVESTON WHARVES
Tariff Circular No. 6

7th Revised Page 3-G

ISSUED: MAY 19, 2014

EFFECTIVE: JULY 1, 2014

SECTION 100 – GENERAL INFORMATION, RULES AND REGULATIONS

APPLICATION

ITEM

Note D. periodically by the Galveston Wharves. The Access Fee will be effective on and after July 1, 2014 and will be subject to periodic adjustment by the Board of Trustees of the Galveston Wharves. In addition, Off-Port Parking Users shall pay a decal fee of \$15.00 per decal per shuttle annually. The Galveston Wharves will provide all Off-Port Parking Users to whom the Access Fee applies with notice of each adjustment to the Access Fee and the calculation of the adjustment no later than 30 days prior to the date of any effective increase.

Note E. **Parking Fees** - Those **Charter Bus Owners and Operators**, as defined herein, in operation and accessing the Texas Cruise Ship Terminal on Galveston Island®, or the Texas Cruise Ship Terminal at Pier 27, collectively the Cruise Ship Terminal Complex, as of July 1, 2014 shall, in lieu of the payment of Initial Application and Renewal Fees for Port Use Permits, Decal Fees and/or the Access/ Trip fee, be subject to a Parking Fee equal to the amount of \$60.00 per each use of any bus parking space located in the Cruise Ship Terminal Complex. Charter Bus Operators must provide sufficient advance notification to the Port, Attention of the Director of Administration, in advance of arrival at the Port to allow for review of the existence and sufficiency of the required insurance. Additionally, payment shall be made by check on arrival at the Cruise Ship Terminal Complex, unless prior acceptable payment arrangements have been made in advance with the Port.

Payment of Fees:

Payment of fees for initial application for Port Use Permit and for renewal of Port Use Permits is due upon submission of the completed application for such permit in person, e-mail or by mail at the Administrative Offices of the Port of Galveston. Extension of Credit, issuance of invoices for payment of fees and payment of all fees other than application fees due to the Galveston Wharves will be made in accordance with the provisions of Section 100 of Tariff Circular No. 6, Items No. 192, 194, 196 and 198. Decals will be issued to the person at the time the application is delivered to the Port or mailed to Port Use Permit applicants, at the mailing address noted on the application, upon approval of the Port Use Permit application by the Galveston Wharves.

Suspension or Revocation of Port Use Permits will be in accordance with the terms of Item #112 of Tariff Circular No. 6, as it may be amended from time to time.

Definitions:

- (1) **ACCESS** means to enter upon premises owned, operated or controlled by the Board of Trustees of the Galveston Wharves.
- (2) **BILLABLE PARKING SPACES** means the number equal to the maximum parking capacity of the off-port parking user's lot.

Item No. 111 continued on the next page.

BOARD OF TRUSTEES
OF THE GALVESTON WHARVES
Tariff Circular No. 6

6th Revised Page 3-H

ISSUED: MAY 19, 2014

EFFECTIVE: JULY 1, 2014

SECTION 100 -- GENERAL INFORMATION, RULES AND REGULATIONS

APPLICATION

ITEM

- (3) **BUS** means a motor vehicle operated for commercial purposes that:
(A) has manufacturer's rated seating capacity of more than fifteen (15) passengers (including the driver); and
(B) is used for the transportation of people.
- (4) **BUS SERVICE** means the business of offering or providing transportation of people for hire by bus, whether the fare is paid by individuals boarding the bus or by contract with or for a specified group or people, when:
(A) a driver or referral to a driver is furnished as part of the service; and
(B) the service is offered either as a charter bus service or a special bus service.
- (5) **CHARTER BUS SERVICE** means a bus service for the transport of people belonging to a specified group that is offered only upon a prearranged basis, the prearrangement being made at least one hour in advance of the time the transportation is to begin.
- (6) **COMMERCIAL BUSINESS ENTITY** means any Person, as defined in this section, engaged in commercial, industrial or institutional operations in connection with which money or anything of value is paid, demanded or expected by passengers, customers, or other users, but does not include the federal government of the United States, the State of Texas, the City of Galveston, the Galveston Wharves or any of their departments, agencies or political subdivisions (unless they provide, as their primary function, ground transportation of passengers in exchange for fares or charges).
- (7) **COMMERCIAL PASSENGER VEHICLE** means a vehicle not otherwise defined in this Tariff while it is used, or offered (orally or in a writing or sign) to be used, to transport one or more people, on land, either:
(A) in exchange for a fare, charge, or other thing of value (paid, demanded, or expected for the transportation service, in whole or in part, directly or indirectly, by the person transported or by another person, or otherwise); or
(B) in connection with the operations of a commercial business entity, regardless of whether a fare, charge, or other thing of value is paid, demanded or expected for the transportation service.
- It shall be a presumption that a vehicle bearing the name, trade name, common name, emblem, trademark or other identification of a commercial business entity and being used to transport a passenger is a commercial passenger vehicle.
- (8) **COURTESY VEHICLE** means a commercial passenger vehicle that meets all of the following criteria at all times when it is operated on property owned, leased or controlled by the Galveston Wharves:
(A) The vehicle is owned or provided by one or more commercial business entities that:
(i) arrange for the vehicle to provide transportation only incidentally to the commercial business entities' primary businesses or activities, which may, for example, be off-port car rental user, off-port parking user, lodging, air transportation, special

Item No. 111 continued on the next page.

BOARD OF TRUSTEES
OF THE GALVESTON WHARVES
Tariff Circular No. 6

5th Revised Page 3-I

ISSUED: MAY 19, 2014

EFFECTIVE: JULY 1, 2014

SECTION 100 - GENERAL INFORMATION, RULES AND REGULATIONS

APPLICATION	ITEM
events or medical care; (ii) provide the vehicle, by purchase or lease or by contracting with another party (which party may or may not be primarily in the business of providing ground transportation); and (iii) all sign the application for the Port Use License and/or Port Use Permit for Vehicle, as applicants or co-applicants.	
(B) The vehicle is provided for the exclusive use of officers, agents, employees, customers or invitees of any of the commercial business entities.	
(C) There is no fare, charge or thing of value paid, demanded or expected from the people transported, directly or indirectly, for transportation, and this is effectively communicated to the traveling public. (Example: An increase in the charge for lodging or for an event could be an indirect charge, if related to transportation.)	
(9) GROUND TRANSPORTATION COMPANY means any Person (other than the Galveston Wharves or any Person or entity under contract to provide transportation services for the Galveston Wharves) owning or operating the following types of vehicles as defined in this section: commercial passenger vehicle, bus, bus service, charter bus, courtesy vehicle, shuttle, limousine, taxi or taxicab service.	
(10) LIMOUSINE means a motor vehicle operated for commercial purposes that shall not have a taximeter, which is a luxury sedan with a manufacturer's rated seating capacity of not more than fifteen (15) passengers that is used for the transportation of people.	
(11) OFF-PORT PARKING USER means a commercial business entity which provides or arranges for one or more commercial passenger vehicles, courtesy vehicles, buses or shuttles, however owned or operated, to pick up or drop off passengers within a terminal complex of the Galveston Wharves in connection with the operations of a business of the user involving the parking of motor vehicles of any type at a facility located outside of the boundaries of property owned, operated or controlled by the Galveston Wharves.	
(12) OFF-PORT RENTAL CAR USER means a commercial business entity which provides or arranges for one or more commercial passenger vehicles, courtesy vehicles, buses or shuttles, however owned or operated, to pick up or drop off passengers within a terminal complex of the Galveston Wharves in connection with a business of the user involving the renting of motor vehicles, all under circumstances where the user does not have a contract or lease with the Galveston Wharves for the use of counter space within the terminal complex.	
(13) ON-PORT RENTAL CAR USER means a commercial business entity which may provide or arrange for one or more commercial passenger vehicles, courtesy vehicles, buses or shuttles, however owned or operated, to pick up or drop off passengers within a terminal complex of the Galveston Wharves in connection with a business of the user involving the renting of motor vehicles, under circumstances where the user has a contract or lease with the Galveston Wharves for counter space, kiosk or other location within the terminal complex.	
(14) OPERATE means to drive or to be in control of a taxicab, limousine, bus, courtesy vehicle, shuttle or commercial passenger vehicle.	

Item No. 111 continued on the next page.

BOARD OF TRUSTEES
OF THE GALVESTON WHARVES
Tariff Circular No. 6

3rd Revised Page 3-J

ISSUED: MAY 19, 2014

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SECTION 100 - GENERAL INFORMATION, RULES AND REGULATIONS

APPLICATION	ITEM
(15)	OWNER means the person to whom state license plates for a vehicle were issued.
(16)	OPERATING AUTHORITY means written permission or licensing granted on an annual basis by the Port Director under this section.
(17)	OPERATOR means the owner of a taxicab, limousine, bus, courtesy vehicle, shuttle or commercial passenger vehicle; or the holder of a taxicab, limousine, bus, courtesy vehicle or shuttle operating authority.
(18)	PERSON means any natural person or any entity, whether organized for profit or not, that is a corporation, limited or general partnership, limited liability company, sole proprietorship, real estate investment trust, joint venture, joint stock company, cooperative, association, bank, trust, insurance company or other legal entity or combination organized pursuant to or recognized under the laws of Texas or any other state or country.
(19)	PORT USE PERMIT means a valid (not suspended or revoked) and unexpired permit issued by the Port Director pursuant to this Tariff Item. A Port Use permit contains terms and conditions as described herein, or as may be amended from time to time. A Port Use Permit grants privileges (e.g., using Galveston Wharves property for commercial purposes, supplying services at the Galveston Wharves (Port of Galveston) for which fees are imposed. Both Port Use Permits and the more specialized contracts or leases mentioned in this Tariff are types of contracts.
(20)	SHUTTLE means a van-type motor vehicle operated for commercial purposes that does not have a taximeter, that has a manufacturer's rated seating capacity of less than fifteen (15) passengers and is used for the transportation of people.
(21)	TAXI OR TAXICAB means a chauffeured motor vehicle, but not including limousines, that is equipped with a taximeter, and that has a typical rated passenger capacity of eight (8) passengers or less, used for the transportation of passengers for hire over the public streets of the city that typically operates on irregular routes, irregular schedules, and a call and demand basis, and irrespective of whether or not the operations extend beyond the city limits, at rates for distance traveled, or for waiting time, or for both, or at rates per hour, per day, per week, or per month and such vehicle is routed under the direction of the passenger hiring the same.
(22)	TAXICAB, LIMOUSINE, BUS OR SHUTTLE SERVICE means a passenger transportation service operated for hire that uses any one or more of the following vehicle types: taxicabs, limousines, buses, or shuttles in the operation of the service and includes (but is not limited to) a facility from which the service is operated; taxicabs, limousines, buses, or shuttles used in the operation; and a person who owns, controls, or operates the service.
(23)	TAXIMETER means a device that mechanically or electronically computes a fare based upon the distance traveled, the time the taxicab is engaged, and any other basis for charges which are specified in the operating authority or rate ordinance pertaining to the holder.

Item No. 111 continued on the next page.

BOARD OF TRUSTEES
OF THE GALVESTON WHARVES
Tariff Circular No. 6

3rd Revised Page 3-K

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SECTION 100 - GENERAL INFORMATION, RULES AND REGULATIONS

APPLICATION

ITEM

(243) **CRUISE SHIP TERMINAL COMPLEX** means that area within the boundaries of property owned, leased or controlled by the Galveston Wharves located within 400 feet of a passenger terminal building (or any part thereof). The Cruise Ship Terminal Complex is also known and referred to as the Texas Cruise Ship Terminal on Galveston Island® or the Texas Cruise Ship Terminal at Pier 27. The Port Director may promulgate a map or other description of a terminal complex, and it shall be a presumption that the boundaries of the terminal complex are as so promulgated by the Port Director.

BOARD OF TRUSTEES
OF THE GALVESTON WHARVES
Tariff Circular No. 6

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OFFICE OF THE SECRETARY
FEDERAL MARITIME COMMISSION

11th Revised Page 3-C

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SECTION 100 - GENERAL INFORMATION, RULES AND REGULATIONS

APPLICATION	ITEM
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The request for renewal may be granted or denied, or granted with such limitations and restrictions deemed appropriate by the Board of Trustees of the Galveston Wharves. If such request for renewal and responsive information, along with the annual license fee, is not received by the deadline described above, the license will expire at midnight, December 31st. In the event of expiration or termination of a stevedore license, the Board of Trustees may, as deemed appropriate, notify all known customers of the stevedore and other users of the Port of Galveston of the respective stevedore license expiration or termination.

A licensee wishing to reinstate its Stevedore License after expiration or termination must submit a new application in its entirety, accompanied by the respective application processing fee, unless the Board of Trustees of the Galveston Wharves, in its discretion, waives this requirement.

Non-Transferability of License

No license shall be transferred or assigned to or otherwise used by any person other than the named licensee without the prior written approval of the Galveston Wharves. Any person, firm, corporation or other business entity properly acquiring all or substantially all of the stevedoring business assets from a licensee hereunder may qualify for a license by conforming to the Stevedore License Application requirements of this Tariff item.

OTHER LICENSES AND PERMITS

(C)(A)(I) 111

Port and Cruise Terminal Use and Parking Permits and Fees

Applications for Port Use Permits are to be submitted to the Galveston Wharves using Application Forms, which are available at the Offices of the Galveston Wharves. An initial application fee and annual renewal fee are required for the following categories of business conducting activities on or in connection with the property of the Galveston Wharves:

1. Commercial Business Entities not operating under a Lease Agreement, Berthing Agreement, Operating Agreement, Operating or Terminal Services Agreement or Concession Agreement with the Galveston Wharves or the Galveston Port Facilities Corporation
Initial Application Fee: \$300.00 Annual Renewal Fee: \$75.00
2. Commercial Passenger Vehicle Service with more than two (2) vehicles providing access for people to the Galveston Wharves and the Cruise Ship Terminal Complex. (Not operated or controlled by or under contract for transportation services with the Galveston Wharves) (Notes A, C, D & E)
Initial Application Fee: \$300.00 Annual Renewal Fee: \$75.00
3. Commercial Passenger Vehicle Services with two (2) or fewer vehicles providing access for people to the Galveston Wharves and the Cruise Ship Terminal Complex. (Not operated or controlled by or under contract for transportation services with the Galveston Wharves) (Notes A, C, D & E)
Initial Application Fee: \$120.00 Annual Renewal Fee: \$50.00

Item No. 111 continued on the next page.

Exhibit H

BOARD OF TRUSTEES
OF THE GALVESTON WHARVES
Tariff Circular No. 6

7th Revised Page 3-D

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SECTION 100 - GENERAL INFORMATION, RULES AND REGULATIONS

APPLICATION	ITEM
4. Mobile Food and/or Merchandise Vendors Initial Application Fee: \$120.00 Annual Renewal Fee: \$50.00	
5. Common Carriers by Water of Passengers (Water Taxi Service) Initial Application Fee: \$300.00 Annual Renewal Fee: \$75.00	
6. Organizations performing Oil Waste, Bilge Water and Gray Water Removal Service Initial Application Fee: \$300.00 Annual Renewal Fee: \$75.00	
7. Organizations performing Sanitary and Solid Waste Removal Services Initial Application Fee: \$300.00 Annual Renewal Fee: \$75.00	
8. Organizations performing the Services of Line Handling for Vessels. Initial Application Fee: \$300.00 Annual Renewal Fee: \$75.00	
9. Persons Operating Pneumatic Trucks Handling Plastic Polymer Pellets Initial Application Fee: \$300.00 Annual Renewal Fee: \$75.00	

In addition to the application and Port Use Permit fee, all applications must be accompanied by a Certificate of Insurance showing proof of insurance, not less than that required in Item 600 of this Tariff, and meeting all other requirements found in Item 600 of this Tariff, except as noted in "Note B", below. The Insured party must be the same name as the Applicant and the Taxpayer Identification registered with the Texas Secretary of State and the Texas Comptroller of Public Accounts for the named business entity. The City of Galveston and the Board of Trustees of the Galveston Wharves must also be named as "Additional Insureds" with Waiver of Subrogation.

Port Use Permits are to be issued for a period of one (1) year beginning January 1st and ending December 31st. New businesses requiring Port Use Permits within three months of the above expiration date will be issued such permits to extend the following year,

Note A. A separate Port Use Permit must be obtained for each of the business categories, named above, in which any business entity is engaged.

Note B. The following insurance requirements defined in the City of Galveston Ordinances, as may be amended from time to time, which are applicable to Commercial Vehicles for Hire, are incorporated into this Tariff Circular and apply to the respective types of vehicles referenced in the ordinance section heading (See also: www.cityofgalveston.org). The Port reserves the right to modify certain liability and other insurance requirements as deemed necessary based on a review of the applicant and type of business. License holders and Port Use Permit holders shall, in addition to the notice-to-the-City requirement in the City Ordinance, notify the Port in all instances in which the Ordinance requires notice to the City.

Sec. 35-54. Insurance-taxicabs.

Every holder of a license to operate a taxicab service pursuant to the provisions of this chapter shall maintain in full force and effect at all times a policy or policies of automobile liability and property damage insurance, with an insurance

Item No. 111 continued on the next page.

BOARD OF TRUSTEES
OF THE GALVESTON WHARVES
Tariff Circular No. 6

5TH Revised Page 3-E

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EFFECTIVE: NOVEMBER 21, 2013

SECTION 100 - GENERAL INFORMATION, RULES AND REGULATIONS

APPLICATION

ITEM

company or companies authorized to do business in Texas, covering each vehicle so used, in an amount not less than the minimum coverage required by state law. No taxicab permit shall be issued or renewed unless the applicant has obtained for the vehicle involved an automobile liability insurance policy with an insurance company or companies authorized to do business in Texas with minimum limits as prescribed pursuant to state law. The applicant prior to issuance or renewal of the permit shall furnish satisfactory proof of such coverage. Said policy shall contain a clause requiring thirty (30) days notice be given to the city prior to cancellation. If such notice of cancellation is given by the insurance company, the licensee shall obtain new insurance before meeting the requirements of this section prior to the expiration of the 30-day period; if the license fails to do so his permit shall be immediately revoked.

(Ord. No. 02-058, § 3, 6-27-02)

Sec. 35-55. Insurance-limousines.

Every holder of a license to operate a limousine service pursuant to the provisions of this chapter shall maintain in full force and effect at all times a policy or policies of automobile liability and property damage insurance with an insurance company or companies authorized to do business in Texas, covering each vehicle so used, in an amount not less than five hundred thousand dollars (\$500,000.00) combined single limits. No limousine permit shall be issued or renewed unless the applicant has obtained for the vehicle involved an automobile liability insurance policy with an insurance company or companies authorized to do business in Texas with the required coverage. An applicant prior to the issuance or renewal of annual permit shall furnish satisfactory proof of such coverage. The holder shall furnish proof of such coverage by filing with the director a valid certificate of insurance, or in lieu thereof a true multiple original of any such policy. The policy shall contain a clause requiring thirty (30) days' notice be given to the city prior to cancellation. If the insurance company gives such notice of cancellation, the holder shall obtain new insurance before the expiration of the 30-day period; if the holder fails to do so his permit shall be immediately revoked.

(Ord. No. 02-058, § 3, 6-27-02)

Sec. 35-56. Insurance-buses and shuttles.

Every holder of a license to operate a bus or shuttle vehicle service pursuant to the provisions of this chapter shall maintain in full force and effect at all times a policy or policies of automobile liability and property damage insurance with an insurance company or companies authorized to do business in Texas, covering each vehicle so used, in an amount not less than five hundred thousand dollars

Item No. 111 continued on the next page.

BOARD OF TRUSTEES
OF THE GALVESTON WHARVES
Tariff Circular No. 6

7th Revised Page 3-F

ISSUED: MAY 19, 2014

EFFECTIVE: JULY 1, 2014

SECTION 100 - GENERAL INFORMATION, RULES AND REGULATIONS

APPLICATION	ITEM
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(\$500,000.00) combined single limits. No bus or shuttle vehicle permit shall be issued or renewed unless the applicant has obtained for the vehicle involved an automobile liability insurance policy with an insurance company or companies authorized to do business in Texas with the required coverage. An applicant prior to the issuance or renewal of annual permit shall furnish satisfactory proof of such coverage. The holder shall furnish proof of such coverage by filing with the director a valid certificate of insurance, or in lieu thereof a true multiple original of any such policy. The policy shall contain a clause requiring thirty (30) days' notice be given to the city prior to cancellation. If the insurance company gives such notice of cancellation, the holder shall obtain new insurance before the expiration of the 30-day period; if the holder fails to do so his permit shall be immediately revoked.

(Ord. No. 02-058, § 3, 6-27-02)

Note C. In addition to the annual Port Use Permit fee, ground transportation companies, as defined herein, accessing Cruise Terminal 1/ Texas Cruise Ship Terminal on Galveston Island®, or Cruise Terminal 2 / Texas Cruise Ship Terminal at Pier 27, collectively the Cruise Ship Terminal Complex, shall be subject to the following decal and/or access fees for each vehicle that shall have such access:

<u>Type of Vehicle and Vehicle Seating Capacity:</u>	<u>Decal and Access Charge:</u>
Charter Bus Owners and Operators (** As noted in Notes D & E, below)	\$60.00 Parking Fee
Commercial Passenger Vehicle, Courtesy Vehicle, Shuttle or Limousine with Seating Capacity of fifteen (15) persons or more (**Except as noted in Notes D & E, below)	\$25.00 per decal per vehicle annually and \$30.00 per Access / Trip
Commercial Passenger Vehicle, Courtesy Vehicle, Shuttle or Limousine with Seating Capacity of less than fifteen (15) persons (**Except as noted in Notes D & E, below)	\$15.00 per decal per vehicle annually and \$20.00 per Access/Trip
Taxicabs with City of Galveston permit	\$7.50 per decal per vehicle, annually

Note D. Those **Off-Port Parking Users**, as defined herein, in operation and accessing the Texas Cruise Ship Terminal on Galveston Island®, or the Texas Cruise Ship Terminal at Pier 27, collectively the Cruise Ship Terminal Complex, shall, in lieu of the Access/ Trip fee, be subject to a monthly Access Fee equal to the amount of \$28.88 per parking space located in the Off-Port Parking User's parking facility, with number of billable parking spaces to be confirmed

Item No. 111 continued on the next page.

BOARD OF TRUSTEES
OF THE GALVESTON WHARVES
Tariff Circular No. 6

7th Revised Page 3-G

ISSUED: MAY 19, 2014

EFFECTIVE: JULY 1, 2014

SECTION 100 – GENERAL INFORMATION, RULES AND REGULATIONS

APPLICATION

ITEM

Note D. periodically by the Galveston Wharves. The Access Fee will be effective on and after July 1, 2014 and will be subject to periodic adjustment by the Board of Trustees of the Galveston Wharves. In addition, Off-Port Parking Users shall pay a decal fee of \$15.00 per decal per shuttle annually. The Galveston Wharves will provide all Off-Port Parking Users to whom the Access Fee applies with notice of each adjustment to the Access Fee and the calculation of the adjustment no later than 30 days prior to the date of any effective increase.

Note E. **Parking Fees - Those Charter Bus Owners and Operators**, as defined herein, in operation and accessing the Texas Cruise Ship Terminal on Galveston Island®, or the Texas Cruise Ship Terminal at Pier 27, collectively the Cruise Ship Terminal Complex, as of July 1, 2014 shall, in lieu of the payment of Initial Application and Renewal Fees for Port Use Permits, Decal Fees and/or the Access/ Trip fee, be subject to a Parking Fee equal to the amount of \$60.00 per each use of any bus parking space located in the Cruise Ship Terminal Complex. Charter Bus Operators must provide sufficient advance notification to the Port, Attention of the Director of Administration, in advance of arrival at the Port to allow for review of the existence and sufficiency of the required insurance. Additionally, payment shall be made by check on arrival at the Cruise Ship Terminal Complex, unless prior acceptable payment arrangements have been made in advance with the Port.

Payment of Fees:

Payment of fees for initial application for Port Use Permit and for renewal of Port Use Permits is due upon submission of the completed application for such permit in person, e-mail or by mail at the Administrative Offices of the Port of Galveston. Extension of Credit, issuance of invoices for payment of fees and payment of all fees other than application fees due to the Galveston Wharves will be made in accordance with the provisions of Section 100 of Tariff Circular No. 6, Items No. 192, 194, 196 and 198. Decals will be issued to the person at the time the application is delivered to the Port or mailed to Port Use Permit applicants, at the mailing address noted on the application, upon approval of the Port Use Permit application by the Galveston Wharves.

Suspension or Revocation of Port Use Permits will be in accordance with the terms of Item #112 of Tariff Circular No. 6, as it may be amended from time to time.

Definitions:

(1) **ACCESS** means to enter upon premises owned, operated or controlled by the Board of Trustees of the Galveston Wharves.

(2) **BILLABLE PARKING SPACES** means the number equal to the maximum parking capacity of the off-port parking user's lot.

Item No. 111 continued on the next page.

BOARD OF TRUSTEES
OF THE GALVESTON WHARVES
Tariff Circular No. 6

6th Revised Page 3-H

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SECTION 100 – GENERAL INFORMATION, RULES AND REGULATIONS

APPLICATION

ITEM

- (3) **BUS** means a motor vehicle operated for commercial purposes that:
(A) has manufacturer's rated seating capacity of more than fifteen (15) passengers (including the driver); and
(B) is used for the transportation of people.
- (4) **BUS SERVICE** means the business of offering or providing transportation of people for hire by bus, whether the fare is paid by individuals boarding the bus or by contract with or for a specified group or people, when:
(A) a driver or referral to a driver is furnished as part of the service; and
(B) the service is offered either as a charter bus service or a special bus service.
- (5) **CHARTER BUS SERVICE** means a bus service for the transport of people belonging to a specified group that is offered only upon a prearranged basis, the prearrangement being made at least one hour in advance of the time the transportation is to begin.
- (6) **COMMERCIAL BUSINESS ENTITY** means any Person, as defined in this section, engaged in commercial, industrial or institutional operations in connection with which money or anything of value is paid, demanded or expected by passengers, customers, or other users, but does not include the federal government of the United States, the State of Texas, the City of Galveston, the Galveston Wharves or any of their departments, agencies or political subdivisions (unless they provide, as their primary function, ground transportation of passengers in exchange for fares or charges).
- (7) **COMMERCIAL PASSENGER VEHICLE** means a vehicle not otherwise defined in this Tariff while it is used, or offered (orally or in a writing or sign) to be used, to transport one or more people, on land, either:
(A) in exchange for a fare, charge, or other thing of value (paid, demanded, or expected for the transportation service, in whole or in part, directly or indirectly, by the person transported or by another person, or otherwise); or
(B) in connection with the operations of a commercial business entity, regardless of whether a fare, charge, or other thing of value is paid, demanded or expected for the transportation service.
- It shall be a presumption that a vehicle bearing the name, trade name, common name, emblem, trademark or other identification of a commercial business entity and being used to transport a passenger is a commercial passenger vehicle.
- (8) **COURTESY VEHICLE** means a commercial passenger vehicle that meets all of the following criteria at all times when it is operated on property owned, leased or controlled by the Galveston Wharves:
(A) The vehicle is owned or provided by one or more commercial business entities that:
(i) arrange for the vehicle to provide transportation only incidentally to the commercial business entities' primary businesses or activities, which may, for example, be off-port car rental user, off-port parking user, lodging, air transportation, special

Item No. 111 continued on the next page.

BOARD OF TRUSTEES
OF THE GALVESTON WHARVES
Tariff Circular No. 6

5th Revised Page 3-1

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SECTION 100 - GENERAL INFORMATION, RULES AND REGULATIONS

APPLICATION	ITEM
	events or medical care; (ii) provide the vehicle, by purchase or lease or by contracting with another party (which party may or may not be primarily in the business of providing ground transportation); and (iii) all sign the application for the Port Use License and/or Port Use Permit for Vehicle, as applicants or co-applicants.
	(B) The vehicle is provided for the exclusive use of officers, agents, employees, customers or invitees of any of the commercial business entities.
	(C) There is no fare, charge or thing of value paid, demanded or expected from the people transported, directly or indirectly, for transportation, and this is effectively communicated to the traveling public. (Example: An increase in the charge for lodging or for an event could be an indirect charge, if related to transportation.)
(9)	GROUND TRANSPORTATION COMPANY means any Person (other than the Galveston Wharves or any Person or entity under contract to provide transportation services for the Galveston Wharves) owning or operating the following types of vehicles as defined in this section: commercial passenger vehicle, bus, bus service, charter bus, courtesy vehicle, shuttle, limousine, taxi or taxicab service.
(10)	LIMOUSINE means a motor vehicle operated for commercial purposes that shall not have a taximeter, which is a luxury sedan with a manufacturer's rated seating capacity of not more than fifteen (15) passengers that is used for the transportation of people.
(11)	OFF-PORT PARKING USER means a commercial business entity which provides or arranges for one or more commercial passenger vehicles, courtesy vehicles, buses or shuttles, however owned or operated, to pick up or drop off passengers within a terminal complex of the Galveston Wharves in connection with the operations of a business of the user involving the parking of motor vehicles of any type at a facility located outside of the boundaries of property owned, operated or controlled by the Galveston Wharves.
(12)	OFF-PORT RENTAL CAR USER means a commercial business entity which provides or arranges for one or more commercial passenger vehicles, courtesy vehicles, buses or shuttles, however owned or operated, to pick up or drop off passengers within a terminal complex of the Galveston Wharves in connection with a business of the user involving the renting of motor vehicles, all under circumstances where the user does not have a contract or lease with the Galveston Wharves for the use of counter space within the terminal complex.
(13)	ON-PORT RENTAL CAR USER means a commercial business entity which may provide or arrange for one or more commercial passenger vehicles, courtesy vehicles, buses or shuttles, however owned or operated, to pick up or drop off passengers within a terminal complex of the Galveston Wharves in connection with a business of the user involving the renting of motor vehicles, under circumstances where the user has a contract or lease with the Galveston Wharves for counter space, kiosk or other location within the terminal complex.
(14)	OPERATE means to drive or to be in control of a taxicab, limousine, bus, courtesy vehicle, shuttle or commercial passenger vehicle.

Item No. 111 continued on the next page.

BOARD OF TRUSTEES
OF THE GALVESTON WHARVES
Tariff Circular No. 6

3rd Revised Page 3-J

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SECTION 100 - GENERAL INFORMATION, RULES AND REGULATIONS

APPLICATION

ITEM

- (15) **OWNER** means the person to whom state license plates for a vehicle were issued.
- (16) **OPERATING AUTHORITY** means written permission or licensing granted on an annual basis by the Port Director under this section.
- (17) **OPERATOR** means the owner of a taxicab, limousine, bus, courtesy vehicle, shuttle or commercial passenger vehicle; or the holder of a taxicab, limousine, bus, courtesy vehicle or shuttle operating authority.
- (18) **PERSON** means any natural person or any entity, whether organized for profit or not, that is a corporation, limited or general partnership, limited liability company, sole proprietorship, real estate investment trust, joint venture, joint stock company, cooperative, association, bank, trust, insurance company or other legal entity or combination organized pursuant to or recognized under the laws of Texas or any other state or country.
- (19) **PORT USE PERMIT** means a valid (not suspended or revoked) and unexpired permit issued by the Port Director pursuant to this Tariff Item. A Port Use permit contains terms and conditions as described herein, or as may be amended from time to time. A Port Use Permit grants privileges (e.g., using Galveston Wharves property for commercial purposes, supplying services at the Galveston Wharves (Port of Galveston) for which fees are imposed. Both Port Use Permits and the more specialized contracts or leases mentioned in this Tariff are types of contracts.
- (20) **SHUTTLE** means a van-type motor vehicle operated for commercial purposes that does not have a taximeter, that has a manufacturer's rated seating capacity of less than fifteen (15) passengers and is used for the transportation of people.
- (21) **TAXI OR TAXICAB** means a chauffeured motor vehicle, but not including limousines, that is equipped with a taximeter, and that has a typical rated passenger capacity of eight (8) passengers or less, used for the transportation of passengers for hire over the public streets of the city that typically operates on irregular routes, irregular schedules, and a call and demand basis, and irrespective of whether or not the operations extend beyond the city limits, at rates for distance traveled, or for waiting time, or for both, or at rates per hour, per day, per week, or per month and such vehicle is routed under the direction of the passenger hiring the same.
- (22) **TAXICAB, LIMOUSINE, BUS OR SHUTTLE SERVICE** means a passenger transportation service operated for hire that uses any one or more of the following vehicle types: taxicabs, limousines, buses, or shuttles in the operation of the service and includes (but is not limited to) a facility from which the service is operated; taxicabs, limousines, buses, or shuttles used in the operation; and a person who owns, controls, or operates the service.
- (23) **TAXIMETER** means a device that mechanically or electronically computes a fare based upon the distance traveled, the time the taxicab is engaged, and any other basis for charges which are specified in the operating authority or rate ordinance pertaining to the holder.

Item No. 111 continued on the next page.

BOARD OF TRUSTEES
OF THE GALVESTON WHARVES
Tariff Circular No. 6

3rd Revised Page 3-K

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SECTION 100 - GENERAL INFORMATION, RULES AND REGULATIONS

APPLICATION	ITEM
(243) CRUISE SHIP TERMINAL COMPLEX means that area within the boundaries of property owned, leased or controlled by the Galveston Wharves located within 400 feet of a passenger terminal building (or any part thereof). The Cruise Ship Terminal Complex is also known and referred to as the Texas Cruise Ship Terminal on Galveston Island® or the Texas Cruise Ship Terminal at Pier 27. The Port Director may promulgate a map or other description of a terminal complex, and it shall be a presumption that the boundaries of the terminal complex are as so promulgated by the Port Director.	

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Notice of Meeting

**BOARD OF TRUSTEES
OF THE
GALVESTON WHARVES**

In accordance with the provisions of the Americans with Disabilities Act (ADA), persons in need of a special accommodation to participate in this proceeding shall, within three (3) days prior to any proceeding, contact this office, 123 Rosenberg Avenue, 8th Floor Shearn Moody Plaza, Galveston, TX 77550 (766-6105) to make arrangements for this special accommodation.

IT IS POSSIBLE THAT ONE OR MORE MEMBERS OF THE BOARD OF TRUSTEES WHO ARE NOT MEMBERS OF THE FINANCE COMMITTEE AND/OR ONE OR MORE MEMBERS OF THE BOARD OF DIRECTORS OF THE GALVESTON PORT FACILITIES CORPORATION MAY ATTEND THIS MEETING. IF THE ATTENDANCE BY SUCH TRUSTEES OR DIRECTORS RESULTS IN A QUORUM OF THE FULL BOARD OF TRUSTEES OR THE CORPORATION BEING PRESENT AT THE MEETING, THIS MEETING WILL ALSO BE CONSIDERED A MEETING OF THE FULL BOARD OF TRUSTEES AND THE CORPORATION.

SPECIAL FINANCE COMMITTEE MEETING

Monday, May 12, 2014 ✓
9:00 a. m. 9:02

Port of Galveston
8th Floor Shearn Moody Plaza
123 Rosenberg Avenue, Galveston, Texas 77550

-THIS FINANCE COMMITTEE MEETING IS OPEN TO THE PUBLIC-

Finance Committee Members:

Edward J. Walsh, III, Chairman ✓

John A. Smecca ✓

Gerald A. Sullivan ✓

Alan B. Haddock
Finance Officer
Intervenor Sullivan

I. CALL TO ORDER

- A. Roll Call ✓
- B. Declaration of Quorum ✓
- C. Declaration of Conflicts of Interest ✓

Exhibit I

II. FINANCE COMMITTEE BUSINESS DISCUSSION ITEMS

- Discuss and Consider Cruise Terminal Access Fees

III. RECESS INTO EXECUTIVE SESSION

**ANNOUNCE GOING INTO EXECUTIVE SESSION PURSUANT
TO TEXAS GOVERNMENT CODE**

10.04

-Section 551.071 – Consultation with Attorney

- a. Seek or Receive Advice on Pending or Contemplated Litigation or a Settlement Offer, Including Without Limitation
Litigation Against BP for Economic Losses Resulting from the Deepwater Horizon Oil Spill, Cause No. 13-CV-0597, Allen Flores Interests, LP v. Board of Trustees and Turner Construction Company in the 10th Judicial District Court of Galveston County
- b. Seek or Receive Advice on Legal Matters Not Related To Litigation or the Settlement of Litigation, Including Without Limitation Consultation with the Port's Legal and Legislative Consultants to Discuss Issues Relating to their Representation and to the Legal Effect of Agreements and Transactions Under Consideration by the Board

-Section 551.072 – Real Property

- a. Deliberate the Purchase, Exchange, Lease or Value of Property on Galveston and Pelican Islands, Including Without Limitation the Galveston Railroad, Joe's Crab Shack-Texas, Inc., Del Monte Fresh Produce, N.A., Inc., MBP Corp, Cruise Terminal No. 1 Lease, Cruise Terminal No. 2 Lease, Malin International Ship Repair & Drydock, Inc., Wallenius Wilhelmsen Logistics Americas LLC, T&T Marine Salvage, Incorporated, Archer-Daniels-Midland Company, Pelican Island Storage Terminals, Inc., CHS, Inc., T-Mobile Texas, Inc., Pier 19 Charter Area Leases, Gulf Copper & Manufacturing Corporation Agreements, Texas, Mexico & Pacific Railroad Agreements, the Shearn Moody Plaza Garage, Galveston Downtown Transit Terminal, the West End Development, and Related Facilities
- b. Cruise Terminal Parking, Operating, Financing and Construction Agreements

-Section 551.074 – Personnel

- a. Deliberate the Appointment, Employment, Evaluation, Reassignment, or Duties of a Public Officer or Employee, Including Without Limitation the Port Director and Deputy Port Director

-Section 551.087 – Economic Development Negotiation

- a. Discuss or Deliberate Regarding Commercial or Financial Information Received from a Business Prospect Seeking to Locate, Stay, or Expand at the Port of Galveston, or Deliberate the Offer of a Financial or Other Incentive to such a Business Prospect

-Section 551.076 – Security Matters

- a. Deliberate the Deployment, or Specific Occasions for Implementation, of Security Personnel or Devices

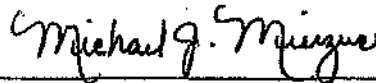
ADJOURNMENT OF EXECUTIVE SESSION

RECONVENE SPECIAL FINANCE COMMITTEE MEETING

IV. COMMENTS FROM THE FINANCE COMMITTEE

V. ADJOURNMENT

4:00 p.m., Thursday, May 8, 2014



By: Michael J. Mierzwa, Port Director

NOTES FROM THE 5-12-14
SPECIAL FINANCE COMMITTEE MEETING

- Staff to get what hotels are charging if parking whole time while out of town on cruise. Treat in same manner as parking lots. (EW)
- Hotels help POG attract passengers and do not want to charge them like parking lots. (BH)
- Hotels charge for parking cars overnight, but do they charge anyone for parking for a week while they are on a cruise? (GS)
- Do cruise passengers stay at hotels with a parking package? (EW)
- Ask Hotel Association to provide POG with this parking information and tell them why we need it. (JS)
- Call hotels as shopper for a hotel/cruise package and see what hotels are offering/charging (EW).
- Whatever the decision of the Board is, we need to look at this every 6 months because it is a large source of revenue. (GS)
- Dangerous issue of concern with crossing 25th Street. Close gate. (GS)
- 1. Close pedestrian gate at 25th/2. Keep 25th ST. gate locked/3. Sending passengers out onto Industrial Road is very dangerous. (MJM)
- Do something very quickly. POG people control light at 25th. (GS)
- 25th St. is priority. Get City involved and take to City Council next week. Thirty days should be enough time to get City involved with an Ordinance change. Transportation safety issue. (JS)
- Make sure we give park and walk lots sufficient notice. (EW)
- Send letter to lot owners and let them know that the Port is concerned over danger of crossing at 25th Street and Harborside for both City and Port, and that we are going to close that gate and the lot owners will have to find another way to get passengers to cruise terminals. There are too many safety/liability issues. Give 30 day notice. (BH)
- Send letter with 30-day notice and lock gate for public safety. (GS)
- Two Board items for agenda – Parking Access Fees and Amendment to Tariff (MJM)
- Increase public safety to Port access. (EW)

5-12-14 France

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& Cr. gauge.

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BH P, fair

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* EW
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D. of P. - cruise

JS
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or or -

EW
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C. / 1 - detriment -
look / ✓ + ✓ @ P - - -
- 6964

BH
✓ ei. POG for L. - Lots P.
P. - 2 L. POG
* P. C. / (- - - 6964

GS
Access fee / 15-trip > 90% ✓ 6964 / if - P.
(2) categories of folks, like taxes (✓ clouds / 10
, - if (✓ 6964) or - -
competition for Port.
Buses (✓, - - if - buses of P. H.
Hotels of 100, can't be. P. H. of 100
) or - -
EW
Dr > 100 P. + 6964 package?

GS
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- 6964

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EW - # is # - pocket

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JB Skippers & later ...

EW P & fixed costs

BH/CS Sample
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CS 1/2 1 P ...
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MM 9 P @ 10 694 P tax rate .025
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EW C $\rightarrow$ 100 P force $\rightarrow$ 100 P
force $\rightarrow$ 100 P rate

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2 P $\rightarrow$ 100 P $\rightarrow$ 100 P
complete 100 P 100 P
2) 100 P 100 P
P $\rightarrow$ 100 P

AS 9 (100 P $\rightarrow$ 100 P $\rightarrow$ 100 P
 $\rightarrow$ 100 P 2) 100 P 100 P

MM 100 P 100 P 100 P
2) 100 P

BH (2) $\rightarrow$ 100 P 100 P

EW 100 P 100 P $\rightarrow$ 100 P

CS It is dangerous to $\rightarrow$ 100 P
 $\rightarrow$ 100 P

GS Issue v 3 - 0 / 2) access ?
0 - Close / 9

MQM (20 < 12 / 1 funneled /

0 area

0 Close pedestrian gate

0 20th gate locked

0 20th / 4 P Industrial Road

Very dangerous!

GS 106 P light / 20th / 2 / 2 quickly

10:00 Eyed began

GS 20th up front - 0 / 0 - 00

GS 20th 0 / 12 / 10

End 20th & walk / 0 / 0

GS Ash City for Ordinance

GS 30th 0 / 0 / 0 / 0 / 0

Ordinance
Walk on - allowed
Transport safely

Access fee 1 P cross over

mqm Feb 7 Spry Break E -

65 1019 - 10
m / / - 6ms

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EW 14/ 010 + - 4

C.T. access + tariff +
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2 - 4 - 5
final 2/ 6/ 6/ 6/
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to - re public 2
1 to - 6/ 6/ 6/
to access

Comments:

Impulsen & Pachtweise 63 \

2/ geneigte, Discernente 22 \

61 + 21 - 6. Hotels \

advantage \

Collect -> P N -> d E 1

1/ 3-4 E alone is) 62

Vacant lots / 22 E / + 6

1/ 15 -> 10. 1 -> 10 rolls +

2 6 fuel, restaurants, G. Variable

service, w. 22 2 pushing 1 access

2) 7 (late on invoice - CPI -> 100%

9/ 1 on triple 2) 1/ 21. 20

1. E 15 -> 1/ 11 14 2 on

cruse', Del chap. P -> 1

Logskamen contribute

95

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ASCT w/ instruction to PLM

10:44 AM

5/12/14

AUDIO TRANSCRIPTION
AUDIO FILE NO. 2

RECEIVED

2014 JUN 16 PM 3:50

OFFICE OF THE SECRETARY
FEDERAL MARITIME COMM

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RE: BOARD OF TRUSTEES OF THE GALVESTON WHARVES TARIFF

4

REVISION(S) FOR "OFF-PORT PARKING USERS"

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AUDIO TRANSCRIPTION OF HEARING ON CRUISE PARKING

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FEES ON 5/19/14

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Republic Services, Inc.
(713) 957-0094

Exhibit J

AUDIO TRANSCRIPTION
AUDIO FILE NO. 2

2

1 MR. JENSEN: Good morning.
2 UNIDENTIFIED SPEAKER: Good morning.
3 MR. JENSEN: I'm John Jensen. I'm the owner
4 of Galveston Park and Cruise next door in VIP parking
5 and I understood that there was an issue or some concern
6 of the traffic going back and forth going across Harbor
7 Side at 25th and I met with Chief Pierce last Friday and
8 had a discussion with him over some items that might
9 help to alleviate those concerns.
10 So I went ahead and took it upon myself to
11 hire Clint, Constable Clint White. He's out there
12 currently and it seemed to help. It's a big difference.
13 It got traffic to slow down and making sure that the
14 people are getting across the street and safely and we
15 all want the same thing. We want our customers and
16 people coming to Galveston to have a memorable, safe,
17 pleasant time and that's what we are trying to do.
18 I do have some other ideas and, I believe,
19 Mr. Simon mentioned to Chief Pierce that he'd like to
20 meet with me sometime when he gets time and I'd be happy
21 to do that and sit down and go over some more ideas of
22 safety concerns or issues that we can take care of with
23 the people that are going over across the street and get
24 everyone over there.
25 UNIDENTIFIED SPEAKER: Okay. John, so, you

3

1 know, our number one issue is liable to the city and to
2 the port and, naturally, anyone getting hurt going
3 across there.
4 MR. JENSEN: Absolutely.
5 UNIDENTIFIED SPEAKER: We want to take an
6 action today. We are going to sit down with city
7 counsel and see what their thoughts are. We are not out
8 to hurt anybody. We just want to make sure that
9 whatever we do, port or the city are not liable for
10 anything that happens and that no one gets hurt crossing
11 there. As you know, we are planning on building a third
12 cruise ship terminal.
13 It's going to be very crowded on 25th
14 Street. So we are going to look at what we have to do
15 in the future to make it better and it's nothing in
16 there trying to hurt anybody. We are just strictly
17 trying to do what's right for the city, the port, and
18 for you. So that none of us have any unfortunate
19 accident or anything.
20 MR. JENSEN: Absolutely.
21 UNIDENTIFIED SPEAKER: Okay.
22 MR. JENSEN: Like I said, I want everybody
23 to have a safe --
24 UNIDENTIFIED SPEAKER: Good deal.
25 MR. JENSEN: -- and memorable time.

4

1 UNIDENTIFIED SPEAKER: Thank you, John.
2 Anybody else have a question for John? Thank you.
3 Appreciate it.
4 MR. JENSEN: Sure. Okay. Thank you.
5 UNIDENTIFIED SPEAKER: John, I hope I get
6 this right -- Bansey?
7 MR. BANSEY: Pass.
8 UNIDENTIFIED SPEAKER: Okay. You pass.
9 Charles Tompkins?
10 MR. TOMPKINS: Sir?
11 UNIDENTIFIED SPEAKER: Yes. Sure.
12 MR. TOMPKINS: Thank you, again, for letting
13 me come up and speak. This is by the way, Mr. Jensen,
14 that's the first time I've seen you or heard you speak
15 and I think that's very admirable to get that constable
16 out there. I think that will make a significant
17 difference in that area, and it's probably the best
18 thing to do.
19 It also allows people to go back in and
20 enjoy the comforts of The Strand and what The Strand has
21 to offer. So I think that that's a straight up thing to
22 do. There's been some suggestions from the various
23 members of the boards when we meet, you know, throughout
24 the month of increasing the revenue of a fair share of a
25 fair amount and the numbers that I am receiving or the

5

1 numbers that I am hearing about is the potential of
2 increasing our current monthly revenue space from \$8.00
3 a space to upwards of nearly \$30.00 a space. Possibly
4 between 25 and 30.
5 Which, you know, I thought, wow, that's a
6 pretty substantial increase in spaces and then I sit
7 there and I did a little bit of research and I thought,
8 gosh, I never seen anyone, never noticed anyone -- and
9 when I did my research, I never found that any port,
10 anything along these lines, has ever increased even
11 remotely close to this amount for any reason and I
12 thought there had to be a reason for this that not just
13 to pay for the expansion of a terminal or any
14 operational issues or anything on those lines.
15 So my question is, my request is, is that
16 you would seriously consider the impact and I know that
17 some of you might say, well, these cruise parking spaces
18 or these cruise parking companies, you know, they don't
19 make it, they can't survive when we take this whatever
20 increase, then so be it. I don't think that's the
21 reasonable solution. I don't think that's the
22 responsible statement to make and strongly suggest that
23 we try to find a better way to bring in additional
24 revenue if for some reason that's what you want to do
25 other than increasing these rates for these certain

AUDIO TRANSCRIPTION
AUDIO FILE NO. 2

6

1 people. Not all of the people that are parking but
2 these certain amount of people, only "X" amount of
3 percent. So if you have any questions about that.

4 UNIDENTIFIED SPEAKER: Yes.

5 UNIDENTIFIED SPEAKER: In your investigation
6 when you compared other ports and their charges, did you
7 find any other port that has to support itself like the
8 Port of Galveston does where the other ports were
9 subsidized by taxes and bonds?

10 MR. TOMPKINS: Well, I didn't do a
11 comparison analysis between taxes and bonds --
12 Inaudible -- but I did notice that no other port has
13 ever set that up. So I was thinking -- that's a great
14 question. When I was thinking this, I thought, well,
15 you guys have this consumer price index that you follow,
16 kind of, a checks and balances system so to speak in
17 your -- what is it? In your tariff. Right? So you can
18 only increase certain amount.

19 So back in the day, I guess, 2010, or
20 whatever, you guys said, well, we are going to have
21 \$8.00 a space and this is what we are going to agree
22 upon because we believe it's equitable for us to help
23 fair share and each year, if for some reason we need to,
24 we'll increase "X" amount percentage. That being about
25 a 256 percent increase if we did this now. So I was

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1 thinking back then, you know, you guys were in the same
2 position back then as you are now. Right?

3 UNIDENTIFIED SPEAKER: I wouldn't think so.

4 UNIDENTIFIED SPEAKER: No.

5 MR. TOMPKINS: You sustained yourself back
6 then differently than you sustain yourself now?

7 UNIDENTIFIED SPEAKER: We got potential
8 customers that want to come. We need to build another
9 terminal. We don't have the money to build it. We got
10 to do that. That's going to increase traffic for you,
11 for us, for everybody else; but it's got to be built.
12 Somebody's got to pay for it. All right. So we got to
13 generate revenue to pay for it.

14 MR. TOMPKINS: Fairly.

15 UNIDENTIFIED SPEAKER: That's what we are
16 trying to do, and I think we've done that. I mean, if
17 you look at what we are talking about, we are doing it
18 fairly and what you have to realize you are talking
19 about what we charge but y'all down charge anything near
20 that. If you charged the same thing we did, then it
21 couldn't cost you a penny more. But the problem is is
22 you want to take cargo away -- parking away from the
23 port which we need to pay for the cruise lines to go to
24 your parking garage so y'all lower the price.

25 So if we lower our price, it's a race for

8

1 the bottom and no one makes any money and we can't build
2 another terminal and we can't pay for the terminal we
3 have. Our -- that's where our problem is. That's the
4 dilemma we're in. How do we continue to keep the
5 cruises coming here, and how do we get money to build
6 another terminal to attract more cruise ship business
7 here? So it's something that we are all in a community
8 think it's a great project. But there's a lot of great
9 projects, but you have to have money to finance it.

10 MR. TOMPKINS: Inaudible -- cargo away from
11 the port. Actually, what we are doing, we are taking
12 port traffic, bringing them in, setting them downtown to
13 The Strand, having them enjoy The Strand in Galveston,
14 and enjoy the economic impact or the economic -- help
15 Galveston enjoy the economic impact of this and then
16 have them go on their cruise and have a nice great --
17 Inaudible. We don't sit there and reroute people to our
18 certain areas just to try to bring them in. So I
19 hold -- Inaudible -- to that statement. I think that's
20 absolutely inaccurate.

21 UNIDENTIFIED SPEAKER: Well, you can --

22 MR. TOMPKINS: (Inaudible)

23 UNIDENTIFIED SPEAKER: You can and I'm sure
24 you will but the price that you charge, the people are
25 going to go there. They can enjoy The Strand if they

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1 park right across the street in the parking lot too. In
2 fact, they can walk to The Strand. They don't have to
3 be tutored down there. They can walk down there. So, I
4 mean --

5 MR. TOMPKINS: Through 25th Street?

6 UNIDENTIFIED SPEAKER: They can walk
7 anywhere they want.

8 MR. TOMPKINS: I'm just asking. Would 25th
9 Street be a good --

10 UNIDENTIFIED SPEAKER: It may not, no. It
11 may not be and it may. It depends. If we put a
12 policeman out there, it may be. If we don't, it may not
13 be. That's what we got to work on.

14 MR. TOMPKINS: I think that's a great idea.

15 UNIDENTIFIED SPEAKER: We do too. We think
16 there's some great ideas, and we've got some great
17 ideas. But it all takes money and that's what we are
18 trying to do as a port. We are trying to generate
19 revenue to build more and more cruises for the Port of
20 Galveston and, unfortunately, y'all got to pay your
21 share.

22 MR. TOMPKINS: I think that we are paying
23 our share. Sir?

24 UNIDENTIFIED SPEAKER: Okay.

25 MR. TOMPKINS: Yes, sir. Go ahead.

AUDIO TRANSCRIPTION
AUDIO FILE NO. 2

10

1 UNIDENTIFIED SPEAKER: So the answer to my
2 question was you didn't find another port --
3 UNIDENTIFIED SPEAKER: No. There is none.
4 UNIDENTIFIED SPEAKER: That has to be a --
5 support themselves on their own revenue.
6 MR. TOMPKINS: I didn't do a comparative
7 analysis between ports.
8 UNIDENTIFIED SPEAKER: Well, you won't find
9 one.
10 UNIDENTIFIED SPEAKER: That's right.
11 Because there's not another one that's self-sustained.
12 UNIDENTIFIED SPEAKER: Galveston is unique
13 in that -- Inaudible.
14 UNIDENTIFIED SPEAKER: Tax support. We are
15 the only one that doesn't get tax support.
16 MR. TOMPKINS: I did do an analysis on the
17 ports that -- Inaudible -- with the amount of revenue
18 and the amount of gross margin that they were making
19 based on the amount of revenue that they were bringing
20 in and I didn't find any ports at all that made, what,
21 upwards of 10 percent or less on the amount of revenue
22 that they generated.
23 UNIDENTIFIED SPEAKER: They don't have --
24 UNIDENTIFIED SPEAKER: Don't argue. Don't
25 argue.

11

1 UNIDENTIFIED SPEAKER: Okay. George
2 Templeton?
3 MR. TEMPLETON: Inaudible -- with your
4 approval.
5 UNIDENTIFIED SPEAKER: That's fine. Sure.
6 Come on back if you want to donate your time to him.
7 UNIDENTIFIED SPEAKER: Inaudible --
8 represent.
9 UNIDENTIFIED SPEAKER: I don't -- who do you
10 represent? What parking lot do you represent, sir; or
11 are you in the parking business?
12 MR. TOMPKINS: Inherently, we do -- I'm
13 married to Cindy, and she's works with one of the
14 parking lots. Yes.
15 UNIDENTIFIED SPEAKER: What parking group do
16 you represent?
17 MR. TOMPKINS: EZ Cruise.
18 UNIDENTIFIED SPEAKER: I'm sorry?
19 UNIDENTIFIED SPEAKER: EZ Cruise.
20 UNIDENTIFIED SPEAKER: Can I ask some
21 questions?
22 UNIDENTIFIED SPEAKER: Sure.
23 UNIDENTIFIED SPEAKER: You referenced in
24 your original talk finding additional revenue sources
25 that we could use to, again, find this revenue this much

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1 needed revenue to build new facilities and operate the
2 current facilities. What exactly are your ideas on
3 that? What were you referencing?
4 MR. TOMPKINS: Well, there was a time when I
5 met with the financial committee that I said and, I
6 believe, Mr. Jensen alluded to this as well. We
7 discussed several other ideas on bringing additional
8 money in or additional increase of funds in and, you
9 know -- Peter wants to come up and talk about that or, I
10 guess, I can mention it. But we have -- the hotels
11 bring a substantial amount and, I believe, you are going
12 to address those. Am I correct?
13 UNIDENTIFIED SPEAKER: Hotels are --
14 MR. TOMPKINS: You are going to address the
15 -- Inaudible.
16 UNIDENTIFIED SPEAKER: We are addressing the
17 entirety of the parking. So, yes.
18 MR. TOMPKINS: And, I believe, there is a
19 tariff. A pretty substantial amount of -- well, I
20 guess, there's a head tax that you guys receive from the
21 cruise lines for per passenger. Correct?
22 UNIDENTIFIED SPEAKER: There's is a
23 passenger service fee that's set based on the contract
24 that we have with the various cruise lines. Yes.
25 UNIDENTIFIED SPEAKER: And we are already

13

1 putting that in.
2 MR. TOMPKINS: Right. Right. So there was
3 about, I think, three or four more that we discussed and
4 I asked Peter if we might be able to sit down outside of
5 sessions to discuss and, kind of, help you guys.
6 UNIDENTIFIED SPEAKER: Can you give us an
7 idea of what you are discussing?
8 UNIDENTIFIED SPEAKER: Throw them out there.
9 We'd like to hear them.
10 UNIDENTIFIED SPEAKER: We are ready to do
11 something today. So if you have something you want to
12 bring forward, please do so.
13 MR. TOMPKINS: Well, the number one thing
14 that we had that we offer was the people that were
15 coming in. So our main focus was not necessarily
16 pushing the people toward the port, it was pushing
17 people towards Galveston and that's what we have done.
18 So we got with the restaurant districts and we've got
19 with the Galveston Strand District to give coupons to
20 the passengers to put them through into the port, or
21 pardon me, into The Strand. That was the number one
22 thing we have been focussing on in the past. I thought
23 Peter and some of the other directors were trying to
24 focus on additional ways to bring in revenue for the
25 board and for the Port of Galveston.

AUDIO TRANSCRIPTION
AUDIO FILE NO. 2

14

1 UNIDENTIFIED SPEAKER: How would that bring
2 more revenue to the port -- to this body?

3 MR. TOMPKINS: Well, see the thing is for us
4 as an individual entity, we were focussing more towards
5 bringing revenue to Galveston, in general, as opposed
6 trying to help ways to subsidize additional lost
7 revenues for the Port of Galveston. That wasn't
8 something that we'd been focussed on heavily. So what I
9 wanted to do was sit down and talk with them to find out
10 if there's ways we might be able to help them out
11 further.

12 UNIDENTIFIED SPEAKER: Mr. Chairman, if you
13 don't mind.

14 UNIDENTIFIED SPEAKER: No. I don't mind at
15 all.

16 UNIDENTIFIED SPEAKER: Mr. Tompkins, what
17 you have to understand what we are going through. It's
18 not only that we are building for facilities for another
19 cruise ship to come in or multiple cruise ships to come
20 in.

21 MR. TOMPKINS: Sure.

22 UNIDENTIFIED SPEAKER: But we also have
23 maintenance. We just replaced the roof on the cruise
24 ship number two. We are building or having to repair or
25 rebuild, essentially, this bridge that goes across over

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1 here over the Harbor Side Drive. As more cruise ships
2 come in, our expenses -- expenses we incur, we have to
3 have more police. We have to have -- Inaudible. Our
4 expenses increased exponentially as we go forward with
5 more cruise ships.

6 MR. TOMPKINS: Not proportionately?

7 UNIDENTIFIED SPEAKER: Exponentially.

8 MR. TOMPKINS: Like, for example, how?

9 UNIDENTIFIED SPEAKER: For instance, when
10 you have three cruise ships in at one time -- Mike,
11 correct me if I'm wrong. We can have as many as 16,000.
12 Is that right?

13 MIKE: You would have 24,000 people --

14 Inaudible.

15 UNIDENTIFIED SPEAKER: Twelve on and twelve
16 off.

17 UNIDENTIFIED SPEAKER: I don't know where we
18 are going to get the police. I really don't know.
19 That's an issue that we have to solve. This's another
20 problem that we have with people crossing the Harbor
21 Side Drive.

22 UNIDENTIFIED SPEAKER: 25th street.

23 UNIDENTIFIED SPEAKER: It slows everything
24 down. Now, when we have 24,000 people, and I'm using
25 Mike's numbers, we have them getting off the cruise

16

1 ships and we have them getting on the cruise ships at
2 the same time. So as I said, exponentially, it
3 increases our cost.

4 MR. TOMPKINS: But do you lose money as a
5 result of the revenue brought in by that third ship?

6 UNIDENTIFIED SPEAKER: On the cost side,
7 yes.

8 MR. TOMPKINS: I understand. But don't you
9 make money on that ship?

10 UNIDENTIFIED SPEAKER: Inaudible -- all I am
11 trying to do -- I don't think anyone on this board is
12 anti parking.

13 MR. TOMPKINS: Almost anybody, huh?

14 UNIDENTIFIED SPEAKER: I'm sorry?

15 MR. TOMPKINS: You don't think anyone is?

16 UNIDENTIFIED SPEAKER: I don't think so.

17 MR. TOMPKINS: Okay.

18 UNIDENTIFIED SPEAKER: What we are trying to
19 do is get you to pay what we have to pay.

20 UNIDENTIFIED SPEAKER: Exactly.

21 UNIDENTIFIED SPEAKER: We are not against
22 what you are doing. I'm free enterprise. My life blood
23 is free enterprise.

24 MR. TOMPKINS: Yeah, I know.

25 UNIDENTIFIED SPEAKER: And I understand you

17

1 pay taxes on your property.

2 MR. TOMPKINS: Proportionately, we have the
3 same amount of revenue stream as the new people coming
4 in. We have to get new buses. We have to maintain
5 those buses no different than you guys have to maintain
6 your fleet. We maintain our people no differently.

7 UNIDENTIFIED SPEAKER: What am I trying to
8 say to you and then I'll finish is that all we want is
9 to have equity, and we need it in order to move forward.
10 If we are out of the cruise ship business, I'll
11 guarantee you, you are out of business.

12 UNIDENTIFIED SPEAKER: Ain't no doubt.

13 MR. TOMPKINS: No. I agree.

14 UNIDENTIFIED SPEAKER: Ain't no doubt.

15 UNIDENTIFIED SPEAKER: So you have to pay
16 what we have to pay. We are paying the same share.

17 MR. TOMPKINS: You know, one thing I did
18 want to mention and I'm glad you mentioned that. You
19 guys have about 64 percent of the traffic or the spaces
20 that are dedicated, specifically, to cruise terminal
21 traffic or somewhere. Right? Somewhere around there?

22 UNIDENTIFIED SPEAKER: Uh-huh.

23 MR. TOMPKINS: Well, we are told that 100
24 percent of our spaces regardless of whether they are our
25 customer spaces, our spaces, our employee spaces, spaces

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5 (Pages 14 to 17)

AUDIO TRANSCRIPTION
AUDIO FILE NO. 2

18

1 that have X's on them, whatever, are going to be given
2 to you guys for, specifically, allocated to what is
3 called potential lost revenue or potential revenue. I
4 think that's not fair at all. So these guys are coming
5 in counting every single spot, even dangerous spots,
6 that have small -- he said you can easily fit a car in
7 there. No. I disagree.

8 UNIDENTIFIED SPEAKER: Hold on one second.
9 Please.

10 MR. TOMPKINS: The way we are going about
11 this, I believe, might not be the best way --

12 UNIDENTIFIED SPEAKER: Hold on one second,
13 please.

14 MR. TOMPKINS: -- and we need to find the
15 best way.

16 UNIDENTIFIED SPEAKER: Could you hold on one
17 second, please? I know we have a three minute time
18 limit but this is a very controversial issue. It is a
19 very important issue for the city. Do you mind if I
20 allow more than three minutes?

21 UNIDENTIFIED SPEAKER: It's fine with me.

22 MR. TOMPKINS: Thank you, sir. So as long
23 as it's gone about the right way, I'm all for it. I'm
24 all for it. I'm not just some shmoe that's down there
25 trying to, you know, be a parasite off someone else.

19

1 Free enterprise. Right? So if it's done the right way,
2 I'm all for it. If it's not done for the right way,
3 then I'm not for it.

4 UNIDENTIFIED SPEAKER: Well --

5 MR. TOMPKINS: Sir?

6 UNIDENTIFIED SPEAKER: Go ahead.

7 UNIDENTIFIED SPEAKER: Well, I still haven't
8 heard what you think is the right way. But if I recall
9 properly, when you addressed us once before, there was
10 some areas that you felt like parking lots that weren't
11 paying their fair share, weren't paying anything, and I
12 don't know if that's one of your revenue sources that
13 you think we can increase or not because it seemed like
14 you brought that up last time.

15 MR. TOMPKINS: I did and certainly. As long
16 as everyone -- all right.

17 UNIDENTIFIED SPEAKER: Exactly.

18 MR. TOMPKINS: Everyone that might be
19 benefitting this, pays a certain amount. I'm all for
20 that. I don't think anyone should not offer anything.
21 But as that increases, as that increases,
22 proportionately, at some point in time, the amount that
23 we've been -- because there's only four companies or so
24 that you are hitting very, very hard. Only four.
25 That's ridiculous. There's dozens of company that make

20

1 a meaningful amount of revenue here in this island and
2 address them.

3 UNIDENTIFIED SPEAKER: One thing I want to
4 make sure you understand everybody here is -- you
5 mentioned partners and that's what we have spent a lot
6 of time on is because we know that we can't park all the
7 cars in our parking lot and we need you guys.

8 MR. TOMPKINS: Correct.

9 UNIDENTIFIED SPEAKER: And we all need a
10 partner and all we are looking for is these partners, as
11 in any partnership, equally supporting the venture; and
12 that's all we are looking to do here.

13 MR. TOMPKINS: If something is reasonable,
14 fine. If someone comes in and says, well, you've got
15 100 percent of your spaces allocated to the Port of
16 Galveston. First of all, that's wrong. We don't have
17 100 percent of our spaces allocated to the Port of
18 Galveston. Right?

19 UNIDENTIFIED SPEAKER: One other thing that
20 we brought up in the finance committee is, and
21 Mr. Merchantson can probably explain a little better,
22 but our portion of a parking spot revenue is 100 percent
23 back into the port. Your portion of the parking lot
24 revenue is not 100 percent back to the port. So we are
25 really contributing more than the private parking lots

21

1 are. We are getting in there and getting all of our
2 money goes into these expenses that we have.

3 MR. TOMPKINS: Sure. I agree. Go ahead.

4 UNIDENTIFIED SPEAKER: No. That's right.
5 Go ahead.

6 MR. TOMPKINS: All right. So, yes, sir.

7 UNIDENTIFIED SPEAKER: Mr. Tompkins, what
8 are your rates?

9 MR. TOMPKINS: Our rates?

10 UNIDENTIFIED SPEAKER: Today, what rates are
11 you charging?

12 MR. TOMPKINS: Jason, what are our rates?

13 UNIDENTIFIED SPEAKER: They vary.

14 JASON: It's \$60.00 per seven day.

15 UNIDENTIFIED SPEAKER: How many?

16 JASON: Sixty per seven day.

17 UNIDENTIFIED SPEAKER: 8.50.

18 UNIDENTIFIED SPEAKER: What kind of
19 occupancy did you have last year?

20 MR. TOMPKINS: Occupancy on?

21 UNIDENTIFIED SPEAKER: Your parking?

22 MR. TOMPKINS: Our parking?

23 JASON: About 70 percent.

24 UNIDENTIFIED SPEAKER: Seventy?

25 MR. TOMPKINS: Around 70 percent.

AUDIO TRANSCRIPTION
AUDIO FILE NO. 2

22

1 JASON: Minus the Triumph and the lost
2 revenue for the Triumph. So if you put that --
3 Inaudible -- less than that. It would probably go down
4 50 percent.
5 UNIDENTIFIED SPEAKER: But y'all do vary
6 your prices because I've seen that.
7 JASON: No. Our prices are the same. If
8 you go online, it's the same.
9 UNIDENTIFIED SPEAKER: Well, I've seen some
10 they've lowered them down as the day goes on.
11 UNIDENTIFIED SPEAKER: Nope not us.
12 UNIDENTIFIED SPEAKER: No, not us.
13 UNIDENTIFIED SPEAKER: Somebody does.
14 UNIDENTIFIED SPEAKER: Huh?
15 UNIDENTIFIED SPEAKER: Somebody does.
16 UNIDENTIFIED SPEAKER: I know somebody does
17 because I've seen it.
18 MR. TOMPKINS: So we try to maintain --
19 every \$5.00 -- that's \$5.00 of gross margin revenue out
20 of our pocket. I try to maintain it as high as we can
21 because there's a service that we offer. We don't park
22 someone there and allow them just to walk across.
23 UNIDENTIFIED SPEAKER: Okay.
24 MR. TOMPKINS: But that doesn't mean that we
25 can't be driven to those extremes.

23

1 UNIDENTIFIED SPEAKER: I think we more than
2 gave enough time, and I really appreciate it.
3 MR. TOMPKINS: Thank you.
4 UNIDENTIFIED SPEAKER: And I'm saying this.
5 We, as a staff, as you can tell, it's been on the agenda
6 four or five months. We've been working -- we've worked
7 very hard and diligently. We've had the finance
8 committee look at it. We've tried to be as far and --
9 Inaudible -- as we think that is absolutely necessary
10 for us to be. Our whole goal when we were appointed to
11 this board was to take care of the Port of Galveston and
12 to generate an industry that we don't have.
13 The cruise ship has been a plus for all of
14 us, you included, and we are going to protect that
15 industry and, in order to do that, we got to have
16 revenue to continue to dredge the channel, to build new
17 facilities, to take care of the facilities we have.
18 Now, we think we are putting together a fair and
19 equitable operation and -- Inaudible -- and we are going
20 to put it in. And if, in fact, you can show us
21 differently, then we are not opposed to adjusting that
22 tariff downward.
23 But until somebody can show us differently,
24 we know what we need and we know what we have agreed to
25 and we know what we've looked at and I think that

24

1 everyone of us to the man agree that it's fair and
2 equitable. So, you know, I just want to make sure you
3 understand that. Okay.
4 (Audio concluded)

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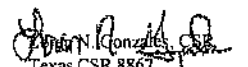
25

1 REPORTER'S CERTIFICATION
2 AUDIO TRANSCRIPTION OF FILE ENTITLED "HEARING ON CRUISE
3 PARKING FEES" ON CD ENTITLED "GALVESTON PARKING
4 MINUTES Q&A"
5

6 I, Loren N. Gonzales, Certified Shorthand
7 Reporter in and for the State of Texas, hereby certify
8 that the foregoing is a true and correct transcription,
9 to the best of my ability, of audio labeled "Hearing on
10 Cruise Parking Fees".

11 I further certify that I am neither counsel for,
12 related to, nor employed by any of the parties or
13 attorneys in the action in which this proceeding was
14 taken, and further that I am not financially or
15 otherwise interested in the outcome of the action.

16 Further certification requirements pursuant to
17 Rule 203 of TCRP are amended by Rule 203.6(a).
18 Certified to by me this 3rd day of June, 2014.
19
20

21 
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7 (Pages 22 to 25)